North America Power & Utilities

3Q Regulated Utilities Earnings Preview

3Q26 & EEI Preview for Regulated Utilities: PM Summaries, Key Themes, Macro Review Into Sector Roll Forward. Downgrading OGE to Equal Weight. Single Name Previews on AEE, AWK / WTRG, CNP, CPK, D, EMA, ETR, EVRG, EXC, HTO, NEE, NI, OGE, and WEC

North America Power & Utilities
POSITIVE
Unchanged

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3Q26 Regulated Utilities Preview: Gearing Up For Another (Positive) Revision: We present our regulated 3Q26 EPS preview for the North America Power & Utilities, including single name considerations for AEE, AWK / WTRG, CNP, CPK, D, EMA, ETR, EVRG, EXC, HTO, NEE, NI, OGE, and WEC. We cover our latest Macro thoughts for the sector, review 2026 election risk, refinancing sensitivities and provide top names to watch this earnings season. We expect 40% of the sector benchmark to revise capital plans, and EPS outlooks this quarter driving the Utilities current 8% average EPS growth proposition higher, with earnings revisions continuing on the back of large load contracts. It's clearly been a difficult year for Utilities. The sector is the second worst performing GICs sector YTD, but we see a clear window opening to be positive on the group into results with the combination of US election midterms ending, executives poised to address the recent move in interest rates which we see as a marginal headwinds (1% or less) to EPS and our expectations companies likely raise sales, RAB and EPS outlooks yet again. We reaffirm our Positive view on the Sector into 3Q.

Please see additional standalone 3Q26 previews we have already published on: AEP, AQN / AQN.TO, AVA, CMS, DTE, DUK, EIX, FE, FTS / FTS.TO, H.TO, HE, IDA, LNT, NWE, PCG, PEG, PNW, PPL, SO, SRE, XEL.

Names well-positioned heading into the quarter AEE, WEC, FE, XEL:

- **AEE: Upward Pressure and Well Positioned on (Lack Of) Election:** Mgmt will roll forward the capital plan, and we think raise the CAGR to 7-9%. On a 20% increase to the 5yr budget, we see AEE RAB growing to 13-14% with the stock also skewing as safe place for investors to remain confident through reporting season and the Midterm elections with no major risk. We see 8.5% y/y growth into FY27.

- **WEC: MSFT & LL Customers Can Add Duration to Growth Rate:** We see WEC shares benefiting from 1) a solid quarter with weather tailwinds; 2) a growing RAB outlook driven by both MSFT expansions and other customers by 3Q - We model in an additional 900MWs to the outlook into 2032 which lifts our EPS; 3) Mgmt could assuage concerns on the WI GRCs after

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earnings as the Commission should provide a ruling in the case, or they could still settle. We see the growth rate moving closer to 8%+ from the current 7-8% in 2028+ communication.

- **FE: WV Approval Should Unlock Next Revision:** FirstEnergy expects a decision on its West Virginia CPCN filing ($2.7B through 2032) by the end of October 2026, which if approved, the company will incorporate into its capital plan. This could allow management to raise EPS expectations. There will also be further clarity on the West Virginia data center pipeline, potential for a GenCo structure, and RFP status on the upcoming call update. Barclays 1-2% above Street EPS in 2028+.

- **XEL: Near Term & Long Term EPS Will Be Top of Sector:** We expect a new 5-year capital plan of at least $70-75bn to support >10% EPS CAGR on the 4Q update. We see FY27 EPS of $4.56 (+9.5% CAGR vs. FY25). XEL offers among the fastest NT growth rates in the sector, yet trades at -6% disc. P/E on '28.

Where are we more negative into the quarter? AEP, PEG, HE, PCG / EIX, OGE:

- **AEP: Bar Is High In Our View Into Big 3Q Update:** Management has been pitching a large capital update and there is a high bar to clear versus investor expectations. We expect the company to roll forward / raise its five-year capital plan (possibly provide seven-year outlook) by nearly 20%, which would drive a 2025-2031 EPS CAGR of at least 9.5% on our estimates versus the company's current forecast of >9% through 2030 off the same 2025 base. We would not be surprised if the Street is pricing in a 10%+ CAGR.

- **PEG: Looking To Address PJM Basis Risk, Contracting Backdrop Improving:** While we are positive on PEG's ability to contract out its nuclear MW given the positive developments around recent IPP nuclear contracting, we note that a large PECO/West Hub basis has grown ~$15/mwh since early 2026 for the 2027/2028 forward strips. We see $0.50/sh of 2027 EPS downside if PEG's hedges settle at these spreads- this is a point in time, and includes FTR hedges. We see this as a major item for PEG to address on the call. We also note while PEG does have a FTR portfolio, we observe that many of these FTR obligations are between the generation plant node and PECO, which does not address the widening PECO/WH basis.

- **HE: Addressing Customer Bill Pressure:** Storm costs are high and there is some uncertainty about recovery. Amid elevated oil prices (i.e., high customer bills), we see some risks for HE given the number of requests it will have in front of the PUC that would further raise bills, including: 1) pending rebasing proposal, 2) upcoming PBR Phase VI application; and 3) storm cost recovery filing. The company has also said it is expecting materially higher O&M, lower PIMs, and the maximum Fossil Cost Risk Sharing penalty this year.

- **CA Utes Neg Skew Too: Not much new news until Nov 1 and Beyond:** While Assembly hearings have kicked off we think companies will have little new news to offer on the special session, and more limited updates overall on the strategic review for PCG. CA pure plays EIX / PCG we think could underperform on more boilerplate updates.

- **OGE: Downgrade to Equal Weight (from Overweight): Now Pricing In Progress on OK RFP and Growth Rate Acceleration More Likely After Rate Case:** OGE has a strong catalyst path but we believe it is almost entirely priced into the current multiple which has re-rated vs XLU +10% TTM. We have folded in ~$3Bn in additional capex to the current plan, representing execution of the near term pipeline and still arrive under consensus for 2027E-'30E EPS. We are assuming positive outcomes and value the stock at a 12.5% premium to its small cap peer group, and still see limited upside from the current price which explains our downgrade to Equal Weight.

Weather Was A Benefit for Most, Driving Some Beats & Better Positioning In FY26: WEC, EVRG, SO, OGE, PNW, CMS, D and SRE we all see beating the quarter largely on weather which could positioned them at the high end of the FY26. We think PNW could raise FY26, CMS could point at high end, or notch up FY26 1c, and similarly EVRG we expect to point to high end FY26 while using weather to de-risk some of FY27.

Sector Equity Issuance Is Growing While the Sector Multiple Degrades. We expect utilities to issue ~2.5% of market cap annually over the next five years to fund growth, and this is likely to rise as companies fund 30-50% of new capex with equity on EEI roll-forwards. With FY2 P/E multiples now ~2.0x below the 17.0x peak, the size of the equity needs is pressuring 2028-2030 estimates for mid-sized names, a theme we expect to build into EEI. We expect **NiSource (NI)** to positively address out-year financing as its GenCo cash flow evolves, and **XEL** looks well positioned, with a material amount of financing de-risked for the prior five-year plan YTD. We focus on **OGE** and **EVRG**, where recent MtM now puts our estimates below consensus.

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Summary of our Ratings, Price Targets and Earnings Changes in this Report (all changes are shown in bold)

	Rating		Price	Price Target			EPS FY1 (E)			EPS FY2 (E)		
Company	**Old**	**New**	**16-Oct-26**	**Old**	**New**	**%Chg**	**Old**	**New**	**%Chg**	**Old**	**New**	**%Chg**
North America Power & Utilities	Pos	Pos										
Ameren Corp. (AEE)	EW	EW	106.08	117.00	**109.00**	-7	5.34	5.34	-	5.73	**5.80**	1
American Water Works Company, Inc. (AWK)	UW	UW	134.94	130.00	**127.00**	-2	6.06	6.06	-	6.61	6.61	-
CenterPoint Energy, Inc. (CNP)	EW	EW	40.55	44.00	**41.00**	-7	1.92	1.92	-	2.09	**2.08**	-
Chesapeake Utilities Corp (CPK)	EW	EW	132.18	136.00	**134.00**	-1	6.36	**6.34**	-	7.34	**7.31**	-
Dominion Energy (D)	OW	OW	63.56	69.00	**65.00**	-6	3.57	**3.56**	-	3.82	**3.80**	-1
Emera Inc. (EMA)	EW	EW	47.72	53.00	**50.00**	-6	3.72	**3.65**	-2	3.66	3.66	-
Emera Inc. (EMA.TO/EMA CN)	EW	EW	67.48	71.00	**67.00**	-6	3.72	**3.65**	-2	3.66	3.66	-
Entergy Corp. (ETR)	OW	OW	105.11	128.00	**115.00**	-10	4.45	**4.47**	-	5.19	**5.22**	1
Essential Utilities, Inc. (WTRG)	UW	UW	40.83	40.00	40.00	-	2.28	2.28	-	2.40	2.40	-
Evergy Inc. (EVRG)	OW	OW	83.30	92.00	**86.00**	-7	4.28	**4.22**	-1	4.57	**4.52**	-1
Exelon Corporation (EXC)	EW	EW	43.50	49.00	**44.00**	-10	2.85	**2.83**	-1	3.00	**2.98**	-1
H2O America (HTO)	OW	OW	57.69	66.00	**65.00**	-2	2.79	2.79	-	2.82	2.82	-
NextEra Energy, Inc. (NEE)	EW	EW	79.80	91.00	**84.00**	-8	4.07	4.07	-	4.37	4.37	-
NiSource, Inc. (NI)	OW	OW	42.68	45.00	**44.00**	-2	2.06	2.06	-	2.26	2.26	-
OGE Energy Corp. (OGE)	OW	**EW**	47.53	52.00	**48.00**	-8	2.42	**2.45**	1	2.57	**2.59**	1
WEC Energy Group, Inc. (WEC)	EW	EW	108.71	117.00	**108.00**	-8	5.59	**5.62**	1	5.91	**6.03**	2

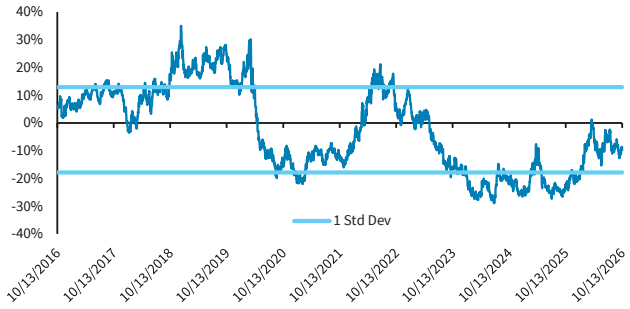
Source: Barclays Research. Share prices and target prices are shown in the primary listing currency and EPS estimates are shown in the reporting currency. FY1(E): Current fiscal year estimates by Barclays Research. FY2(E): Next fiscal year estimates by Barclays Research. Stock Rating: OW: Overweight; EW: Equal Weight; UW: Underweight; RS: Rating Suspended Industry View: Pos: Positive; Neu: Neutral; Neg: Negative.

Macro Update

Utilities are now trading at a discount of ~10% on FY2 P/E vs. the S&P 500 as they have underperformed the S&P 500 by ~15% YTD. As we discuss further in this report, we believe the sector has already started to reflect the risk of higher rates. We attribute this not only to wider affordability concerns, midterm noise on electric rates, and data center contracting, but also the prospects of higher interest rates and how they have historically been viewed as negative for bond proxies like the US utilities group.

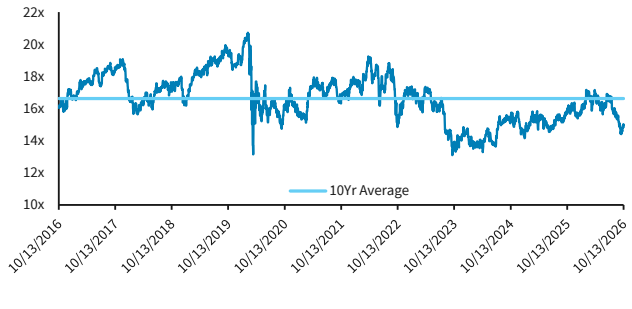
To this end, we remain bullish on the group into results and over the long term. We continue to see this as a positive set-up for the sector, which we believe is going to see further acceleration of EPS, RAB and large load growth.

FIGURE 1. Barclays Utilities Sector Relative 2Yr Forward P/E to SPX



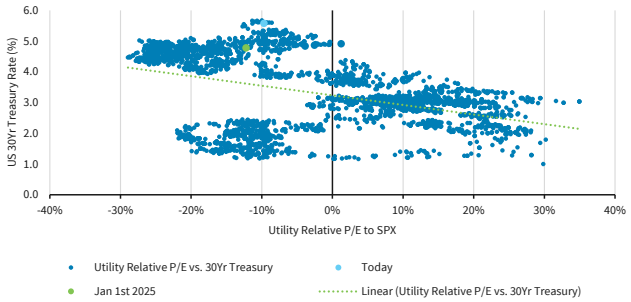
Source: Bloomberg, Barclays Research

FIGURE 2. Barclays Utilities Sector 2Yr Forward P/E



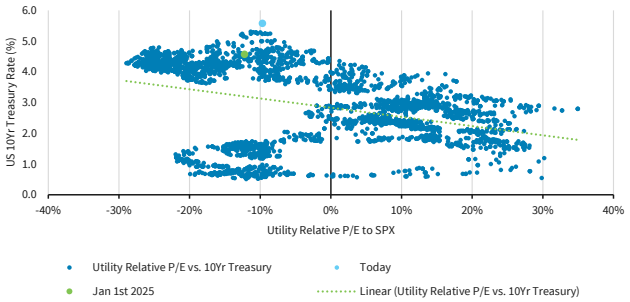
Source: Bloomberg, Barclays Research

FIGURE 3. Utility Relative P/E vs 30 Yr Treasury



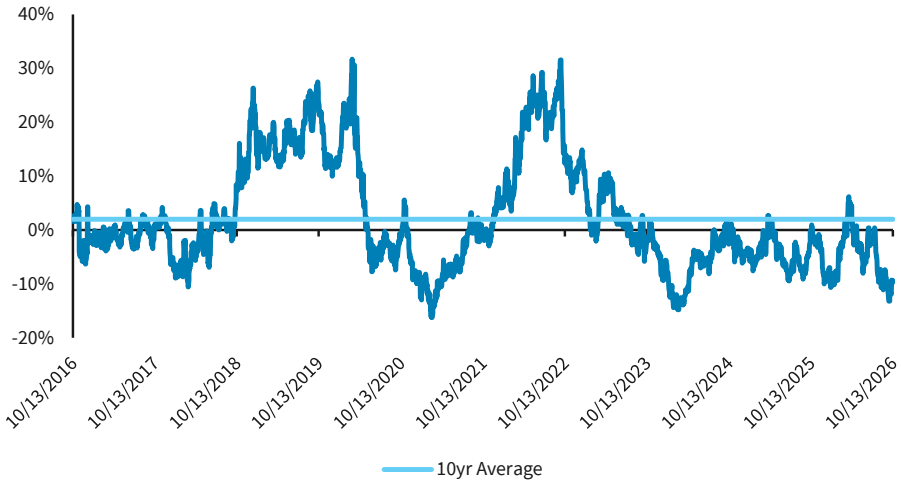
Source: Bloomberg, Barclays Research

FIGURE 4. Utility Relative P/E vs 10 Yr Treasury



Source: Bloomberg, Barclays Research

FIGURE 5. Utilities vs. S&P 500 on an equal-weighted basis



Source: Bloomberg, Barclays Research

PM Summaries

FIGURE 6. PM Summaries Part 1

Ticker	Rating	Price Target	Current Price	Dividend Yield (%)	Total Return (%)	3Q26 EPS			FY2027			PM Summary
						Barclays	Consensus	%	Barclays	Consensus	%	
AEE	Equal Weight	$109	$106	3%	6%	$2.29	$2.33	-1%	$5.80	$5.80	0%	We expect AEE to refresh guidance, including FY27 EPS, capex, and financing plans, and potentially raise its long-term EPS CAGR from the current 6-8% range to 7-9%+. We see growth driven by MISO transmission investment and Missouri's Preferred Resource Plan, with IRP-related capex rising by ~$8-11bn through 2035. Our FY27 EPS estimate is $5.80/sh, implying 8.5% YoY growth.
AEP	Equal Weight	$120	$127	3%	-3%	$2.01	$2.02	-1%	$6.85	$6.88	0%	Investor expectations are high heading into the 3Q update. We expect a nearly 20% increase in the five-year capital plan to $93B driving a 9.5% EPS CAGR. We think the Street could be expecting 10%+ CAGR.
AQN	Overweight	$6	$5	5%	19%	$0.11	$0.10	16%	$0.40	$0.41	-1%	Redomiciling process progressing and new Missouri large load tariff filed. Asset sales / portfolio strategy, and a slew of rate case updates could also be topical.
AVA	Equal Weight	$35	$37	5%	1%	$0.39	$0.40	-1%	$2.84	$2.78	2%	We expect the primary focuses on the earnings call to be the Washington rate case, a five-year capex update, wildfire costs and potential recovery, paused data center negotiations, and the upcoming 2027 IRP. Incremental capital opportunities have not been identified to date now that the data center is paused. An update to the long-term EPS growth rate is unlikely until the rate case concludes.
AWK	Underweight	$127	$135	3%	-3%	$2.03	$2.07	-2%	$6.61	$6.60	0%	We expect AWK to reaffirm FY26 guidance of $6.02-$6.12/sh, LT EPS CAGR of 7-9% through 2030, a capital plan through 2030 of $19bn-$20bn, a rate base CAGR of 8-9% and financing plan of $11.8bn in debt financing and $2.5bn of equity issuance to support the capex plan. We expect a quiet call that will be focused on the progress of the merger as well as a regulatory update.
CMS	Overweight	$72	$69	3%	8%	$1.35	$1.26	7%	$4.16	$4.16	0%	Our 3Q26 EPS estimate is above consensus. We anticipate CMS could point to at least the top end of 2026 EPS guidance. We are modeling modestly over the guidance range. We expect all other aspects of the financial plan to be unchanged until the Q4 update. MI Elections & NStar strat review key focus items.
CNP	Equal Weight	$41	$41	2%	3%	$0.50	$0.49	1%	$2.08	$2.09	-1%	We expect an update to the capital plan through 345kV distribution investment in TX in the order of ~$1bn+ (we estimate every $1bn of incremental capex = +$0.02/sh in EPS. A rate case in Indiana due by end of year clashes with an affordability hearing. We estimate $0.50/sh EPS for 3Q26 vs consensus $0.49/sh and we estimate $2.08/sh of FY27 EPS vs consensus $2.09/sh .
CPK	Equal Weight	$124	$132	2%	-4%	$0.93	$0.96	-2%	$7.31	$7.35	-1%	We expect CPK to reaffirm FY26 capex of $550-600mn, a 5-year capex plan of $1.5bn-$1.8bn, and FY28 EPS of $7.75/sh-$8.00/sh. The call will primarily be focused on FCG rate case, FEP/WRU project updates, and if CPK will provide FY27 EPS guidance.
D	Overweight	$65	$64	4%	6%	$1.23	$1.18	5%	$3.80	$3.81	0%	We expect a quiet quarter. We estimate $1.23 of EPS vs $1.18 EPS consensus. The merger arb spread remains around 2.5%. We expect updates on the merger (specifically the Robo Memo), a narrowing of FY26 guidance to the top half of the range ($3.50-3.60/sh), the Millstone PPA, and the IRP.
DTE	Equal Weight	135	$130	$0	8%	$2.16	$2.27	-$0.05	$8.27	$8.35	-1%	DTE is expected to provide an early look at 2027 EPS (not formal guidance) and roll forward its 5-yr capex, financing plan, and growth outlook. Our 2027 EPS estimate is modestly below consensus. We expect a YE26 DC update and potential asset sale discussion. Our Vantage analysis suggests ~8% dilution, a high bar to transact, and an overhang.

Source: Company Reports, Bloomberg , Barclays Research, closing prices as of 10/16/26

FIGURE 7. PM Summaries Part 2

Ticker	Rating	Price Target	Current Price	Dividend Yield (%)	Total Return (%)	3Q26 EPS			FY2027			PM Summary
						Barclays	Consensus	%	Barclays	Consensus	%	
DUK	Overweight	$124	$121	4%	6%	$1.85	$1.85	0%	$7.16	$7.16	0%	Qtr looks ~inline: 5-7% EPS to be reaffirmed with re-evaluation into 4Q update. We primarily expect DUK to highlight its North Carolina rate case settlements, incremental capex opportunities, and DC pipeline. HNRG update implies progress on IN DC contracting.
EIX	Equal Weight	$53	$56	6%	1%	$1.81	$1.81	0%	$6.51	$6.50	0%	Our 3Q26 EPS is below consensus, likely on a one-time adjustment that we ultimately expected to get reflected in Street estimates. We expect a quiet update. We anticipate EIX will continue to field questions about capital allocation in light of failed wildfire legislation, provide its latest views on the possibility for a special legislative session, and discuss the Wildfire Recovery Compensation Program.
EMA	Equal Weight	$67	$67	4%	4%	$0.88	$0.97	-10%	$3.66	$3.65	0%	Our 3Q26 EPS estimate is below consensus. We expect the primary focus of the earnings call to be the announced CU acquisition. The company's roll forward / update to its full financial plan will also be topical. The company has not yet specified incremental capital opportunities.
ETR	Overweight	$115	$105	2%	12%	$1.62	$1.69	-4%	$5.22	$5.11	2%	ETR will reaffirm FY26 EPS guidance of $4.25-$4.45/sh, LT EPS CAGR through 2030 of greater than 8%, total retail CAGR of ~9%, industrial CAGR of ~16%, capex plan and a potential data center opportunity set of ~7-12GW. We do not anticipate ETR will roll forward the capex plan. Mangement is expected to discuss ETR-NO FRP, Cotton Wood Plant, and Hyperion Settlement.
EVRG	Overweight	$86	$83	3%	7%	$2.36	$2.22	6%	$4.52	$4.55	-1%	We expect EVRG to reaffirm guidance of $4.14-$4.34/sh, LT EPS CAGR of 6-8%+, and 8%+ in 2028 through 2030, LT capital plan of $21.6bn through 2030, and LT rate base CAGR of 11.5% through the plan. We expect management to discuss MO Metro rate case, data center pipeleine, MO West rate case filing, and where they stand on equity issuance YTD.
EXC	Equal Weight	$44	$44	4%	5%	$0.80	$0.81	0%	$2.98	$3.05	-2%	We expect EXC to reaffirm 2026 EPS guidance of $2.81-$2.91/sh, LT EPS CAGR of 5-7%, capex plan through 2029 of $41.7bn, rate base CAGR of 7.9% through the plan, and finance plan through 2029 to support the capex plan. EXC will discuss storage opportunities in NJ, DE, and MD, PECO rate filing, regulatory PA and political Environment.
FE	Overweight	$49	$46	4%	10%	$0.90	$0.90	0%	$2.96	$2.95	0%	FirstEnergy expects a decision on its West Virginia CPCN filing ($2.7B) by the end of October 2026, which if approved, the company will incorporate into its capital plan - Watching for 3Q or EEI update, Barclays 1-2% above Street EPS in 2028+; NJ rate case and elections (OH / PA) front & center too.
FTS	Overweight	$76	$79	3%	0%	$0.84	$0.91	-7%	$3.97	$3.87	2%	FTS will roll forward and update its five-year capital plan. The company has spoken to several sources of incremental capital opportunities, from Tilbury, MISO-related spending, Arizona IRP potential, and data centers. Many opportunities extend past 2031.
H.TO	Overweight	$57	$54	3%	9%	$0.70	$0.69	2%	$2.46	$2.40	3%	We expect the primary focus to be on the newly filed JRAP, which was mostly in line with expectations in terms of capital and equity thickness.
HE	Equal Weight	$9	$9	0%	5%	$0.06	$0.09	-28%	$1.07	$0.98	9%	HE faces several headwinds. The latest is high storm costs. Amid elevated oil prices (i.e., high customer bills), we see some risks for HE given the number of requests it will have in front of the PUC that would further raise bills, including: 1) pending rebasing proposal, 2) upcoming PBR Phase VI application; and 3) planned storm cost recovery filing.
HTO	Overweight	$65	$58	3%	6%	$1.06	$1.19	-11%	$2.82	$2.76	2%	We expect HTO to reaffirm FY26 guidance of $3.08-$3.18, LT EPS CAGR of 6-8%, capex plan of $2.7bn over 5yrs, LT rate base CAGR of 13%, and financing plan.We expect management to discuss M&A activity, pending TX rate case filing, and CT/ME rate cases.
IDA	Overweight	$149	$138	3%	10%	$2.52	$2.51	0%	$6.95	$6.95	0%	We expect the primary focus of the earnings call to be disclosure of the 2032 RFP shortlist and an update to the five-year load growth forecast (biased higher). RFP could present up to $500mm of incremental capex opportunity, on our estimates, to be incorporated in 4Q. We anticipate a Micron Fab 2 ESA will be topical in addition to the amended (subject to approval) META contract.

Source: Company Reports, Bloomberg , Barclays Research, closing prices as of 10/16/26

FIGURE 8. PM Summaries Part 3

Ticker	Rating	Price Target	Current Price	Dividend Yield (%)	Total Return (%)	3Q26 EPS			FY2027			PM Summary
						Barclays	Consensus	%	Barclays	Consensus	%	
LNT	Equal Weight	$68	$68	3%	3%	$1.33	$1.26	6%	$3.72	$3.68	1%	We expect LNT FY27 EPS guidance, Capex through 2030, finance plan, and LT EPS CAGR which LNT has communicated that they are re-evaluating. As it stands, we think EPS power ties closer to an ~9.0% EPS CAGR off of FY26 mid-point of $3.40. On the call we expect LNT to discuss data center backlog, the Riverawk simple cycle project, IA/WI elections, WI rate case, and a new steel plant customer.
NEE	Equal Weight	$84	$80	3%	8%	$1.23	$1.22	1%	$4.37	$4.39	0%	We expect the primary focus of the call to be on execution of the merger amid the noise / opposition. Company to provide update on renewable origination (we anticipate 3-4 GW) and we expect it to reiterate its development program. We expect federal hubs to be topical.
NI	Overweight	$44	$43	3%	6%	$0.25	$0.22	16%	$2.26	$2.25	0%	Our 3Q26 EPS estimate is above consensus. We expect NI to reaffirm 2026 EPS guidance, initiate 2027 guidance (our estimate $2.26 vs. consensus of $2.25), and extend its full financial plan through 2033. Expect NI to maintain its 6-8% base EPS CAGR and 9-10% consolidated CAGR, supported by GenCo cash flow and the Microsoft agreement, which we estimate adds $0.08 of EPS by 2030.
NWE	Overweight	$70	$75	4%	-3%	$0.70	$0.73	-4%	$3.96	$3.97	0%	The focus on the call will be getting the BKH merger to the finish line which awaits final approval in Montana. Other key points will be progress on the Quantica data center ESA which is expected by YE and the large load tariff filed in March which still awaits a timeline.
OGE	Equal Weight	$48	$48	4%	5%	$1.35	$1.23	10%	$2.59	$2.61	-1%	We expect an update-light call as OGE's many near term catalysts fall in Nov. and beyond. Key dates to watch include Nov. 3 LL tariff decision, Nov. 17 SPP board meeting (ITP projects), and Nov. 30 RFP agreements. There is still no timeline for the Google data centers which await OCC approval.
PCG	Overweight	$17	$13	2%	31%	$0.41	$0.42	-2%	$1.78	$1.80	-1%	Expect a quiet quarterly update as the strategic review progresses, to be addressed later. CPUC's Nov 1 report is key in shaping a special session, which we still see as lower probability. We see upside from capital allocation, dividend and strategic review.
PEG	Equal Weight	$76	$71	4%	10%	$1.22	$1.18	3%	$4.39	$4.66	-6%	Widening '27/'28 negative PECO basis considerably lowers our respective FY EPS estimates -4.5% and -2.9%. However, there are several tailwinds including contracting its nuclear fleet through long term PPAs, nuclear uprates, and high power prices in the out years that PEG could potentially capture. We estimate 3Q26 EPS of $1.22 vs $1.17 consensus and we expect mgmt to reaffirm FY26 guidance of $4.28-4.40.
PNW	Equal Weight	$94	$103	4%	-6%	$3.37	$3.24	4%	$5.56	$5.60	-1%	Our 3Q26 EPS estimate is above current consensus and we expect PNW to raise its 2026 EPS guidance or point above the range. The pending rate case, November election, and the IRP filing will be key items on the earnings call.
PPL	Overweight	$38	$35	3%	11%	$0.52	$0.52	0%	$2.13	$2.12	0%	PPL could narrow its 2026 EPS guidance. The company typically does a comprehensive financial plan update on its 4Q call. However, the base plan could be rolled out to 2030 with GenCo JV still excluded; Invitium updates will be a focus. Every $1bn of regulated capex = $0.03 or 1% uplift to LT EPS.
SO	Equal Weight	$92	$91	3%	4%	$1.74	$1.68	3%	$4.93	$4.92	0%	We expect the call to be focused on the large load pipeline, GA election, ongoing GA and AL RFPs, and storm costs. We expect mgmt to reaffirm all aspects of earnings guidance and the financing plan. Our 3Q EPS is above street consensus.
SRE	Overweight	$90	$83	3%	11%	$1.25	$1.19	5%	$5.63	$5.53	2%	We expect Texas 765-kV & Batch Zero to be key topics of discussion, in addition to California special session possibility and GRCs. We anticipate the base capex plan to be reaffirmed but it's possible there is a preview of what's to come in Q4. SIP asset sales should remain on track

Source: Company Reports, Bloomberg , Barclays Research, closing prices as of 10/16/26

FIGURE 9. PM Summaries Part 4

Ticker	Rating	Price Target	Current Price	Dividend Yield (%)	Total Return (%)	3Q26 EPS			FY2027			PM Summary
						Barclays	Consensus	%	Barclays	Consensus	%	
WEC	Equal Weight	$108	$109	4%	3%	$0.97	$0.97	0%	$6.03	$6.00	1%	We expect WEC to provide a updated capex plan, finance plan, and asset base CAGR. We see the management primarily discussing Wisconsins rate case, Microsoft data cneter project, the vanatage project, new data center customer that has the potential of being 400MW, as well as the Point Beach PPA. We update capex assumptions adding $2.5bn which impacts our 2028 EPS numbers by 1-4% in FY28.
WTRG	Underweight	$40	$41	4%	1%	$0.35	$0.35	1%	$2.40	$2.40	0%	We expect WTRG to reaffirm LT EPS CAGR of 5-7% from the adjusted 2024 earnings of $1.97 through 2027, FY26 capital plan of $1.7bn, and FFO to net debt ratio of 12%. We are expecting a quiet quarter that will be focused on merger as well as the joint application of approval in PA which stipulated that Aqua PA cannot file a rate case until after June 2027.
XEL	Overweight	$85	$76	3%	14%	$1.37	$1.36	1%	$4.56	$4.53	1%	We believe XEL could formally guide to a 8-10% EPS CAGR as they roll fwd the capital plan which we expect to be in the $70-$75Bn range. XEL offers near sector leading EPS growth and trades at a -6% FY28 P/E disc. Which we do not expect to last. We believe wildfire risk is overcompensated for in the current multiple

Source: Company Reports, Bloomberg , Barclays Research, closing prices as of 10/16/26

Key Themes

- **Large load demand continues to be a dominant theme for utilities**. Companies across the Midwest, Southeast, Texas, and PJM regions continue to report strong customer activity, with projects increasingly progressing from announcements to signed contracts, generation procurement, transmission planning, and resource development. Utilities in Michigan, Indiana, Georgia, Pennsylvania, and Texas highlighted meaningful data center pipelines and continued customer engagement, reinforcing management confidence that hyperscaler demand remains intact despite growing political and community scrutiny / opposition.

- **Key Names We're Watching for Capital and EPS Growth Upside**: With 14 companies raising capital plans or adjusting outlooks, expectations for some could be high. We show our estimates against current consensus seeing the LNT, XEL, WEC, AEP, PNW (4Q), and PPL as having >1% revision potential against consensus in 2028/ 2029. Utilities continue to identify incremental investments tied to data centers, transmission expansion, reliability projects, and generation additions. Management commentary has suggested that 3Q, EEI, and year-end updates could incorporate additional capital and support stronger long-term EPS growth. In terms of 3Q updates:

    - **AEP:** As mentioned, on our estimates, the company is expected to roll forward / raise its five-year capital plan (possibly provide seven-year outlook) by nearly 20%, which would drive a 2025-2031 EPS CAGR of at least 9.5% on our forecast versus the company's current forecast of >9% through 2030 off the same 2025 base.

    - **AEE:** We see management providing FY27 guidance and rolling out the capital plan another year, where we have already modeled a 20% y/y uplift. Key items to watch will be sales growth inflection, how mgmt changes the CAGR (we expect 7-9%) and how the outlook is handicapping 2027 rate filings in Illinois.

    - **DTE**: Given approval of the Google contract ($5B of capex through 2032), we expect the company to guide to an EPS CAGR outlook of ~8% for 2027-2030 and potentially beyond. The company has said a broader full financial plan update is anticipated on the 3Q call. At the same time, we await to see if there is a wider Vantage updates in our view there could be dilution

    - **FE**: FirstEnergy expects a decision on its West Virginia CPCN filing ($2.7B through 2032) by the end of October 2026, which, if approved, the company will incorporate into its capital plan. We assume it will be approved and are 1-2% above Street EPS in 2028-2030.

    - **IDA:** Idacorp is expected to provide its final shortlist for the 2032 RFP. The self-bids include six gas plants and two storage facilities. IDA has a 100% ownership win-rate with gas and ~60% with storage. We think there is an opportunity for up to $500mm of capex, which would be incorporated on the 4Q call. An updated load growth forecast for the June 2027 IRP will be presented on the 3Q call. It is expected to be higher than the five-year 8.3% growth outlook from the 2025 IRP. A Micron Fab 2 ESA is anticipated later this year.

    - **CNP:** 345KV capex update, we see every $1bn of CapEx = $0.02/sh or 90bps update to EPS.

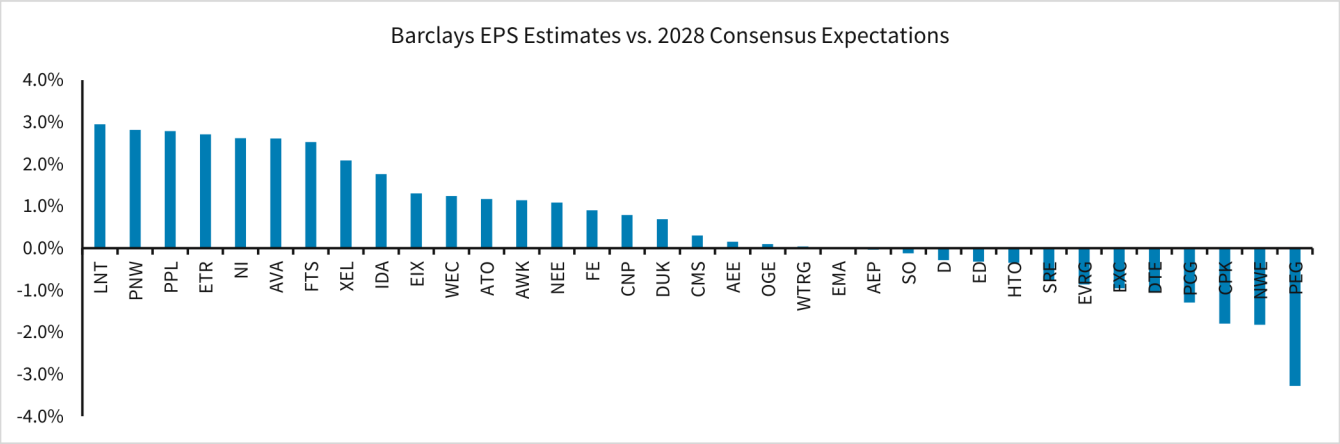
    - **PPL:** Mgmt could possibly roll forward the plan to 2030 but hasn't explicitly committed; we estimate every $1bn of CapEx = $0.03/sh of EPS.

    - **XEL:** Expecting ~$73bn capital plan to drive EPS closer to an 8-10% EPS outlook, with y/y EPS growth coming to 9%+ into 2027 as well. XEL stands out as meaningfully well

positioned at the top of the sectors growth algorithm while having the balance sheet to support the investment.

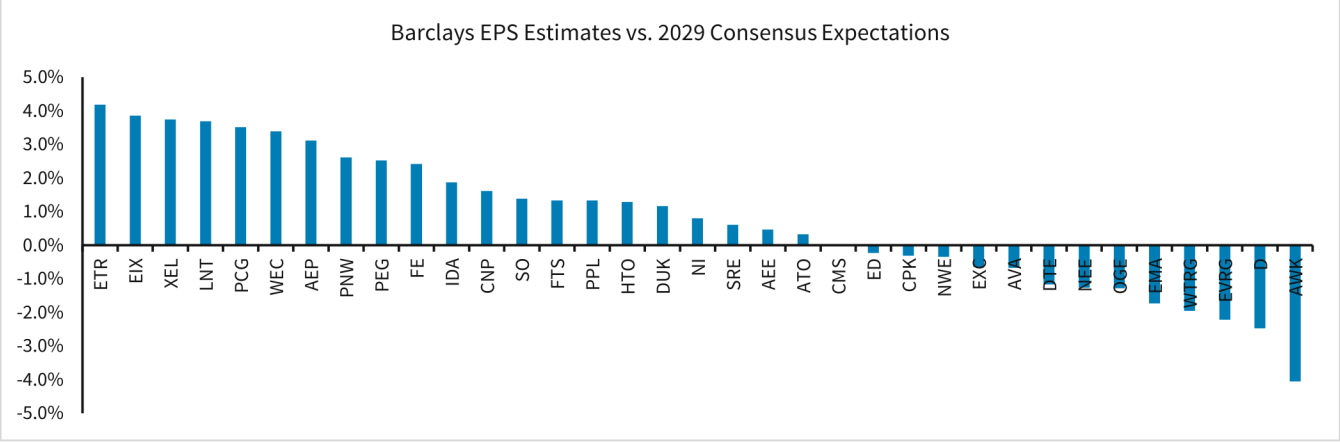
Sector Equity Issuance Is Growing While Sector Multiple Degrading. Utilities across the sector we expect to issue 2.5% of their market cap a year over the next 5 years to fund growth. This is likely to increase as utilities fund 30-50% of new capex with equity on EEI roll forwards. There is increased negative pressure on 2028-2030 estimates for mid-sized companies due to the size of the equity needs and multiples now generally 2.0x lower from their peak of 17.0x on FY2 P/E. We expect this to be a growing theme for some into EEI whereas we expect **NiSource (NI)** to positively address financing in the out-years with this GenCo cashflow evolution, and we focus on **OGE** and **EVRG** as the recent MtM is driving our estimates now below consensus. **XEL** we think is also well positioned with a material amount of financing de-risked for the prior 5yr plan YTD.

FIGURE 10. US Utilities Variances vs. Consensus (2028)



Source: Barclays Estimates, Bloomberg

FIGURE 11. US Utilities Variances vs. Consensus (2029)



Source: Barclays Estimates, Bloomberg

- **Canadian Utilities: Emera / Fortis Plan Roll-Forward:**
  - **EMA / EMA.TO:** We are relatively negative heading into the Emera update. We expect a 3Q26 EPS miss with our estimate at $CAD 0.88 versus current consensus of $CAD 0.97. First, investors still need to be convinced on the full merits of the announced CU acquisition. On a standalone basis Emera is expected to update / roll forward its capex and financing plan through 2031. As a reminder, the company typically does not update its long-term EPS growth outlook until the 4Q call and does not provide current-year guidance at all. In terms of capital, Emera has indicated that two new gas turbines (new net generation of 700-750 MW) will enter the capex program, which we estimate at ~$USD 1.5 billion of incremental spend. Emera has not identified any other specific incremental capex opportunities yet that could enter the program. In terms of financing, we anticipate the company will guide to modestly higher than 10% equity financing of its capex, similar to the 10% in the current base plan but modestly higher because the asset sale program is now complete.
  - **FTS / FTS.TO:** We expect a positive update for Fortis as they have identified several incremental capital opportunities, some of which could be rolled into the plan. FTS has said it will roll forward / update its capital plan on the Q3 call to reflect 2027-2031 planned investment. The company's current 2026-2030 capex plan totals CAD 28.8 billion. Some of the below incremental opportunities the company has identified extend beyond 2031, and the profile of spend has not all been disclosed. For Tilbury in British Columbia, at a minimum, we expect the new program to incorporate the Phase 1B expansion (up to CAD 2 billion, shared in an equity partnership), but also possibly incremental capital associated with Tilbury 2, which could be sizable. For ITC, we expect part of the CAD 3.3-3.8 billion of non-competitive MISO Tranche 2.1 transmission investment opportunities to be included and also potentially be part of the competitively bid MISO opportunity for two Iowa Tranche 2.1 projects. The Iowa projects include MARS (USD 1.5 billion MISO estimate) and EASL (USD 1.2 billion MISO estimate). A decision on one of these projects (and potentially both) is expected on October 23rd, before the earnings call. For Arizona, we expect the upcoming IRP to identify new investment opportunities. Also, to the extent there is an announcement on Project Blue, that would be incorporated into the plan. We note Fortis typically only includes projects with a high degree of certainty in its base capex programs. On the 3Q25 call last year, the company rolled forward and raised its five-year capital plan by 11%.
  - **H.TO**: For Hydro One, we expect a neutral update as all the focus is on the very newly filed JRAP for 2028-2032. We do not expect the company to change its financial plan for the current JRAP period through 2027. For the subsequent JRAP period, guidance will be issued upon conclusion of the case at an Investor Day, likely in late 2027.
  - **AQN / AQN.TO:** We expect a neutral update for Algonquin as we expect a broader financial plan update on the 4Q call. We anticipate the company will continue to speak to the redomiciling process, which is ongoing. We also expect them to highlight the recently-filed large load tariff in Missouri and speak to interest rate hedges that it has already disclosed. Portfolio strategy could come up in light of the announced Suralis utility divestiture.
- **November 2026 election is a key focus:** Gubernatorial elections will be held in 36 states this year, while five utilities commissions will have seats up for grabs. The following ten states with elections have close polls and / or have historically been swing states: 1) Arizona (governor and two commission seats up); 2) Florida (governor); 3) Georgia (governor and two commission seats up); 4) Iowa (governor); 5) Michigan (governor); 6) New Mexico (governor); 7) Ohio (governor); 8) Pennsylvania (governor); 9) Texas (governor); and 10) Wisconsin

(governor). Given significant public opposition, data centers have been a hot election topic. Both Democrats and Republicans have been proposing some form of restrictions / protective measures for consumers, though Democrats have held an even more restrictive stance. Both parties have campaigned on affordability with different approaches to it. Regarding generation, Democrats generally have been more supportive of renewables and Republicans more supportive of fossil fuel and nuclear. Further in this report we provide more detail about specific candidates and their political positions / polling.

- **Affordability remains the primary regulatory issue across most jurisdictions**. Michigan regulators continue to evaluate multi-year rate plans, competitive procurement, and improved utilization of existing assets, while Pennsylvania policymakers remain focused on ROEs, customer bill impacts, and large-load protections. FE and PPL have described engagement in Pennsylvania as constructive, while EXC has not committed to a PECO filing date. Indiana faces ongoing scrutiny around affordability proceedings and storm response issues. DUK and NI have remained constructive in our discussions with them. Across states, utilities increasingly frame large load growth as customer-friendly by emphasizing bill credits, improved fixed cost absorption, and customer-funded infrastructure investment.

- **Texas 765-kV and Batch Zero uncertainty**: Texas remains one of the largest long-term investment opportunities despite recent uncertainty surrounding Batch Zero studies and 765-kV transmission projects. Management teams have broadly characterized the audit and procedural delays as temporary rather than a structural problem. Utilities continue to point to large interconnection queues, substantial customer collateral commitments, and growing infrastructure needs. Most executives expect election-related opposition to moderate after the midterms, leaving transmission and load-growth opportunities largely intact. AEP remains confident in 45 GW of Batch Zero load supported by more than $2 billion of collateral and a 100 GW interconnection pipeline. SRE views the audit as overdue diligence rather than a threat.

- **Gas, storage, transmission and nuclear essential for resource plans**: Utilities increasingly view gas generation, storage, transmission, and nuclear power as essential components of future resource plans. Nuclear assets continue to attract premium value given growing demand for firm carbon-free power. Gas generation remains the preferred near-term solution for many utilities supporting large load growth.

- **Supply chain concerns have somewhat moderated**, with most companies reporting reasonable access to equipment, while labor availability and project execution have emerged as the more significant constraints.

- **Our latest views on the California wildfire legislative process - still low odds into Nov 30.** As we continue to interact with stakeholders in the state of CA, our view has been that California's legislature lacked consensus on the scale of the wildfire liability problem and the urgency to act, particularly in one chamber, and that administration efforts to secure buy-in from both houses for structural reform fell short. The prospects for a special session hinge on the Governor's stated willingness, but require a political consensus that hasn't yet emerged.

  We believe midterm elections create a mixed dynamic, since raising utility bills is politically unpopular and many legislators are focused on election-related priorities, which may limit legislative momentum in the near term. On subrogation and insurer concerns, our channel checks reveal concern about regulatory adequacy and risk-reward balance, with one durable, longstanding insurance-industry coalition stressing there are no easy answers, and noting the industry has faced a persistent challenge in California for roughly seven years.

- **Dominion / NextEra merger process ongoing:** Procedural schedules in Virginia and South Carolina are pointing towards final decisions around January 2027 and North Carolina in mid-to-late 2Q27.

  Virginia is clearly the hottest battleground (governor intervention, legislative pressure, advocacy litigation, protests), South Carolina's opposition is more grassroots/advocacy-based with muted political voice, North Carolina has been relatively quiet.

  We remain focused on the current Robo Memo in the merger proceeding where petitioners filed asking for viewing limits where Staff and intervenor representatives who signed the protective agreement could read the memo only at outside counsel's office. D says it has used in-person-only review before, for SMR customer MOUs and for tax returns in rate cases, without objection. On Oct. 8, the VA SCC Chief Hearing Examiner approved D/NEE's request that the Robo Memo be reviewed in person only, at the companies' outside counsel's office, by SCC Staff and by intervenors who have signed the protective agreement. He also directed that sealed copies go to the Hearing Examiners' office and to Commission counsel for possible private review by the judges. He denied D/NEE's request to temporarily pause his Oct. 2 production order as moot and directed that access be provided on request without delay. He rejected Clean Virginia's argument that copies must be produced, and he did not rely on D/NEE's claims about intervenor conduct. Whether the memo can be entered as evidence is still for the Commission to decide. Next dates to watch: Nov 5, 9, and 10 public hearings, Nov 12 Comment deadline, and Nov 17 Evidentiary hearings.

  NextEra is proposing an enhanced benefits package in Virginia. Under the new package, the residential bill credit portion increases to ~$1.5 billion over four years (versus $575 million for two), funded by reallocating the $490 million from data centers plus an incremental $85–90 million in shareholder-funded costs. These are round numbers, but in our view equate to an extension of the $10/month rate credit for four years (from two) for residential ratepayers. Amazon already filed for support in the cost allocation, which de-risks this process with large-load customers. There is also a new $100 million economic development/workforce fund and a $100 million increase (10-year, $10 million/year) to low-income assistance through 2038. We caught up with NEE and D management following the announcement of the package (see our note).

- **Broader industry consolidation**: Beyond this NEE/D transaction, management teams generally acknowledged that scale, financing flexibility, and access to capital are becoming increasingly valuable as industry investment requirements continue to rise, though few companies have shown interest in pursuing near-term acquisitions.

- **Taking a look at refinancing risk:** On September 16th, the Fed raised interest rates for the first time since 2023 and now has a targeted federal funds rate of 3.75-4.00%. US Treasury yields have continued to increase as resilient economic growth and sticky inflation keep rate expectations elevated. We have also seen an expanded federal deficit and a wave of corporate debt issuance. The 10-year Treasury yield now sits around 5.2% and the 30-year yield is above 5.5%, the highest levels since 2007. The Moody's Baa Utility Bond Index now sits at 6.66%, the highest level since 2008. Utilities pass through higher cost of debt in their regulated rate structures, but still have exposure at the holding company level. Higher interest rates can also pressure bill headroom for future investment, which is important against the current affordability backdrop. Higher rates offer 0-4% risk to EPS across our coverage (more detail further in this report) when gauging refinancing risk at the HoldCo, and ~100bps on average for the sector. On an aggregate basis through 2028, WEC appears to have the greatest earnings exposure, followed by CMS, NEE, LNT, AEE, and CNP. At the other end of the spectrum, several names have very limited impact from this issue. ED and ETR stand out

as the most positive in large caps. Best-positioned names include ETR, ED, ATO, HE, CPK, PEG, OGE and IDA, in our view. We believe the sector has already underperformed well in excess of the potential earnings revision from higher interest rates, and see this as a buying opportunity for the Utilities sector into 3Q updates / EEI.

- **GenCo structure actively being evaluated by some utilities:** Some companies are actively evaluating GenCos that could mimic NiSource's structure in Indiana. The view is that they could provide greater flexibility and speed in developing generation resources for large customers. AEP has noted GenCo possibilities in West Virginia, Indiana and Oklahoma, to serve accelerating hyperscaler demand. FE has been focused on a possible GenCo structure in West Virginia.

- **Investors have been excited about West Virginia prospects** given that the state has been so focused on economic development and large load growth. The primary companies this applies to in our coverage include AEP and FE. Company priorities are bringing generation online more quickly, protecting existing customers, and supporting state economic growth. The ability to attract outside capital while maintaining customer protections could become an important catalyst as the company works through regulatory and commercial decisions. As mentioned, both companies have acknowledged that a GenCo structure is under consideration.

- **Key 3Q26 EPS beats / misses:** We see a relatively balanced 3Q earnings setup, with slightly more misses than beats across our coverage. Weather remains a headwind for several Midwest utilities, while the year-over-year comparison is more difficult given favorable weather in 3Q25. Despite quarterly variability, we do not expect widespread reductions to FY26 guidance at this stage; most companies should reaffirm their ranges.

- **Key beats include:** NI ($0.25 EPS vs. consensus of $0.22), benefiting from continued execution against its base plan; AQN ($0.11 vs. $0.10); OGE ($1.35 vs. $1.23); CMS ($1.35 vs. $1.26), where our forecast supports management pointing to at least the top end of FY26 guidance; EVRG ($2.36 vs. $2.22); LNT ($1.33 vs. $1.26); and SRE ($1.25 vs. $1.19).

- **Key misses include:** HE ($0.06 EPS vs. consensus of $0.09), reflecting storm-cost and customer-bill pressures; HTO ($1.06 vs. $1.19); EMA ($0.88 vs. $0.97); FTS ($0.84 vs. $0.91); DTE ($2.16 vs. $2.27); and ETR ($1.62 vs. $1.69). We expect these companies generally to absorb the quarterly variance and maintain FY26 guidance.

- **FY26 guidance upside:** PNW is the clearest candidate to raise guidance or point above its existing range. CMS could point to at least the top end, while D could narrow guidance to the upper half. H.TO, SRE and LNT also have positive estimate skew, although formal guidance changes appear less likely this quarter. Conversely, despite positive full-year estimate deltas, we would not frame HE, HTO or FTS as guidance-raise candidates given their expected quarterly misses and company-specific uncertainties.

November 2026 Elections

Gubernatorial elections will be held in 36 states this year, while five utilities commissions will have seats up for grabs. The following ten states with elections have close polls and / or have historically been swing states: 1) Arizona (governor and two commission seats up); 2) Florida (governor); 3) Georgia (governor and two commission seats up); 4) Iowa (governor); 5) Michigan (governor); 6) New Mexico (governor); 7) Ohio (governor); 8) Pennsylvania (governor); 9) Texas (governor); and 10) Wisconsin (governor). At a high level, below are the dynamics at play in these states with more detail about candidates and their political positions / polling further below.

FIGURE 12. Companies Reporting Earnings Pre- and Post-Election on November 3

Earnings Release Pre-Election			Earnings Release Post-Election		
Company	**Ticker**	**Earnings Date**	**Company**	**Ticker**	**Earnings Date**
NextEra Energy, Inc.	NEE	10/21/2026	Essential Utilities, Inc.	WTRG	11/3/2026
PG&E Corporation	PCG	10/22/2026	AES Corp.	AES	11/4/2026
H2O America	HTO	10/26/2026	Avista Corp.	AVA	11/4/2026
CMS Energy Corporation	CMS	10/27/2026	Eversource Energy	ES	11/4/2026
CenterPoint Energy, Inc.	CNP	10/27/2026	NorthWestern Corporation	NWE	11/4/2026
FirstEnergy Corp.	FE	10/27/2026	Ameren Corp.	AEE	11/5/2026
American Water Works Company, Inc.	AWK	10/28/2026	DTE Energy	DTE	11/5/2026
NiSource, Inc.	NI	10/28/2026	Duke Energy Corporation	DUK	11/5/2026
OGE Energy Corp.	OGE	10/28/2026	Consolidated Edison, Inc.	ED	11/5/2026
American Electric Power Company, Inc.	AEP	10/29/2026	Evergy Inc.	EVRG	11/5/2026
Edison International	EIX	10/29/2026	PPL Corp	PPL	11/5/2026
IDACORP INC	IDA	10/29/2026	The Southern Company	SO	11/5/2026
Alliant Energy Corporation	LNT	10/29/2026	Sempra	SRE	11/5/2026
Xcel Energy Inc.	XEL	10/29/2026	Chesapeake Utilities Corp	CPK	11/6/2026
Algonquin Power & Utilities	AQN	10/30/2026	Emera Inc.	EMA	11/6/2026
Dominion Energy	D	10/30/2026	Hawaiian Electric Inds	HE	11/6/2026
Exelon Corporation	EXC	10/30/2026	NRG Energy Inc	NRG	11/6/2026
WEC Energy Group, Inc.	WEC	10/30/2026	Constellation Energy	CEG	11/9/2026
Entergy Corp.	ETR	11/2/2026	Hydro One Ltd.	H.TO	11/10/2026
Public Service Enterprise Group	PEG	11/2/2026			
Fortis Inc	FTS	11/3/2026			
Pinnacle West Capital Corporation	PNW	11/3/2026			
Talen Energy Corporation	TLN	11/3/2026			

Source: Barclays Research, Bloomberg

We show which names report before / after elections above which we think also changes the trading dynamic and set up into the 3Q calls. For instance, PNW is the day of the election, while CNP we expect a positive capital acceleration the next data point will be higher important elections in Texas. We also note NEE reporting this coming week may not allow for proper follow through in the stock. On the other hand, SO (GA), EVRG (KS), PPL (PA), and SRE (Texas) investors will have a better handle of the direction of the respective state level outcomes.

- **Arizona:** In the 2026 Arizona gubernatorial race, incumbent Katie Hobbs is running against Republican U.S. Rep. Andy Biggs. s' average has Hobbs leading Biggs 49.4% to 38.0% (Hobbs +11.4) as of its latest update covering polls through 10/8 (link). Hobbs supports expanding renewables, with her Energy Promise Taskforce recommending "deployment of cost-effective, readily-deployable utility-scale wind and solar energy projects" (link). On data centers, she opposes new tax breaks and pushes for stricter resource accountability. In contrast, Biggs has campaigned on lowering energy costs through "reliable, affordable energy sources, including nuclear power" and opposes renewable energy mandates. He has

proposed eliminating state tax incentives for data centers to protect water and energy resources (link).

Four candidates are competing for two seats on the Arizona Corporation Commission: Republican incumbent Kevin Thompson, Republican Ralph Heap, Democrat Jonathon Hill, Democrat Clara Pratte, and Green Party nominee Mike Cease. Thompson defends an "all of the above" approach to generation and says he works to "cut the fat" in utility rate cases while still allowing utilities to recover costs under Arizona law (link). Pratte, a Navajo Nation member running on affordability and access, argues recent double-digit rate hikes from Arizona Public Service and Tucson Electric Power are not "just and reasonable" and reflect poor utility planning rather than grid modernization (link). Hill, an engineer and geologist, contends utilities are over-earning at ratepayer expense, citing more than $600 million in profit generated by APS parent Pinnacle West over two years, and opposes the commission's newly backed "formula rate plan" mechanism that would let utilities seek streamlined annual increases outside the traditional rate-case process (link). Heap, who did not attend the debate, has campaigned alongside fellow Freedom Caucus member David Marshall on being more supportive of a conservative approach to commission policy (link).

- **Florida** has a gubernatorial election this year. The current governor is Republican Ron DeSantis. The Florida PSC is an appointed commission and the current political make-up is 5 Republicans and 0 Democrats. The companies in our coverage with Florida utilities include NEE, DUK, and EMA / EMA.TO.

  The next terms set to expire on the five-member Florida PSC are those of Chairman Gabriella Passidomo Smith (Republican), whose term ends January 1, 2027, and Commissioner Gary F. Clark (Republican), whose term also ends January 1, 2027. Those two seats will be the first opportunities for Florida's next governor to influence the commission's makeup. The remaining commissioners are Mike La Rosa (Republican), whose term expires January 1, 2029, and Bobby Payne (Republican) and Ana Ortega (Republican), who are set to serve through January 1, 2030.

  Florida's governor's race features Republican U.S. Rep. Byron Donalds against Democratic former U.S. Rep. David Jolly, with Libertarian Scott Jewett also on the ballot. s' average has Donalds leading Jolly 48.0% to 43.0% (Donalds +5.0) as of 10/9 (link). Donalds has advocated for requirements that data centers source their own power and water rather than draw on public utility grids. He also argues Florida's new SB 484 law already ensures utility rates "will not go up" due to data centers, though fact-checkers note the law doesn't guarantee that outcome and doesn't cover all utility providers (link 1; link 2). Jolly takes a more restrictive stance, pledging an immediate statewide moratorium on new data center construction - and saying a full ban should be "on the table" - arguing Florida lacks adequate environmental, grid, and ratepayer protections and that utilities are "rushing into a relatively unregulated environment" at residents' expense (link 1; link 2).

- **Georgia** has both a 2026 gubernatorial election and two seats up for the PSC. The current governor is Republican Brian Kemp. For the PSC, one Democrat and one Republican terms are expiring. The Republicans currently have a 3-2 majority. The company this election would impact in our coverage is SO.

  The 2026 Georgia governor's race features Republican nominee Rick Jackson, a healthcare executive, against Democratic nominee Keisha Lance Bottoms, the former mayor of Atlanta, for the open seat vacated by term-limited Gov. Brian Kemp. s' average has Jackson leading Lance Bottoms 48.3% to 46.5% (Jackson +1.8) in polling from mid-July through 10/13 (link). Bottoms is campaigning on a temporary statewide pause on new data center construction, arguing rapid growth in electricity demand is straining the grid and

threatening to raise residential utility bills, and has pointed to Georgia Power's generation-growth estimates jumping from 400 megawatts in 2022 to 8,500 megawatts by 2025 as justification for a reassessment (link). Jackson opposes a moratorium and instead wants local governments to have final say over data center projects, requiring developers to fully cover utility, water, and infrastructure costs and meet transparency and environmental standards rather than halting growth statewide (link). Separately, Jackson has proposed eliminating the roughly 4% state sales tax on residential electricity and natural gas bills to directly lower customer costs (link).

Two seats on the Georgia Public Service Commission are up in November 2026, with Democratic incumbent Peter Hubbard facing Republican challenger Fitz Johnson in District 3, and Republican Josh Tolbert facing Democrat Shelia Edwards for the open District 5 seat vacated by retiring Republican Tricia Pridemore. Johnson, a former commissioner, emphasizes his record helping freeze Georgia Power rates for three years and implementing the 100 MW large load rule requiring commission review of contracts between Georgia Power and large customers like data centers, arguing ratepayers shouldn't bear costs that aren't theirs (link). Hubbard, a former energy analyst, has published a data center cost analysis estimating that discounted data center electricity rates shift more than $1 billion in infrastructure costs onto residential customers, and has pushed unsuccessfully for the commission to reconsider a Georgia Power grid-expansion request tied to data center growth (link). In the District 5 race, both Tolbert and Edwards broadly agree energy bills need to be kept in check and that the commission should do more to shield ordinary ratepayers from data center-driven costs, though they differ in their preferred approach to achieving it (link).

- **Iowa** has a gubernatorial election this year. The current governor is Republican Kim Reynolds. The Iowa Utilities Commission has three appointed commissioners and the current political make-up is 2 Republicans and 0 Democrats (one seat just became vacant). The company this election would impact in our coverage is LNT.

  Chair Sarah M. Martz (Republican appointee) is serving the remainder of a term that expires on April 30, 2027, making her seat the next scheduled expiration. Joshua J. Byrnes (Republican appointee) is serving a term that runs through April 30, 2031. The third seat, previously held by Erik Helland (Republican appointee), carried a term ending April 30, 2029, but became vacant following his resignation effective September 4, 2026; the governor will appoint a replacement to serve the remainder of that term. As a result, the key upcoming term dates are the current vacancy expiring in 2029, Martz's term expiring in 2027, and Byrnes' term expiring in 2031.

  For the 2026 governor's race, Democratic State Auditor Rob Sand faces Republican businessman and farmer Zach Lahn. s' average has Sand leading Lahn 51.7% to 43.4% (Sand +8.3) through its 10/12 update (link). Both candidates have similar positions regarding data centers: Sand has pledged to work with the legislature to require any company building in Iowa to pay full costs, including 100% of utility bills, so growth doesn't raise ordinary Iowans' electric rates, while also calling for transparency on water and energy usage and local public hearings before projects are approved (link). Lahn similarly wants data centers to pay "100% of their costs, including utility bills," opposes tax incentives for the facilities, and has proposed state-level regulation, though he has also floated charging data centers up to five times the standard property tax rate to offset residents' costs rather than a regulatory approach centered on utility bills alone (link 1; link 2).

- **Michigan** has a gubernatorial election this year. The current governor is Democrat Gretchen Whitmer. The Michigan PSC has appointed commissioners and the current political make-up is 2 Democrats and 1 Republican. Michigan has a requirement that no more than two

commissioners belong to the same party. The companies this election would impact in our coverage include CMS, DTE, and AEP.

The MPSC currently consists of Chair Dan Scripps (Democrat), Katherine Peretick (Democrat), and Shaquila Myers (Republican). The most important upcoming expiration is Scripps's Democratic-held seat on July 2, 2027, followed by Peretick's Democratic-held seat on July 2, 2029 and Myers's Republican-held seat on July 2, 2031.

For the 2026 governor's race, Democrat Secretary of State Jocelyn Benson and Republican U.S. Rep. John James are the nominees, with Libertarian Anthony Hudson, U.S. Taxpayers Party nominee Donna Brandenburg, and Green nominee Douglas Campbell also on the ballot. s' average has Benson leading James 48.8% to 42.0% (Benson +6.8) as of polls through 10/5 (link). Benson has proposed reforming the Michigan PSC to end "conflicts of interest" and closed-door rate decisions, demanded a comprehensive grid audit, pushed to restrict utilities' political contributions, and called for ensuring "corporations and not ratepayers" bear the cost of rising energy demand (link). James has proposed subjecting DTE and CMS to more competition by expanding electric choice, challenging what he calls their monopoly power (link), and both candidates have traded attacks over utility industry campaign contributions during the race (link).

- **New Mexico** has a gubernatorial election this year. The current governor is Democrat Michelle Lujan Grisham. The New Mexico Public Regulation Commission has appointed commissioners and the current political make-up is 2 Democrats and 1 Republican. The state has a law that no more than two commissioners can belong to the same political party. The companies this election would impact in our coverage include TXNM and XEL.

  The New Mexico Public Regulation Commission currently consists of Chair Patrick O'Connell (Democrat), Gabriel Aguilera (Democrat), and Greg Nibert (Republican). Aguilera's term expires on December 31, 2026, making it the next commission seat to be filled and the first utility regulatory appointment opportunity for New Mexico's next governor. Chair O'Connell's term runs through December 31, 2028, while Nibert's six-year term expires on December 31, 2030.

  For the 2026 governor's race, Democrat Deb Haaland, the former U.S. Secretary of the Interior, faces Republican Gregg Hull, the longtime mayor of Rio Rancho. s' average has Haaland leading Hull 46.0% to 45.0% (Haaland +1.0) based on its limited polling to date (link). Haaland has pledged that, on day one, she would sign an executive order imposing a moratorium on new large-scale data center projects until protections are in place, including a requirement that data centers build their own renewable energy infrastructure so costs aren't passed onto ratepayers, alongside stronger water-use and community-benefit safeguards (link). This is a reversal from incumbent Michelle Lujan Grisham whose administration has been generally supportive of data center developments. Hull opposes a moratorium, arguing it won't stop AI development, and instead favors using existing tools like New Mexico's Local Economic Development Act to negotiate restrictions and deals with data center developers before they enter the state (link 1; link 2). He has also highlighted on his campaign website the need for investment in transmission lines, substations, storage, and backup capacity in order to improve energy reliability.

- **Ohio** has a gubernatorial election this year. The current governor of Ohio is Republican Mike DeWine. The Public Utilities Commission of Ohio (PUCO) has appointed commissioners and the current political make-up is 5 Republicans, 0 Democrats. The companies this would impact in our coverage include AEP, FE, and CNP.

The PUCO current commissioners are Chair Jenifer French, whose term expires April 10, 2029; Daniel R. Conway, whose term expires April 10, 2027; John D. Williams, whose term expires April 10, 2028; Lawrence K. Friedeman, whose term expires April 10, 2030; and Dennis P. Deters, whose term expires April 10, 2031. Because one commission seat typically expires each year, the next Ohio governor will have an immediate opportunity to appoint a commissioner when Conway's term ends in 2027, followed by additional appointments in 2028 and beyond.

For the 2026 governor's race, Republican entrepreneur Vivek Ramaswamy faces Democratic former state health director Amy Acton, with Libertarian Don Kissick also on the ballot. s' average has Acton leading Ramaswamy 48.4% to 44.1% (Acton +4.3) through its 10/9 update (link). The race carries added weight for utility regulation because Ohio's next governor appoints all five members of the Public Utilities Commission of Ohio, which sets utility rates and data center rules (link). Acton supports a conditional moratorium on new data centers unless developers meet requirements on cost coverage, union labor, transparency, environmental standards, and community benefit agreements, and would place the full cost of electrical capacity buildout on developers rather than ratepayers (link). Ramaswamy instead favors expanding gas, streamlining energy project permitting, and reducing regulation to grow supply and lower bills, while pledging that any new data center must give nearby residents free electricity, pay full property taxes, and meet air, water, and farmland protections or not be built at all (link).

- **Pennsylvania** has a gubernatorial election this year. The current governor of Pennsylvania is Democrat Josh Shapiro, who is running again. The Pennsylvania Public Utilities Commission (PUC) has appointed commissioners and the current political make-up of the five-member commission is 3 Republicans, 1 Democrats. Democratic Commissioner Kathryn Zerfuss's term expired on April 1, 2026, and that seat is pending appointment. The state has a law that no more than three commissioners can be of the same party. The companies this election would impact in our coverage include FE, PPL, and EXC.

  Democratic Commissioner Kathryn L. Zerfuss's term expired on April 1, 2026. Republican Commissioner John F. Coleman Jr.'s term expires on April 1, 2027, Democratic Vice Chair Kimberly Barrow's term expires on April 1, 2028, Republican Commissioner Ralph V. Yanora's term expires on April 1, 2029, and Republican Chair DeFrank's term expires on April 1, 2030.

  For the 2026 governor's race, incumbent Democrat Josh Shapiro faces Republican state Treasurer Stacy Garrity, with Libertarian Ken Krawchuk also on the ballot. s' average has Shapiro leading Garrity 56.0% to 32.8% (Shapiro +23.2.0) as of its latest 10/5 polling (link). Shapiro has attacked utility profits and opened the door on ROE and capital structure look-throughs. He intervened in the PECO rate case, which caused Exelon to rescind its request. Shapiro supports an "all of the above" generation mix, including solar, wind, oil, and gas, and has taken an aggressive stance toward utility returns and profits. Garrity has proposed a large Gross Receipts Tax cut to immediately lower residents' utility bills (link). When asked about the PECO rate case that Shapiro intervened on, she attributed high electric rates to a lack of new generation, but also made a comment she may have intervened if she disagreed on a rate case. Both candidates also differ on data centers: Shapiro has pivoted toward requiring local approval and binding energy and environmental standards before state permitting review, while Garrity has called for a temporary moratorium on new data center development and accused Shapiro of flip-flopping after previously fast-tracking such projects (link).

  Another development to watch in PA is the formation of a ratemaking working group (RWG) as directed in the 10/14 order by the PA PUC (link) formalizing the proposal from 9/10.

The 30 day clock on RWG formation will begin once the order is published in the PA Bulletin (presumably 10/17). **What we already knew:** the RWG will consider the following: cost-of-capital proceedings and performance based metrics when determining ROE's, further clarity on rate cases and settlements, and formula based DSIC approach. **What we learned on 10/14:** the order provides more detail on the potential ROE framework where electric, water, and gas utilities would rotate on 3 year cycles for rate proceedings. The order also outlined the RWG membership structure which will include voting representatives from the OCA, OSBA, Industrial Energy consumers of PA, electric/water/gas distribution companies, the Governor's Special Counsel for Energy Affordability, among others. The RWG will also include non-voting individuals from the credit ratings, investment banking, and equity analyst communities. We note that no policy change will take effect from this order until the RWG is formed completes its analysis of the proposed changes.

- **Texas** has a gubernatorial election this year. The current governor of Texas is Republican Greg Abbott, who is running again. The Public Utilities Commission of Texas has appointed commissioners and the current political make-up of the five-member commission is 5 Republicans and 0 Democrats. The companies this election would impact in our coverage include SRE, AEP, TXNM, CNP, and ETR.

- The PUCT current commissioners are Chair Thomas Gleeson, whose term expires September 1, 2029; Morgan Johnson, whose term expires September 1, 2031; Kathleen Jackson, whose term expires September 1, 2027; Patrick Rhode, whose term expires September 1, 2027; and Courtney Hjaltman, whose term expires in September 1, 2031. The next governor will therefore have an immediate opportunity to influence the commission, with two seats scheduled to expire in 2027 and the potential to fill or reappoint additional seats thereafter.

- For the 2026 governor's race, Republican incumbent Greg Abbott faces Democratic state Rep. Gina Hinojosa and Libertarian Pat Dixon. s' average has Abbott leading Hinojosa 48.4% to 46.6% (Abbott +1.8) as of its 10/11 update (link). Abbott, who previously called Texas the "epicenter" for AI development, has since ordered the Public Utility Commission of Texas and ERCOT to pause new data center grid pending an audit of grid reliability, water use, and ratepayer impacts, and has directed that data centers fully fund their own electric infrastructure rather than passing costs to residential ratepayers (link 1; link 2). Hinojosa supports even tighter restrictions on data center development, including ending state tax breaks for data centers, framing the issue around protecting ratepayers and affordability (link). Data centers and their effect on residential utility bills have become a central and politically volatile theme of the race (link).

  Wisconsin has a gubernatorial election this year. The current governor is Democrat Tony Evers. The Public Service Commission of Wisconsin has appointed commissioners and the current political make-up is 3 Democrats and 0 Republicans. The companies in our coverage that this election would impact include WEC and LNT.

  The Public Service Commission of Wisconsin is composed of Democrats Summer Strand, Kristy Nieto, and Marcus Hawkins. Summer Strand's term expires in 2029, while Kristy Nieto's and Marcus Hawkins's terms both expire in 2030. As a result, Wisconsin's next governor would not immediately gain an appointment opportunity absent a vacancy, unlike several other states discussed above.

  For the 2026 governor's race, Democratic Milwaukee County Executive David Crowley faces Republican U.S. Rep. Tom Tiffany. s' average has Crowley leading Tiffany 47.5% to 44.0% (Crowley +3.5) through its September 23 update (link). Crowley says communities should be able to decide whether to allow a data center, and if approved, developers must ban nondisclosure agreements, provide 100% renewable energy, cover all

infrastructure and grid-upgrade costs, and use union labor, so costs aren't passed to residential ratepayers (link). Tiffany has outlined standards requiring data centers to end taxpayer subsidies, give local communities final say, protect farmland, and shield ratepayers and the electric grid, while separately pushing state regulators to keep aging coal plants online longer to help meet rising power demand rather than relying solely on new clean energy (link 1; link 2).

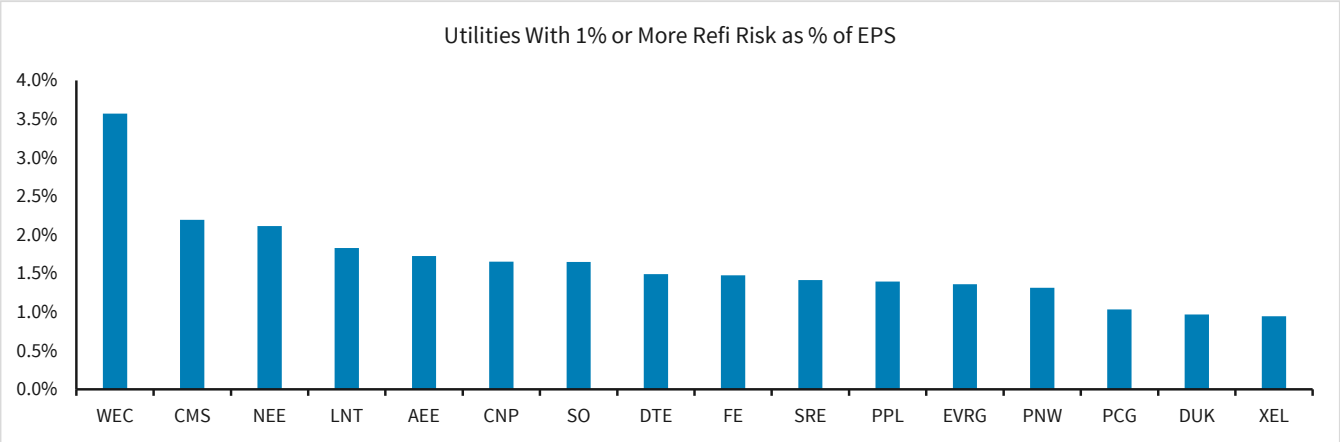
Interest Rate Sensitivities

We review refinancing risk with UST yields the highest they've been since 2007 and the Moody's Baa Utility Bond Index the highest since 2008: Higher rates offer 0-4% risk to EPS across our coverage when gauging refinancing risk at the HoldCo, and ~100bps on average for the sector. We believe the sector has already underperformed well in excess of the potential earnings revision from higher interest rates, and see this as a buying opportunity for the Utilities sector into 3Q updates / EEI. **Our preferred Overweight names in the group are FE, EVRG, XEL, and NI.** On September 16, the Fed raised interest rates for the first time since 2023 and now has a targeted federal funds rate of 3.75-4.00%. US Treasury yields have continued to increase as resilient economic growth and sticky inflation keep rate expectations elevated. We have also seen an expanded federal deficit and a wave of corporate debt issuance. The 10-year Treasury yield now sits around 5.08% and the 30-year yield is above 5.4%, near its highest levels since 2007. The Moody's Baa Utility Bond Index now sits at 6.66%, the highest level since 2008. Utilities pass through higher cost of debt in their regulated rate structures, but still have exposure at the holding company level. Higher interest rates can also pressure bill headroom for future investment, which is important against the current affordability backdrop.

Sector Has About 100bps of Aggregate EPS Risk on HoldCo Refinancing. We took a look at EPS sensitivities across the US names within our utilities coverage assuming the company's weighted average interest rates on its maturities for 2027 and 2028 are refinanced at the current Moody's Baa rates. On our estimates, our average company would see roughly a 100 basis point cumulative EPS impact across 2027 and 2028. We believe many companies have been realistic about their refinancing assumptions compared with 2023 and companies may have already assumed this in their stated EPS CAGRs. For instance, ETR assumes 6-7% parent debt, and conversations with EVRG / CNP / CMS have noted conservative planning. We admit there could be pressure from new debt issuance and variable rate securities too, but with SOFR somewhat unchanged, we see more limited revision risk on variable rate debt, and stress this is not akin to the 2023 reset we saw on the last rate move. We also think lower coupon convertibles (CNP, EVRG, CMS, SO) could be rolled out (replaced with new converts) at rates below our 6.6% assumption in our analysis. For FE, while there is a 2027 $1.5bn maturity, we think management has already been contemplating a hybrid security at a higher rate and do not see this materially impacting our current EPS expectations in 2027 or 2028.

Sensitivities by Company: On an aggregate basis through 2028, WEC appears to have the greatest earnings exposure, followed by CMS, NEE, LNT, AEE, and CNP. At the other end of the spectrum, several names have very limited impact from this issue. ED and ETR stand out as the most positive in large caps. Best-positioned names include ETR, ED, ATO, HE, CPK, PEG, OGE and IDA, and TXNM in our view.

FIGURE 13. **Utilities With 1% or More Refi Risk into 2028 (as % of EPS)**



Source: Barclays Research, Bloomberg

We believe the sector has already started to reflect the risk of higher rates. Utilities are now trading at an 18% discount on FY2 P/E vs. the S&P 500, while they have underperformed the S&P 500 by ~20% YTD. This is due not only to wider affordability concerns, midterm noise on electric rates, and data center contracting but also the prospects of higher interest rates and how they have historically been viewed as negative for bond proxies like the US Utilities group.

We see several reasons to not be as concerned as we were in 2023. 1) The group has absorbed a +300bps change in financing pressure in 2023, and compared with today, yields on aggregate are only back near 2023 highs – this is why we see most of the EPS pressure from higher rates attributing mostly to HoldCo refi; **2)** Companies had added a material amount of equity to base financing plans already, at ~13.0x FY2 P/E in 2023, whereas the sector now trades at 14.7x FY2 P/E. **3)** There was compounding pressure on outlooks from higher short-term rates in 2023, which does not exist today as short-term SOFR remains reasonable vs. previously elevated levels (shown below); and **4)** Rate base growth outlooks are higher today (9.5% CAGR), which drives higher cash flow visibility in the outyears.

What if rates move higher? Unhelpful, but still material amount of regulatory capture. A higher-for-longer interest rate environment continues to argue for increased equity content for the sector given significant capex funding considerations. If rates continue to march higher, we expect names with higher-quality balance sheets to capture premium valuations, while those with larger amounts of holdco-total debt could underperform. We do note that in our regression analysis, the group still looks expensive vs. current risk-free yields, but it has for many years.

Figures 4 and 5 below show the trends in Treasury yields and Moody's BAA Utility Bond Index over time. Figure 2 details the refinancing EPS impact in our coverage across our US names. Figure 3 shows the percentage of HoldCo debt of total debt by company.

FIGURE 14. EPS Sensitivities to Refinancing Sorted by Aggregate 2027-28 Impact (for illustrative purposes)

Ticker	27 HoldCo Maturity	28 HoldCo Maturity	27-'28 Maturities	2027 Weighted Avg. Coupon	2028 Weighted Avg. Coupon	Moody's Baa	2027 Barclays EPS	2028 Barclays EPS	27 NI Δ	28 NI Δ	EPS Impact ('27E)	% of '27 EPS	EPS Impact ('28E)	% of '28 EPS	Aggregate '27 + '28 Impact	Aggregate Impact (%)	Total 2027 HoldCo Debt % of Total Debt	Total 2028 HoldCo Debt % of Total Debt
WEC	1,763	2,250	4,013	3.7%	3.6%	6.6%	$6.03	$6.58	37	48	$0.11	1.77%	$0.14	2.06%	$0.24	3.7%	50.2%	47.0%
CMS	625	800	1,425	3.2%	3.4%	6.6%	$4.16	$4.48	15	19	$0.05	1.12%	$0.05	1.22%	$0.10	2.3%	30.5%	29.8%
NEE	6,740	4,250	10,990	3.8%	3.8%	6.6%	$4.37	$4.81	138	86	$0.07	1.49%	$0.04	0.83%	$0.11	2.2%	45.1%	46.3%
LNT	375	875	1,250	5.4%	3.6%	6.6%	$3.72	$4.16	3	19	$0.01	0.32%	$0.07	1.62%	$0.08	1.9%	35.6%	37.7%
AEE	500	450	950	2.0%	1.8%	6.6%	$5.80	$6.33	17	16	$0.06	1.01%	$0.05	0.84%	$0.11	1.8%	21.9%	21.0%
CNP	0	1,074	1,074	0.0%	3.1%	6.6%	$2.08	$2.30	0	27	$0.00	0.00%	$0.04	1.70%	$0.04	1.7%	28.1%	28.6%
SO	2,157	2,800	4,957	3.8%	3.5%	6.6%	$4.93	$5.35	43	63	$0.04	0.75%	$0.05	1.00%	$0.09	1.7%	33.9%	35.3%
DTE	1,351	1,050	2,401	4.8%	4.9%	6.6%	$8.27	$8.95	17	13	$0.08	0.98%	$0.06	0.67%	$0.14	1.6%	37.3%	39.4%
FE	1,500	0	1,500	3.9%	0.0%	6.6%	$2.96	$3.22	29	0	$0.05	1.66%	$0.00	0.00%	$0.05	1.5%	23.6%	25.1%
SRE	750	2,000	2,750	3.3%	3.9%	6.6%	$5.63	$5.96	18	39	$0.03	0.49%	$0.06	1.00%	$0.09	1.5%	34.2%	30.9%
PPL	0	1,000	1,000	0.0%	2.9%	6.6%	$2.13	$2.36	0	27	$0.00	0.00%	$0.03	1.43%	$0.03	1.4%	22.8%	21.3%
EVRG	1,155	0	1,155	4.5%	0.0%	6.6%	$4.50	$4.96	17	0	$0.07	1.57%	$0.00	0.00%	$0.07	1.4%	20.9%	20.7%
PNW	525	400	925	4.8%	4.9%	6.6%	$5.56	$6.31	7	5	$0.05	0.94%	$0.04	0.56%	$0.09	1.4%	17.1%	18.5%
PCG	2,150	1,000	3,150	4.3%	5.0%	6.6%	$1.78	$1.93	36	11	$0.02	0.89%	$0.01	0.26%	$0.02	1.1%	9.6%	9.6%
DUK	2,263	1,545	3,807	4.2%	4.5%	6.6%	$7.16	$7.72	39	24	$0.05	0.69%	$0.03	0.37%	$0.08	1.0%	32.8%	31.3%
XEL	500	1,000	1,500	1.8%	4.3%	6.6%	$4.56	$5.09	17	17	$0.03	0.56%	$0.02	0.47%	$0.05	1.0%	24.9%	25.3%
EIX	600	1,650	2,250	5.8%	4.8%	6.6%	$6.51	$6.97	4	21	$0.01	0.14%	$0.06	0.79%	$0.06	0.9%	11.7%	11.9%
EXC	650	1,000	1,650	2.8%	5.2%	6.6%	$2.98	$3.22	18	10	$0.02	0.58%	$0.01	0.31%	$0.03	0.8%	28.9%	28.2%
AEP	1,039	930	1,969	4.4%	3.7%	6.6%	$6.85	$7.55	16	19	$0.03	0.42%	$0.03	0.44%	$0.06	0.8%	19.1%	20.5%
D	650	1,500	2,150	5.1%	4.5%	6.6%	$3.80	$4.07	7	23	$0.01	0.21%	$0.02	0.60%	$0.03	0.8%	37.9%	37.4%
NI	310	315	625	3.6%	5.3%	6.6%	$2.26	$2.54	7	3	$0.01	0.59%	$0.01	0.24%	$0.02	0.8%	51.0%	48.8%
ATO	500	150	650	3.0%	6.6%	6.6%	$9.08	$9.89	13	0	$0.07	0.80%	$0.00	0.00%	$0.07	0.7%	23.1%	22.4%
ETR	0	650	650	0.0%	1.9%	6.6%	$5.22	$5.94	0	22	$0.00	0.00%	$0.04	0.72%	$0.04	0.7%	19.2%	19.3%
HE	0	100	100	0.0%	4.7%	6.6%	$1.07	$1.00	0	1	$0.00	0.00%	$0.01	0.71%	$0.01	0.7%	25.5%	29.4%
CPK	100	167	267	6.4%	5.8%	6.6%	$7.31	$7.74	0	1	$0.00	0.06%	$0.04	0.50%	$0.04	0.6%	40.3%	41.6%
PEG	700	600	1,300	5.9%	5.9%	6.6%	$4.39	$4.84	4	3	$0.01	0.17%	$0.01	0.13%	$0.01	0.3%	23.2%	23.2%
OGE	60	0	60	4.9%	0.0%	6.6%	$2.59	$2.84	1	0	$0.00	0.13%	$0.00	0.00%	$0.00	0.1%	13.6%	13.4%
AVA	0	0	0	0.0%	0.0%	6.6%	$2.84	$2.99	0	0	$0.00	0.00%	$0.00	0.00%	$0.00	0.0%	0.0%	0.0%
ED	0	0	0	0.0%	0.0%	6.6%	$6.60	$6.90	0	0	$0.00	0.00%	$0.00	0.00%	$0.00	0.0%	0.0%	0.0%
IDA	0	0	0	0.0%	0.0%	6.6%	$6.95	$7.81	0	0	$0.00	0.00%	$0.00	0.00%	$0.00	0.0%	0.0%	0.0%
NWE	0	0	0	0.0%	0.0%	6.6%	$3.96	$4.14	0	0	$0.00	0.00%	$0.00	0.00%	$0.00	0.0%	0.0%	0.0%
TXNM	0	0	0	0.0%	0.0%	6.6%	$3.21	$3.41	0	0	$0.00	0.00%	$0.00	0.00%	$0.00	0.0%	20.1%	23.0%
Average	**843**	**861**	**1,704**	**3.0%**	**3.2%**							**0.54%**		**0.58%**		**1.07%**	**24.4%**	**24.6%**
Median	**513**	**725**	**1,203**	**3.7%**	**3.7%**							**0.45%**		**0.48%**		**0.95%**	**23.4%**	**24.1%**

We assume maturities listed above repriced at 6.5% to keep the analysis apples to apples. This also includes low coupon non-mandatory convert structures that companies have guided to settling in cash. We assume cash is funded with new debt instruments.
Source: Barclays Research, Company Reports, Bloomberg

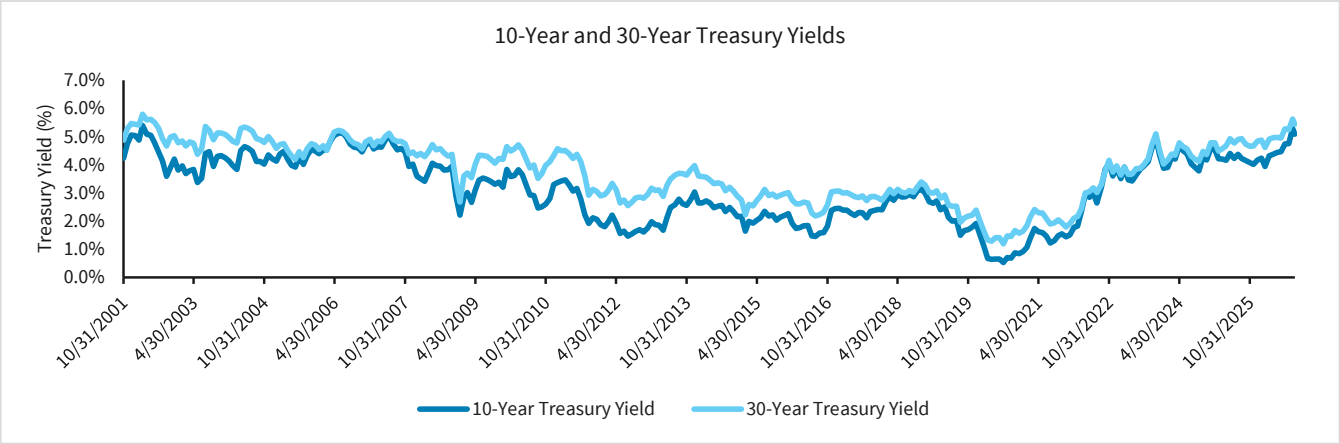
2028 HoldCo Debt as Percentage of Total: We show projected Holdco debt vs. total debt below, emphasizing that this also includes non-regulated debt, which drives higher balances for NEE, DTE, and WEC among other names. In general, companies who have a high percentage of hold-co debt to total debt, high rate base growth, and high external financing needs would see a amount of pressure from higher interest rates, compared to those with lower holdco debt levels.

FIGURE 15. 2028 HoldCo Debt % of Total Debt



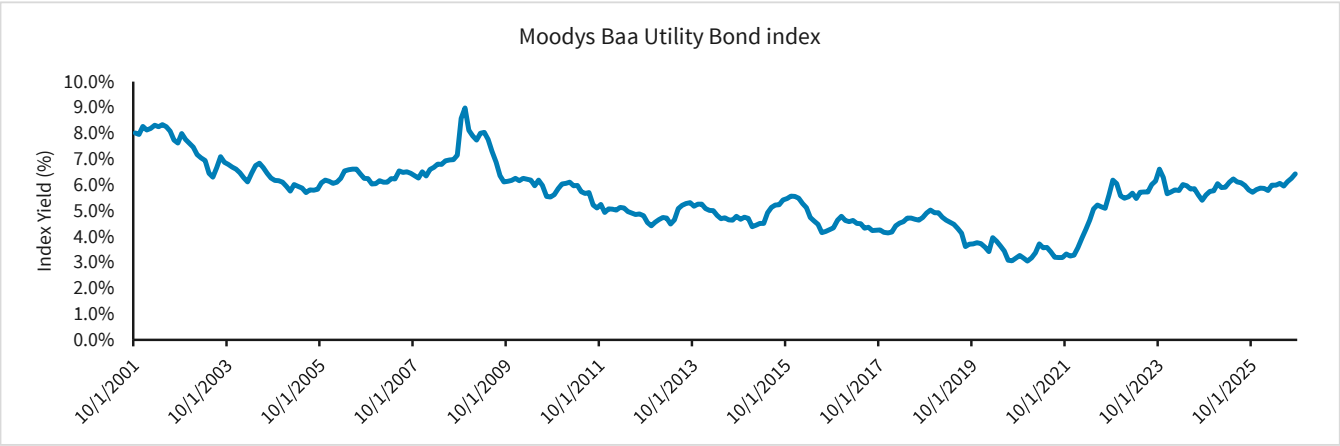
Source: Barclays Research, Company Reports

FIGURE 16. 10-Year / 30-Year US Treasury Yields



Source: Bloomberg

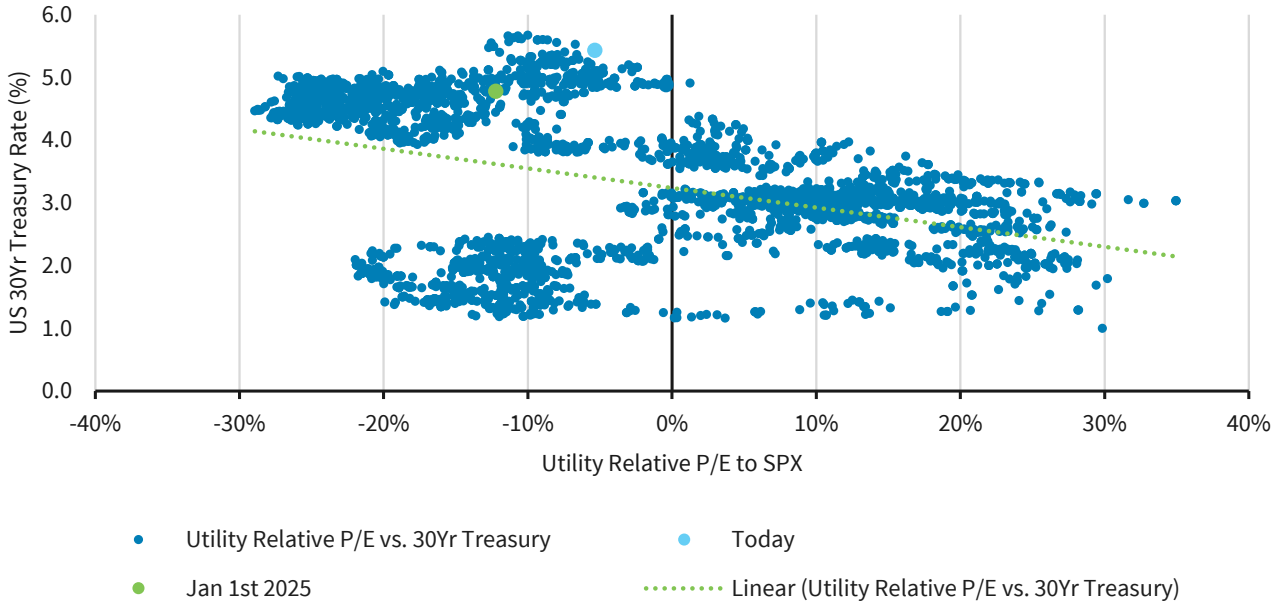
FIGURE 17. Moody's Baa Utility Bond Index



Source: Bloomberg

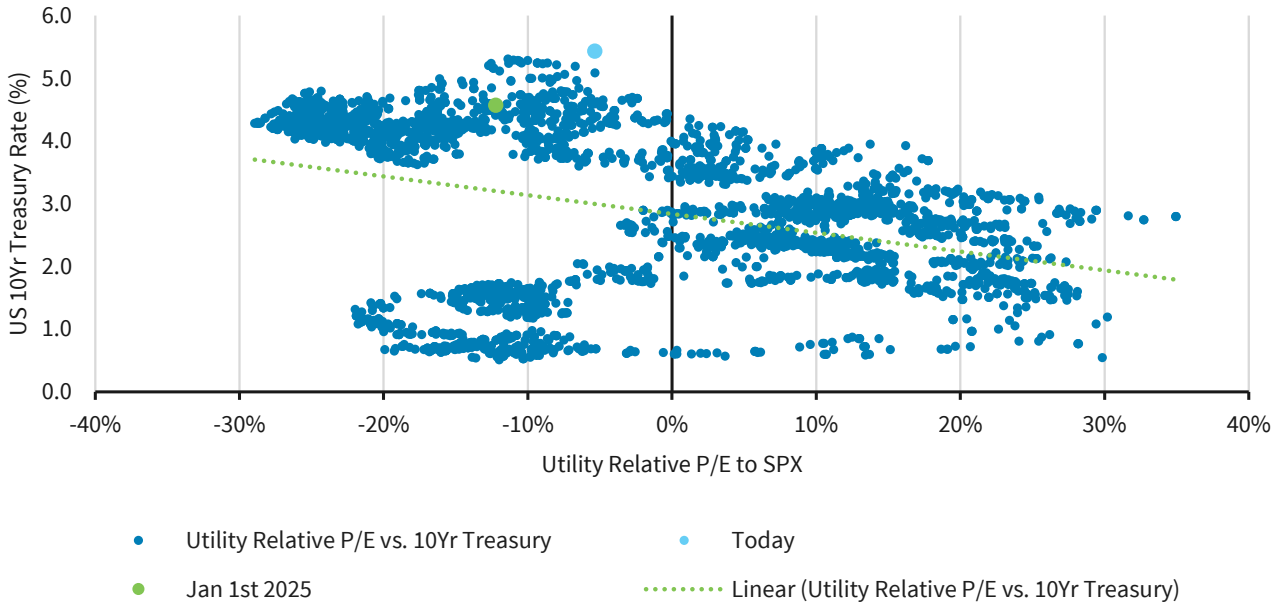
US utilities interest rates vs. valuation: We show a regression of US yields vs. Utility relative P/E below, noting the sector has skewed as expensive for some time and continues to do so. However, this is also a somewhat flat slope showing a lower correlation.

FIGURE 18. **Utility Relative P/E vs 30 Yr Treasury**



Source: Bloomberg, Barclays Research

FIGURE 19. **Utility Relative P/E vs 10 Yr Treasury**

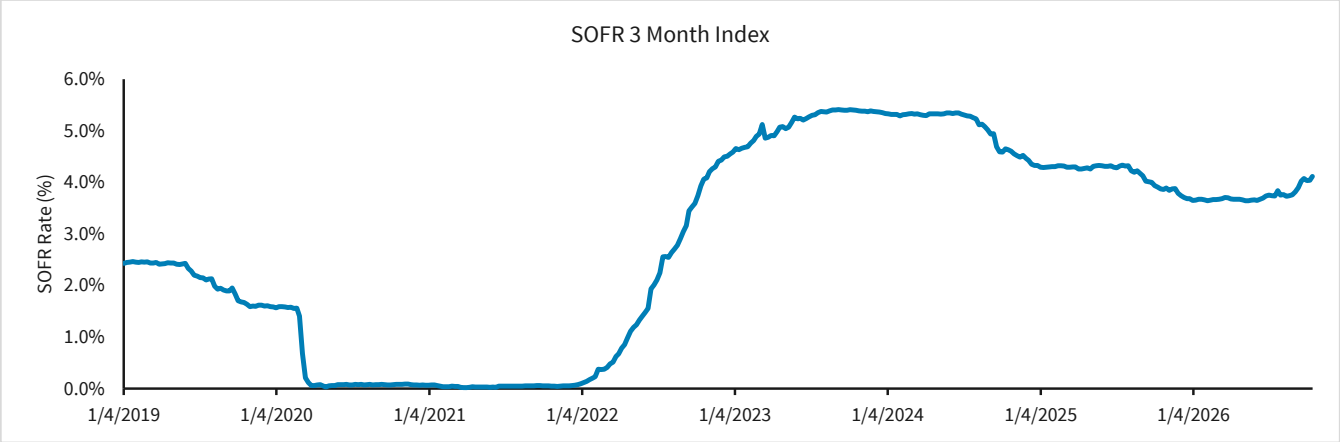


Source: Bloomberg, Barclays Research

SOFR 3-month index & implied Federal Funds Rate: Below we visualize the rise in the 3-month SOFR index in 2022 during the Fed hike cycle, and its behavior when higher-for-longer rates became apparent. We see significance in this given the expectations priced in for Fed rate hikes as of 9/29 using the BBG WIRP function, which implies another 3-4 25-bps hikes over the next 12 months, resulting in an implied target rate of ~4.6%.

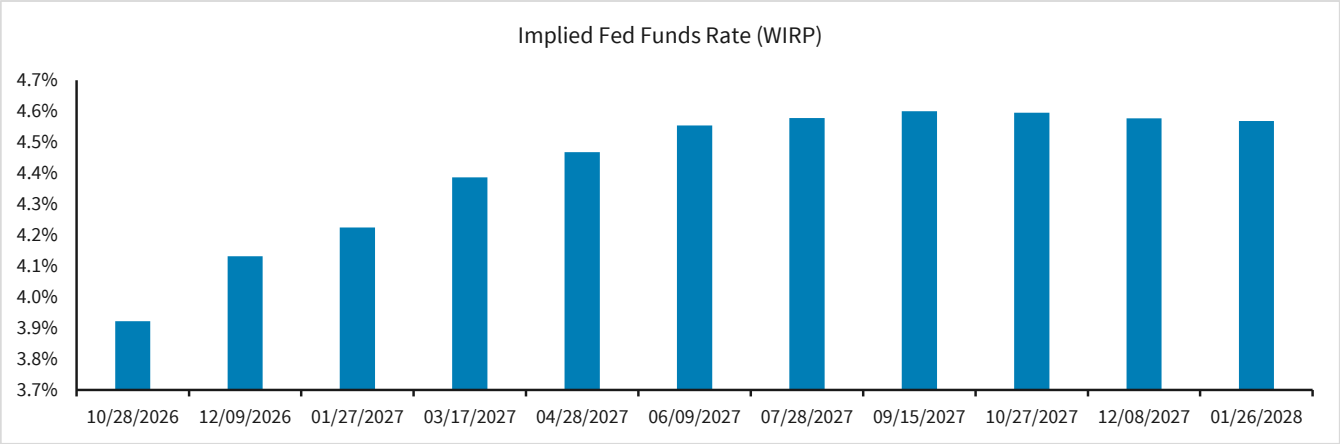
SOFR is an important input into utility commercial paper balances, which are typically in the billions. This was a compounding headwind for the sector in 2023 along with heightened yields, but we don't see this as a negative consideration at this point in the cycle when considering 2027 or 2028 EPS pressure from higher interest rates.

FIGURE 20. **SOFR 3-Month Index**



Source: Bloomberg, Barclays Research

FIGURE 21. **Implied Fed Funds Rate (WIRP)**



Source: Bloomberg, Barclays Research

Canadian refinancing risk:

- **FTS:** On our estimates, Fortis potentially has the most exposure (~0.0-3.2% of our 2028 EPS estimate of $4.22) of the Canadian utilities given it has $USD 2.1 billion of ITC HoldCo debt due in 2027 and $CAD 536 million of parent debt due in 2028. We provide a range of 0.0-3.2% because FTS may have optionality to refinance USD ITC debt with Canadian debt at the parent at a lower rate, in which case that materially lowers the 2028 EPS sensitivity

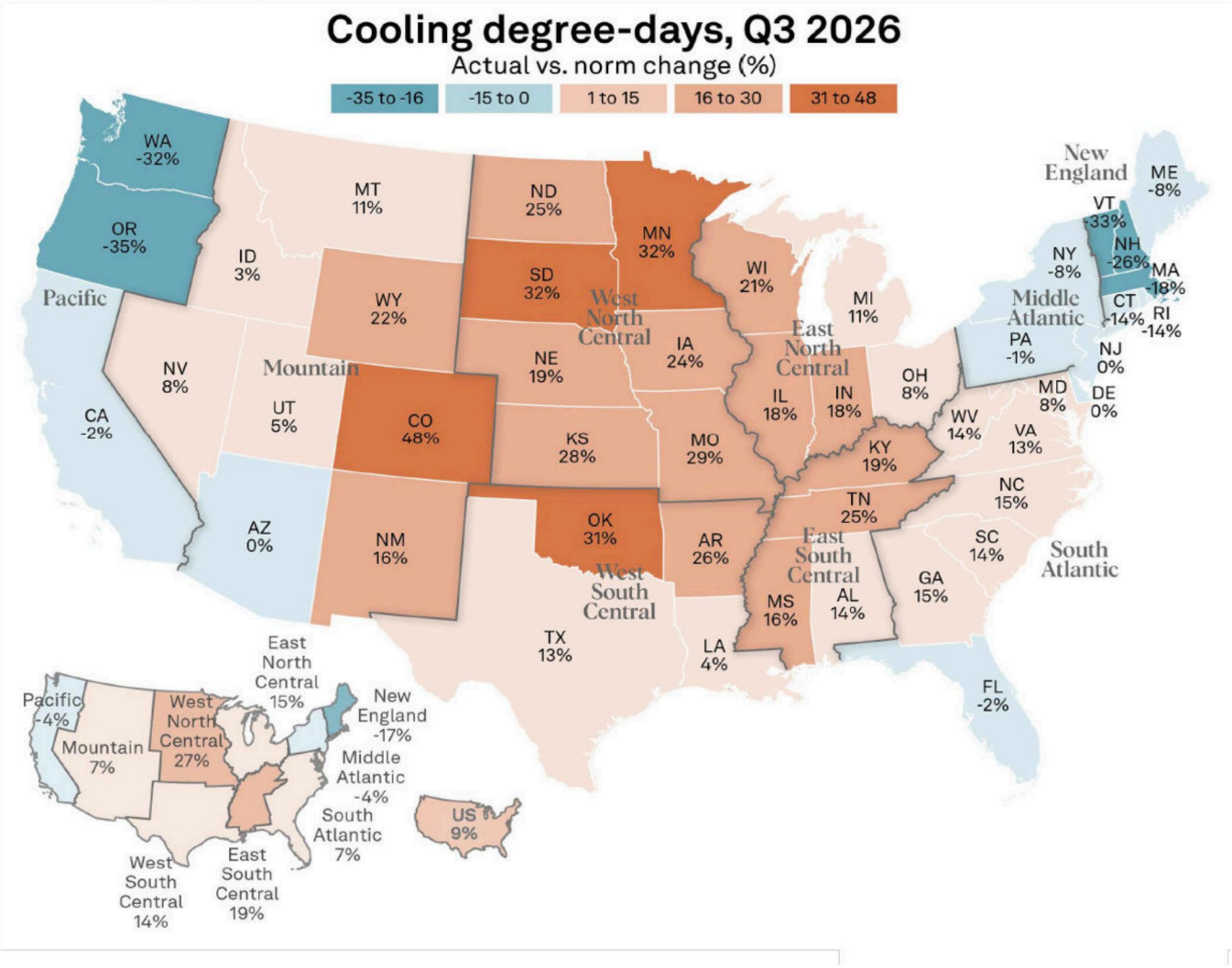
essentially to zero. If ITC debt with a weighted average interest rate of 4.3% is refinanced with USD debt at 6.5%, the sensitivity is materially higher at 3.2% of our 2028 EPS estimate. The CAD parent debt has a weighted average coupon of 2.5% and we assume it is refinanced at 3.9%, which is 140 basis points higher than 10-year Canadian bond yield. This spread is consistent with the US spread for Moody's Baa utilities yield and the 10-year Treasury yield.

- **H.CN:** Hydro One has an estimated 0.2% impact to 2028 EPS estimate of $2.48. The company has $CAD 1.175 billion of 2027-2028 maturities, including $425 million at 1.41% due in 2027 and $750 million at 4.91% due in 2028. As with Fortis, for Canada, we assume refinancing at 3.9%.
- **EMA:** Emera has an estimated 0.4% impact to our 2028 EPS estimate of $3.95. The company has $CAD 950 million of variable rate debt (we assume 3.67%), including $CAD 750 due in 2027 and $200 million due in 2028. As with the others for Canada, we assume refinancing at 3.9%.
- **AQN:** Algonquin does not have an APUC HoldCo due coming due in 2027-2028.

3Q26 Weather: Central United States Was Hot

Cooling degree days were elevated in the middle of the US in the 3Q, finishing 9% above normal nationally. West North Central (27%), East South Central (19%), West South Central (14%), Mountain ((7%) and South Atlantic (7%). In our discussions across our coverage weather was a material impact this quarter. We note that the highest impacted states were Colorado (48%), Minnesota (32%), South Dakota (32%), Oklahoma (31%). Weather was a driver in the quarter for EVRG, OGE, AEE, and LNT. In the Pacific and New England it was considerably cooler that average at -4% and -17%.

FIGURE 22. **Cooling Degree Days vs. Normal in 3Q26**



Source: S&P Global Market Intelligence

Single Name Considerations

Ameren Corporation (AEE) 3Q26 Preview

What We Expect On The Quarter: We expect AEE to provide a broad guidance update that will include FY27 EPS guidance, LT EPS CAGR, rate base CAGR, capex plan, and finance plan. Growth in MO particularly from data center large load demand growth is generation needs which was reflected in AEE Preferred Resource Plan and MISO transmission projects we expect AEE to reevaluate the LT EPS CAGR by potentially changing the CAGR from 6-8% from 7-9%, which our estimates support below on the assumption of a 20% increase to the capital plan. While this may be implied already in consensus expectations we think AEE shares set up positively still for 3Q results. There is limited election risk for the stock, the company is expected to raise it's outlook, and Missouri we think will continue to command a premium multiple in 2027 as load from AEE's current DC customers begin to ramp - this could positively impact ROEs, enable rate stayouts and is not yet included in our estimates. Even though AEE does have an active rate case in MO this will not impact the company from increasing the LT EPS CAGR, in our view, as its being driven by LL customers. FY27E: We provide our FY27 EPS estimate of $5.80/sh which implies a 8.5% EPS CAGR from the mid-point of 2025 EPS guidance of $5.35/sh. Our estimate is driven by new rates in MO, PISA/AFUDC, and increased sales driven by data center ramp beginning in the 2H27. We also provide our 3Q27 estimates of $2.24/sh missing quarterly consensus estimates of $2.33/sh and this is primarily driven by roll off of MO rates.

Focus Items And Catalyst Calendar:

- **MO Preferred Plan:** AEE released its preferred resource plan on September 28. The new plan adds 1.9 GW through 2030 and 4.9 GW from 2031 to 2035, including 0.5 GW from 2027-2030, 1.3 GW of solar from 2027-2030 and 1.05 GW from 2031-2035, 1.5 GW of wind from 2031-2039, 2.4 GW of battery storage from 2027-2030, and 1.2 GW of nuclear by 2040. We see a plan-over-plan benefit to the capital plan through 2035 of $8bn-$11bn, based on ~4.6 GW of net additions (excluding nuclear). We see the Preferred Plan as a positive data point for AEE and believe it puts upward pressure on its growth path.

- **Large Load Pipeline:** Based on the AEE Missouri Preferred Resource Plan, AEE expects 2.9 GW of total load growth through 2030 and 5 GW by 2035. Currently, AEE has 2.8 GW of ESAs, which are set to start ramping in the second half of 2027 and reach full capacity by 2029. Additionally, the company has 600 MW of opportunities that have construction agreements and an additional 5 GW with completed interconnection studies.

- **Transmission Opportunities:** AEE also has a robust set of transmission opportunities. AEE was awarded the WIIL and STIW projects, which will represent $725mn of capex. AEE is also involved in a joint bid for two additional projects that have a total capex of $2.724bn. We note that these projects have not yet been awarded, and we expect AEE to split ownership of the projects. We view the transmission opportunity as another positive data point that will put upward pressure on its growth path.

- **Regulatory Update:** We expect AEE to discuss pending regulatory items in Missouri and Illinois. AEE has a pending rate case in Missouri that will be a key catalyst as we head into 2027. AEE requested a $34mn revenue requirement increase, a 10.25% ROE, and a 52% equity ratio, and a decision is expected in May 2027. The key dates are: 1) Intervenor testimony on 12/4; 2) Rebuttal testimony on 1/15; and 3) Evidentiary hearings begin on 3/15. In Illinois, AEE has pending filings for its MYRP and reconciliation filing, and both filings are expected to be decided in December. We expect AEE management to provide an update on these pending regulatory items.

- **Reconsidering the LT EPS CAGR:** We expect AEE to raise its growth rate even though it is in the middle of a rate case filing in Missouri. Given the load growth opportunities of 2.9 GW through 2030 and 5 GW through 2035, MISO transmission opportunities, the Missouri Preferred Resource Plan, a rising capex plan driven by large loads, and the ESA sales ramp that is expected to begin in the second half of 2027 and fully ramp by the end of 2029, we believe there is support for a higher long-term growth trajectory.

Valuation, EPS and Risks: We decrease our PT to $109 from $117 as lower group multiples are offsetting higher EPS in FY28. We are assuming about a 20% increase to the 5yr capital plan in our current estimates, which are skewing close to consensus. The 20% increase to the capital plan, net of equity needs raises our estimates +7c in FY27, -1c in FY28, +15c in FY29, +16c in FY30. We are maintaining our 10% premium to the transmission segment, and continue to apply a 10% premium to MO and a ~7% premium to the parent to account for historically constructive regulatory outcomes in the state. **Risks:** include better/worse than expected regulatory outcomes, inflationary pressures, and more equity need than anticipated.

AEE FY27 Walk

The positive drivers of the FY27E are Missouri rates of +35c, volume sales of +16c, PISA/AFUDC of +57c, +8c from transmission, +2c from electric distribution IL, +2c from Illinois Natural Gas, and +15c from other. The negative drivers of the FY27E -15c from MO Debt, -5c from transmission expense, -6c from O&M, -18c from D&A, -28c from interest expense, -5c from parent, and -13c from dilution.

FIGURE 23. AEE FY27 Walk

AEE FY27 EPS Walk		
FY26 EPS (Original Guidance Mdpt)		$5.35
Weather		$0.00
Weather	Using weather normal starting point	$0.00
Adjusted Starting Point		**$5.35**
Missouri		
Missouri Electric	Rates effective June 1, 2026	$0.35
Missouri Gas		$0.00
Sales	ramp rate is increasing	$0.16
PISA/AFUDC		$0.57
MO Debt	Similar run rate as 2026	($0.15)
Illinois		
Transmission	Assuming ~9% RAB growth inline with transmission CAGR guic	$0.08
Transmission Expenses	2025 guidance of 5c for the year, With Growth rate	($0.05)
Electric Distribution MYRP	Using staff position of $200mn rate base difference 2026 vs 20	$0.02
Illinois Natural Gas	Using IL AG reccomendation of $55mn rate increase	$0.02
O&M	Assuming 1% growth	($0.06)
D&A		($0.18)
Interest Expense		($0.28)
Other		$0.15
Parent	Similar Run rate as 2026	($0.05)
Dilution		($0.13)
AEE FY27 EPS		**$5.80**
FY27 EPS (Consensus)		**$5.80**
Implied Guidance Into FY27		**5.72-5.83**
SO 2027		**287**
SO 2026		**280**

Source: Barclays Research, Company Reports, Bloomberg

AEE 3Q26 Walk

The positive drivers of the quarter are +11c from PISA, +4c of sales, +15c from weather, +1c from Illinois electric, +1c from Illinois gas, and +2c from transmission. The negative drivers of the quarter are -5c from MO debt, -1c from O&M, -1c for the parent, and -6c of dilution.

FIGURE 24. AEE 3Q26 Walk

AEE 3Q26 EPS Walk	
3Q25 EPS	$2.17
Weather	($0.08)
Adjusted Starting Point	**$2.09**
Missouri Rates	$0.00
PISA	$0.11
Sales	$0.04
Weather	$0.15
MEEIA Performance	$0.00
Storm Costs	$0.00
New Debt MO	($0.05)
IL Electric	$0.01
IL Gas	$0.01
Transmission	$0.02
O&M	($0.01)
Parent / Interest	($0.01)
Dilution	($0.06)
AEE 3Q26 EPS	**$2.29**
3Q26 Consensus	**$2.33**
FY26 EPS (Barclays)	**$5.34**
FY26 EPS (Consensus)	**$5.40**
SO 2026	**280**
SO 2025	**272**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 25. AEE Fundamental Dashboard: Part 1

AEE Dashboard	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Consolidated EPS (Non-GAAP)	**$4.58**	**$5.03**	**$5.34**	**$5.80**	**$6.33**	**$6.89**	**$7.38**	**$7.81**
Prior EPS	$4.58	$5.03	$5.34	$5.73	$6.34	$6.74	$7.22	
Consensus EPS	**$4.63**	**$5.03**	**$5.40**	**$5.80**	**$6.32**	**$6.86**	**$7.48**	**$8.01**
Delta (%)	-0.97%	0.08%	-1.10%	-0.12%	0.16%	0.47%	-1.30%	-2.50%
Shares Outstanding	270	272	280	287	302	317	331	345
DPS	$2.65	$2.82	$3.00	$3.21	$3.43	$3.68	$3.93	$4.21
DPS Growth (%)	5.3%	6.7%	6.3%	7.0%	7.0%	7.0%	7.0%	7.0%
DPS Payout (%) - Target 55-65%	58%	56%	56%	55%	54%	53%	53%	54%
Valuation Metrics								
P/E	23.1x	21.1x	19.9x	18.3x	16.8x	15.4x	14.4x	13.6x
EV/RAB	1.7x	1.7x	1.6x	1.5x	1.4x	1.3x	1.3x	1.2x
EBITDA	3,106	3,594	3,832	4,341	4,924	5,526	6,116	6,692
FFO	2,977	3,404	3,318	4,002	4,471	4,660	5,110	5,576
Net Debt	18,615	19,817	22,254	25,344	28,081	30,855	33,315	35,658
FFO/Debt	16.0%	17.2%	14.9%	15.8%	15.9%	15.1%	15.3%	15.6%
Net Debt/EBITDA	6.0x	5.5x	5.8x	5.8x	5.7x	5.6x	5.4x	5.3x
Holdco Debt/Total Debt (%)	26.5%	24.5%	23.5%	22.8%	20.7%	19.0%	17.6%	16.4%
Consolidated Equity Layer (%)	39.7%	40.6%	39.8%	39.8%	40.3%	40.8%	41.3%	41.5%
EPS Estimates by Sub								
Missouri	$2.24	$2.74	$3.26	$3.73	$4.14	$4.63	$5.01	$5.40
Illinois	$2.30	$2.70	$2.64	$2.69	$2.78	$2.84	$2.86	$2.90
Parent	$0.05	($0.41)	($0.56)	($0.62)	($0.60)	($0.58)	($0.56)	($0.55)
Consolidated	**$4.58**	**$5.03**	**$5.34**	**$5.80**	**$6.33**	**$6.89**	**$7.31**	**$7.75**
Barclays EPS CAGR (%)	**5.2%**	**6.7%**	**6.6%**	**7.0%**	**8.9%**	**10.7%**	**12.0%**	**13.4%**
Guidance	**4.55-4.69**	**4.90-5.10**	**5.25-5.45**					
Guidance Range: 6-8%			**5.35**	**5.75**	**6.18**	**6.65**	**7.14**	**7.68**
High				**5.78**	**6.24**	**6.74**	**7.28**	**7.86**
Midpoint			**5.35**	**5.72**	**6.13**	**6.56**	**7.02**	**7.51**
Low				**5.67**	**6.01**	**6.37**	**6.75**	**7.16**

Source: Barclays Research, Company Reports, Bloomberg

FIGURE 26. AEE Fundamental Dashboard: Part 2

	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Rate Base Metrics								
Missouri	14,400	15,300	18,025	22,506	26,835	31,014	35,045	38,928
Illinois	12,600	13,500	14,459	15,704	16,879	17,987	19,029	20,006
Consolidated	**27,000**	**28,800**	**32,484**	**38,210**	**43,714**	**49,001**	**54,073**	**58,934**
Guidance CAGR 10.6% 25-30	**27,000**	**28,800**	**31,853**	**35,229**	**38,963**	**43,094**	**47,662**	
Rate Base CAGR							13.4%	
Earned ROE Metric (Avg RAB)								
Missouri	8.5%	9.7%	10.6%	10.2%	9.8%	9.8%	9.8%	9.8%
Illinois	9.5%	10.7%	10.0%	9.7%	9.8%	9.8%	9.8%	9.8%
Guidance								
Capital Structure - Regulatory (Avg RAB)								
Missouri	52.0%	52.0%	52.0%	52.0%	52.0%	52.0%	52.0%	52.0%
Illinois	52.6%	52.7%	52.7%	52.7%	52.7%	52.7%	52.7%	52.7%
Capital Structure - GAAP/LT Debt vs. Equity								
Missouri	50.9%	51.1%	49.0%	46.7%	45.5%	44.9%	44.7%	44.7%
Illinois	57.0%	55.6%	55.0%	54.3%	53.4%	52.3%	51.2%	50.4%
Cash Flow Metric								
CFO	2,763	3,353	3,318	4,002	4,471	4,660	5,110	5,576
Guidance								
Capital Expenditure	4,319	4,128	5,515	7,771	7,771	7,771	7,771	7,771
Guidance: $31.8bn from 2026-2030								
Financing								
ST Debt Issuance, Net	607	(499)	0	0	0	0	0	0
LT Debt Issuance, Net	1,642	1,960	2,500	3,600	3,050	3,100	3,140	3,140
Guidance								
Equity Issuance	273	574	600	1,600	1,600	1,500	1,500	1,300
Guidance: $4bn from 2026-2030								

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 27. AEE Valuation

AEE SOTP Valuation				Low	Base	High
Electric Group Multiple				13.5x	15.9x	18.3x
Business Segments	**EPS ('28E)**	**Prem/Disc.**	**Base Case Implied Multiple**			
Missouri	$4.14	10%	17.5x	$62	$72	$83
FERC Tx Business	$1.41	10%	17.5x	$21	$25	$28
Illinois	$1.38	0%	15.9x	$19	$22	$25
Parent	($0.60)	7%	17.0x	($9)	($10)	($12)
Consolidated EPS ('28E)	**$6.33**		**Total Equity Value**	**$93**	**$109**	**$125**
Valuation				**$93**	**$109**	**$125**
Market Price					$106.1	
Upside / Downside (%)				-12%	3%	18%
Yield ('26)					2.8%	
Potential Total Return				**-10%**	**5.6%**	**21%**

Source: Barclays Research, Company Reports, Bloomberg

American Water Corp/Essential Utilities Corp: (AWK/WTRG): 3Q26 Preview

What We Expect On The Quarter From AWK: We expect AWK to reaffirm FY26 guidance of $6.02-$6.12/sh, LT EPS CAGR of 7-9% through 2030, a capital plan through 2030 of $19bn-$20bn, a rate base CAGR of 8-9% and financing plan of $11.8bn in debt financing and $2.5bn of equity issuance to support the capex plan. The merger process is progressing positively specifically AWK/WTRG has received a settlement in PA and is pending final approval from the commission and WTRG has gained clarity on when Aqua PA will file there next rate case. AWK received approval of there water rate case and the new rates went into effect in August which was a significant hurdle for AWK and a positive data point for the company as AWK proceeds through the merger settlement process. We move our PT to $127.

What We Expect On The Quarter From WTRG: We expect WTRG to reaffirm LT EPS CAGR of 5-7% from the adjusted 2024 earnings of $1.97 through 2027, FY26 capital plan of $1.7bn, and FFO to net debt ratio of 12%. We expect the quarter update to be business as usual and provide a update on the merger as well as provide detail on the Peoples Gas rate case, and the delayed filing of Aqua PA which was an agreed upon provision in the PA joint merger settlement.

Quarterly Results AWK: We estimate AWK results will be $2.03/sh, missing consensus estimates at print of $2.07/sh. We expect the call will be focused on the merger as we head into the end of the calendar year.

Quarterly Results WTRG: We estimate WTRG Results will be $0.35/sh, meeting consensus estimates at a print of $0.35/sh. We expect the call will be primarily focused on the merger, Peoples Gas rate case, and delayed filing of the Aqua PA to June 2027.

Focus Items & Catalysts:

- **NJ Merger Case:** The New Jersey merger joint application for approval is progressing constructively. Achieving a settlement in PA was material achievement for AWK, but the next key state in the process from a rate base perspective is New Jersey. In NJ hearings are scheduled for October 15th and October 29th.

- **Peoples Gas:** WTRG received the ALJ recommendation on 10/2, and the outcome was middle of the road. WTRG thought the outcome was constructive. The recommendation by the ALJ is an ROE of 10.2%, a revenue requirement of $105mn, and an equity ratio of 55.45%. WTRG requested a revenue requirement of $163.2mn, an ROE of 11.25%, and an ~54% equity layer. A final decision on the rate case is expected in December.

- **AWK Guidance:** We expect AWK to provide an update to its plan in the 4Q26 call. We expect the company to provide EPS guidance for AWK, a capex plan, a financing plan, reaffirmation of its LT EPS CAGR, and a financing plan.

- **Merger Update:** The merger is constructively moving along, and AWK and WTRG expect the acquisition to close in 1Q27. As an update, AWK/WTRG reached a settlement in Pennsylvania, and a key provision of the filing is that AWK/WTRG cannot request a PA rate case until June 2027 for Aqua PA. We note that AWK recently received new rates in August from PAPUC and affordability and rate case frequency was a contentious topic. Additionally, AWK/WTRG have reached settlements in TX and NC. Additionally, AWK/WTRG have received approvals in VA, OH, and KY. Once the merger is approved in 1Q27, we anticipate the company will provide further updates on the future state of the merger. We do not anticipate the company will provide an immediate update on Peoples Gas, as the company will be proceeding through the integration process.

AWK Valuation, EPS & Risks: We are decreasing our PT to $127 from $130 due to a decrease in the water multiple to 16.8x (prior 17.2x) and Gas group multiple to 14.7x (prior 16.3x). Our

estimates changed in FY28-1c and 2030E -1c. **Risks:** Better/worse than expected regulatory outcomes, inflationary pressure reduce, more capex than anticipated related to PFAS.

WTRG Valuation, EPS & Risks: We maintain our PT $40 and maintain our Underweight as we see limited upside in the stock given the affordability narrative in PA that will be topic of discussion when the Commission reviews the ALJ recommendation as well as the proposed delay of the Aqua PA rate case filing to June 2027. Our EPS Estimates changed for FY28E +1c, FY29E +1c, FY30E +2c. . **Risks**: Better/worse than expected regulatory outcomes, inflationary pressures reduce, more capex than anticipated related to PFAS.

AWK 3Q26 Walk

The quarterly miss was driven by flat rates and the negative drivers -2c from tax, -2c of D&A, and -7c of interest expenses and -1c of dilution.

FIGURE 28. **AWK 3Q26 Walk**

AWK 3Q26 EPS Walk		
3Q25 EPS		$1.89
Essential Transaction		($0.01)
Weather		$0.03
Adjusted Starting Point		**$1.91**
Weather		$0.00
Infrastructure		$0.12
CA Rates		$0.01
IL Rates		$0.00
TN Rates		$0.00
WV Rates		$0.02
MD Rates		$0.00
VA Rates		$0.00
IN Rates		$0.00
KY Rates		$0.02
PA Rates		$0.04
NJ Rates		$0.01
MO Rates		$0.00
IA Rates		$0.00
HI Rates		$0.00
Other Revenues		$0.00
O&M		$0.00
Tax		($0.02)
D&A		($0.02)
Interest Expense	700mn @ 5.2%; 500@4.625%; 500 @5.55%	($0.07)
Dilution		($0.01)
AWK 3Q26 EPS		**$2.03**
3Q26 Consensus		**$2.07**
FY26 EPS (Barclays)		**$6.06**
FY26 EPS (Consensus)		**$6.08**
SO 2026		**199**
SO 2025		**195**

Source: Barclays Research, Company Reports, Bloomberg

WTRG 3Q26 Walk

The quarter was driven volume gas of +1c, Water growth of +1c, and new rates and surcharges of +4c. The negative impact of the quarter are -4c of interest and -1c of dilution.

FIGURE 29. **WTRG 3Q26 Walk**

WTRG 3Q26 EPS Walk	
2Q25	$0.33
Weather	$0.00
Adjusted Starting Point	**$0.33**
Volume-Gas	$0.01
volume -water	($0.01)
Growth water	$0.01
PA water/Gas rates/ Surcharge	$0.01
NC water	$0.02
OH water	$0.01
IL	$0.00
Indiana	$0.00
KY Gas	$0.01
KY Surchage	$0.00
O&M	$0.00
Taxes other than income taxes	$0.00
D&A	$0.00
Interest Expense	($0.04)
Other	$0.02
Dilution	($0.01)
WTRG 3Q26 EPS	**$0.35**
3Q26 Consensus	**$0.35**
FY26 EPS (Barclays)	**$2.28**
FY26 EPS (Consensus)	**$2.24**
SO 2026	**286**
SO 2025	**281**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard (AWK)

FIGURE 30. AWK Fundamental Dashboard

AWK Dashboard	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$5.39**	**$5.69**	**$6.06**	**$6.61**	**$7.26**	**$7.46**	**$8.02**
Prior EPS	$5.39	$5.69	$6.06	$6.61	$7.26	$7.47	$8.03
Consensus EPS	**$5.28**	**$5.73**	**$6.08**	**$6.60**	**$7.18**	**$7.78**	**$8.34**
Delta (%)	2.07%	-0.54%	-0.26%	0.25%	1.14%	-4.05%	
Shares Outstanding	195	195	199	202	202	214	214
DPS	$3.00	$3.25	$3.51	$3.79	$4.10	$4.43	$4.78
DPS Growth (%)	9.9%	8.2%	8.2%	8.0%	8.0%	8.0%	8.0%
DPS Payout (%)	56%	57%	58%	57%	56%	59%	60%
Valuation Metrics							
P/E	23.9x	22.6x	21.3x	19.5x	17.7x	17.3x	16.1x
EV/RAB	2.0x	2.0x	1.8x	1.7x	1.6x	1.5x	1.5x
EBITDA	2,506	2,773	2,780	3,070	3,382	3,660	3,934
FFO	2,057	2,159	2,380	2,665	2,899	3,127	3,349
Net Debt	13,941	15,749	16,766	18,028	19,907	20,176	21,850
FFO/Debt	14.8%	13.7%	14.2%	14.8%	14.6%	15.5%	15.3%
Debt to Capital	57.6%	59.4%	58.6%	59.0%	60.1%	57.7%	57.9%
Net Debt/EBITDA	5.6x	5.7x	6.0x	5.9x	5.9x	5.5x	5.6x
Holdco Debt/Total Debt (%)	33.1%	35.9%	41.1%	41.3%	40.1%	40.6%	41.1%
Consolidated Equity Layer (%)	42.4%	40.6%	41.4%	41.0%	39.9%	42.3%	42.1%
Moody's Downgrade Threshold is 12%							
EPS Estimates by Sub							
American Water Works Company	$5.46	$5.83	$6.41	$7.05	$7.81	$8.09	$8.77
Parent	($0.07)	($0.14)	($0.34)	($0.44)	($0.55)	($0.63)	($0.75)
Consolidated	**$5.39**	**$5.69**	**$6.06**	**$6.61**	**$7.26**	**$7.46**	**$8.02**
Guidance 2026-2030 7% - 9%	**5.25-5.30**	**5.70-5.75**	**6.02-6.12**				
High			**$6.12**	**$6.67**	**$7.27**	**$7.93**	**$8.64**
Midpoint			**$6.07**	**$6.56**	**$7.08**	**$7.65**	**$8.26**
Low			**$6.02**	**$6.44**	**$6.89**	**$7.37**	**$7.89**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard (WTRG)

FIGURE 31. WTRG Fundamental Dashboard

WTRG Dashboard ($Mns except for per share data)	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$1.97**	**$2.20**	**$2.28**	**$2.40**	**$2.54**	**$2.66**	**$2.78**
Prior EPS	**$1.97**	**$2.20**	**$2.28**	**$2.40**	**$2.53**	**$2.65**	**$2.76**
Consensus EPS	**$1.99**	**$2.14**	**$2.24**	**$2.40**	**$2.53**	**$2.71**	**$2.76**
Delta (%)	-1.0%	2.7%	2.1%	0.1%	0.4%	-1.5%	0.6%
Shares Outstanding	275	281	286	297	304	312	320
DPS	$1.27	$1.33	$1.41	$1.50	$1.59	$1.68	$1.78
DPS Growth (%)	6.5%	5.4%	5.9%	6.0%	6.0%	6.0%	6.0%
DPS Payout (%)	64%	61%	62%	62%	62%	63%	64%
Valuation Metrics							
P/E	20.8x	18.6x	17.9x	17.0x	16.1x	15.3x	14.7x
EV/RAB	1.7x	1.7x	1.6x	1.5x	1.4x	1.3x	1.2x
EBITDA	1,127	1,338	1,423	1,566	1,712	1,833	1,952
FFO	847	1,082	991	1,089	1,187	1,282	1,375
Net Debt	7,502	8,097	8,152	8,255	8,300	8,292	8,235
FFO/Debt	11.3%	13.4%	12.2%	13.2%	14.3%	15.5%	16.7%
Net Debt/EBITDA	6.7x	6.0x	5.7x	5.3x	4.8x	4.5x	4.2x
Moody's FFO/Debt DG Threshold 12%							
EPS Estimates by Sub							
Consolidated	$1.97	$2.20	$2.28	$2.40	$2.54	$2.66	$2.78
Consolidated	**$1.97**	**$2.20**	**$2.28**	**$2.40**	**$2.54**	**$2.66**	**$2.78**
Guidance FY25 EPS Guidance		**2.07-2.11**					
Guidance Range (5-7%) LT CAGR							
High		**2.11**	**2.26**	**2.42**	**2.58**	**2.77**	**2.96**
Midpoint	**1.97**	**2.09**	**2.22**	**2.35**	**2.49**	**2.64**	**2.80**
Low		**2.07**	**2.17**	**2.28**	**2.40**	**2.52**	**2.64**

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 32. AWK Valuation

AWK SOTP Valuation Pro Forma					Low	Base	High
Water Group Multiple					14.3x	**16.8x**	19.3x
Gas Group Multiple					11.8x	**14.7x**	17.6x
				Base Case			
Business Segments	**EPS ('28E)**	**Prem/Disc.**		**Imp. Multiple**			
American Water Regulated Business	$5.48	**0%**		16.8x	$78	$92	$106
WTRG - Water	$1.65	**0%**		16.8x	$24	$28	$32
WTRG - Gas - Assume Sold	$1.03	**2%**		17.1x	$12	$15	$18
Parent	($0.39)	**0%**		16.8x	($6)	($7)	($7)
Consolidated EPS ('28E) - Ex Gas	**$6.75**				**$96**	**$114**	**$131**
LDC Sale Redployment							
Debt Paydown ($Mn)	3,117	Int Rate	5.0%	16.8x	**$9**	**$9**	**$10**
Equity Needs Offset ($Mn)	750				**$3**	**$3**	**$3**
CapEx Reinvestment (Earnings)	33			16.8x	**$2**	**$2**	**$2**
LDC Redeployment EPS Impact	**-$0.49**			**Total**	**$13**	**$14**	**$14**
Net AWK EPS Pro Forma Gas Sell Down	$7.28	*(%)*					
Consensus (BBG)	$7.18	*1.5%*					
Implied Multiple					15.1x	17.4x	19.9x
Shares Outstanding					288	288	288
Valuation					**$110**	**$127**	**$145**
Market Price						**$133**	
Upside / Downside					-17.3%	-4.5%	9.0%
Yield ('26)						5.8%	
Potential Total Return					**-17.3%**	**-4.5%**	**9.0%**

Source: Barclays Research, Company Reports, Bloomberg

FIGURE 33. WTRG Valuation

WTRG SOTP Valuation				Low	Base	High
Water Group Multiple					16.8x	
Gas Group Multiple					14.7x	
WTRG Valuation: Based on 90% Odds Deal Closes						
Exchange Ratio					0.305	
WTRG Valuation On Deal Close				**$34**	**$40**	**$46**
Probability:	**90%**			**$31**	**$36**	**$41**
		2028 EPS	**Base Multiple**			
WTRG Base Case Valuation	**10%**	$2.53	16.8x	**$4**	**$4**	**$4**
Implied Multiple				13.7x	16.0x	18.1x
WTRG Pice Target				**$35**	**$40**	**$46**
Market Price					$39	
Upside / Downside				-10.8%	3.9%	17.8%
Yield ('26)					3.4%	
Potential Total Return				**-7%**	**7%**	**21%**

Source: Barclays Research, Company Reports, Bloomberg

CenterPoint Energy (CNP): 3Q26 Preview

What to expect on the 3Q26 call: We expect a significant update on 345kV capex, guidance on FY27 EPS, and a rate case filing by end of year in Indiana. Our expectation is that the 345kV update will include $1b+ in new spending and that will include some level of equity, which could come through an asset sale or share issuance. We estimate that for $1bn of incremental capex, we get 0.9% EPS accretion. We may hear some updates on the OH LDC sale, which closed in early October. We don't expect any change to the long term EPS CAGR (currently 7-9% through 2035) but we do note that CNP's CAGR rebases on prior year's results. We also believe we are in wait and see mode regarding Batch Zero as there are few key dates between now and December, but ultimately don't see this as a risk to CNP. We estimate 3Q EPS of $0.50/sh vs $0.49 consensus and FY27 EPS of $2.08 vs $2.09 consensus.

Focus Items & Catalyst Calendar

- **345kV distribution project:** CNP is currently fleshing out the capital requirements to upgrade its distribution network in TX. CEHE currently has 10GW of existing capacity available in the network however that will be soaked up by the ~14GW of Batch Zero projects slated to come online in the coming years. This is near term capex to ensure future projects relevant to Batch 1 & 2 will be able to interconnect. We expect an incremental announcement of $1bn+. Any update to its capital plan is likely to come with an update in financing plan. We model below +0.9% 2028 EPS accretion from $1bn in incremental capex.

FIGURE 34. Incremental Capex Earnings Impact

CNP Scenario Analysis	2028 Impact	Comment
Incremental CapEx	$1,000	$1bn incremental capex
ROE	9.7%	
Equity Layer	43.3%	
Net Income	$42	
FFO	$75	30 year amortization
Leverage Multiple	7.1x	14% FFO target
Debt	$536	
Equity Financing	$464	
Pre-Capex 2028 NI	**$1,604**	
Post-Capex 2028 NI	**$1,646**	
Pre-Capex 2028 SO	**697**	
Post-Capex 2028 SO	**708**	
Pre-Capex 2028 EPS	**$2.30**	
Post-Capex 2028 EPS	**$2.32**	
EPS Accretion/(Dilution)	**0.9%**	

Source: Barclays Research, Company Reports

- **Indiana rate case and affordability hearing:** CNP intends to file a rate case by year end for Indiana. This comes against the backdrop of the Indiana affordability hearings and we note that CNP was originally slated to file in October. An initial issues list was filed in August centered around the impact of multi year rate making, performance incentive schemes, and how best to determine authorized ROE levels, among other things. An attorneys conference was held in early October to set out the schedule for the proceeding, with an evidentiary hearing scheduled for February 4-5, 2027. We also see a possible update on the Indiana DC opportunity but are not expecting meaningful progress following the 2Q update.

- **Batch Zero:** We dont expect many updates regarding the Batch Zero process in TX. As it stands, CNP has 10GW classified as base load and 4GW as studied load. Mgmt expressed high confidence in interconnection likelihood of the 10GW but indicated the studied load is less

clear. There is $800mn in the capital plan toward connecting the full 14GW. Th Batch process is on hold currently as the Governor's audit runs its course through December, when we will get ERCOT's verification report related to the audit.

- **FFO/Debt:** The company is targeting the high end of its 14-15% FFO/Debt range by year end. In 2Q it showed TTM FFO/Debt of 13.4%. At the start of the year CNP saw 12.5% FFO/debt based on debt issuance timing.

- **Elections:** There are tight governor races in Texas and Ohio and we see risk skew to the negative given incumbents in both states are Republicans. These elections occur on November 3, shortly after CNP's October 27 earnings report. Our base case assumption is still no change in regulatory compacts and constructive regulation where we see the election as more a low-odds high impact catalyst.

EPS estimates, valuation & risks: We model +2c uplift to forward EPS estimates assuming $1bn in incremental capex announced as part of 345kV upgrades in TX, however we do not formally fold this into our model. We lower our price target modestly from $44 to $41 on mark-to-market of peer trading multiples. Our price target is based on a sum-of-the-parts analysis applying relative premiums/discounts for the various business segments relative to peer electric and gas group P/E multiples. We apply a 15% premium to the CEHE, SIGECo, CERC, and Parent. Risks include uncertainty in regulatory outcomes, commodity risk volatility, and financing.

3Q EPS Walk

FIGURE 35. **CNP 3Q26 EPS Walk**

CNP 3Q26 EPS Walk	Note	$/sh
3Q25 EPS		$0.50
Adjustment	One time tax deferred benefit	($0.05)
Adjusted Starting Point		**$0.46**
Rate Relief	Interim trackers at subs	$0.08
D&A & Taxes		$0.00
Growth & Usage		$0.00
Tax Reversal		$0.00
Weather	60 cooling days at CEHE above normal	$0.01
O&M		$0.00
Interest Expense		($0.04)
Transition Bonds		$0.00
Absence of Series A Pref		$0.00
Divestitures		$0.00
Parent		$0.00
Dilution		($0.00)
CNP 3Q26 EPS		**$0.50**
3Q26 Consensus		**$0.49**
FY26 EPS (Barclays)		**$1.92**
FY26 EPS (Consensus)		**$1.91**
FY26 EPS (Guidance Midpoint)		**$1.90**

Source: Barclays Research, Company Reports, Bloomberg

FY27 EPS Walk

FIGURE 36. CNP FY27 EPS Walk

CNP 2027 EPS Walk	Notes	$/sh
Original 2026 Guidance Midpoint		$1.90
Weather		$0.00
Adjusted Starting Point		**$1.90**
Growth & Rate Recovery		
Weather and Usage		$0.00
Customer Growth		$0.12
CEHE		$0.23
SIGECo		$0.08
CERC		$0.01
LDC Sale	Lost earnings offset netted against sale proceeds covering debt paydown and equity issuance	($0.01)
D&A	16-24c historically run rate	($0.20)
Interest Expense	$1.2bn debt paydown in October '27 +	($0.02)
O&M	Long term 1-2c uplift per year	$0.02
Taxes		$0.00
Parent		$0.00
Dilution		($0.05)
Barclays 2027 EPS		**$2.08**
2027 Consensus		**$2.09**
Implied 2027 Guidance Midpoint		**$2.06**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 37. CNP Fundamental Dashboard

CNP Dashboard Nicholas Campanella +1 (212) 526-6123	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$1.62**	**$1.76**	**$1.92**	**$2.08**	**$2.30**	**$2.51**	**$2.68**
Prior EPS	**$1.62**	**$1.76**	**$1.92**	**$2.09**	**$2.28**	**$2.49**	**$2.65**
Consensus EPS	**$1.62**	**$1.76**	**$1.91**	**$2.09**	**$2.29**	**$2.47**	**$2.67**
Delta (%)	*-0.3%*	*-0.1%*	*0.7%*	*-0.6%*	*0.8%*	*1.6%*	*0.5%*
Shares Outstanding	644	656	662	680	697	713	729
DPS	$0.81	$0.88	$0.93	$0.99	$1.05	$1.11	$1.18
DPS Growth (%)	5.8%	8.0%	6.7%	6.0%	6.0%	6.0%	6.0%
DPS Payout (%)	50%	50%	49%	48%	46%	44%	44%
Guidance: Moderating dividend growth at 6% but keep payout ratio above 45%							
Valuation Metrics							
P/E	24.5x	22.5x	20.6x	19.1x	17.2x	15.8x	14.8x
EV/RAB	1.8x	1.6x	1.5x	1.4x	1.3x	1.3x	1.2x
EBITDA	3,429	3,640	4,158	4,530	5,116	5,586	6,046
FFO	2,643	2,535	3,065	3,569	4,022	4,371	4,722
Net Debt	20,436	19,929	23,261	25,738	29,362	31,199	33,453
FFO/Debt	12.9%	12.7%	13.2%	13.9%	13.7%	14.0%	14.1%
Net Debt/EBITDA	6.0x	5.5x	5.6x	5.7x	5.7x	5.6x	5.5x
Holdco Debt/Total Debt (%)	26.1%	22.3%	24.3%	28.1%	28.6%	29.0%	28.8%
Consolidated Equity Layer (%)	33.8%	34.6%	33.7%	33.7%	33.9%	34.3%	34.9%
Target FFO/Debt: 14-15% throughout 2030; 100-150bps cushion above DG threshold							
Note 2024/2025 avg FFO/debt = ~12%, increase reflects securitzation proceeds							

Source: Barclays Research, Bloomberg, Company Reports

Valuation

FIGURE 38. CNP Valuation

Valuation	
Current Market Price	$39.7
Market Cap ('25)	$25,117
Net Debt ('25)	$18,345
EV ('25)	$43,462

CNP SOTP Valuation				Low	Base	High
Electric Group Multiple				14.2x	15.7x	17.3x
Gas Group Multiple				13.8x	15.4x	16.9x
Business Segments	**EPS ('28E)**	**Prem/Disc.**	**Base Case Implied Multiple**			
Houston Electric	$1.44	15.0%	18.1x	$23	$26	$29
SIGECo	$0.44	15.0%	17.9x	$7	$8	$9
CERC	$1.04	15.0%	17.7x	$17	$18	$20
Parent	($0.62)	15.0%	17.9x	($10)	($11)	($12)
Consolidated EPS ('28E)	**$2.30**			**$37**	**$41**	**$45**
			Implied '28 P/E ==>	16.1x	17.8x	19.5x

Valuation	Low	Base	High
Market Price		$39.7	
Upside / Downside	-6.8%	3.3%	13.4%
Yield ('26)		2.2%	
Potential Total Return	**-5%**	**6%**	**16%**

Source: Bloomberg, Barclays Research, Company Reports

Chesapeake Utilities Corporation (CPK) 3Q26

What We Expect On The Call: We expect CPK to reaffirm FY26 capex of $550-600mn, a 5-year capex plan of $1.5bn-$1.8bn, and FY28 EPS of $7.75/sh-$8.00/sh. We expect the quarter to be fairly quiet, but we anticipate the main discussion points will be the FCG rate case, FEP/WRU projects, and FY27 guidance. **3Q Quarterly Results:** We estimate CPK quarterly results will be $0.93/sh compared to BBG consensus estimates of $0.96/sh.

Focus Items & catalyst Calendar:

- **FCG Rate Case:** The rate case is progressing constructively for CPK, and the commission approved interim rates of $16.2mn on July 24th. On 11/18, we expect a staff recommendation on the revenue requirement and a special commission conference on 12/1 to determine the revenue requirement. CPK is also expecting a staff recommendation on rate design on 12/10 and another special commission conference on 12/15. CPK expects rates will be effective on January 1st.

- **FEP/WRU:** The project preparation process is starting to ramp up. CPK has hired a project manager who specializes in large projects. The permitting process is projected to take 12 to 18 months. CPK projects that this process should be concluded next year or in early 2028. Additionally, we expect management to provide an update on the WRU project, which has an expected in-service date of 1Q27.

- **FY27 Guidance:** CPK is expected to provide a full guidance refresh on the 4Q26 call, which will include capex, financing plans, and LT EPS CAGR. CPK is still in the process of determining whether it will provide EPS guidance for FY27. We note that CPK did not provide FY26 EPS guidance.

Valuation, EPS & Risks: We are decreasing our PT to $134 from $136, and we are maintaining an Equal Weight rating on account of a SMID cap multiple of 15.1x (from 16.1x) and gas group multiple of 15.3x (from 16.2x). We update our valuation adjusting ROE, updates to share count, and rolling forward our model to 2028, and also to account for the WRU project. We are applying a 15% premium on the regulated business. Our EPS estimates for FY26E are -2c, FY27E -3c, FY28E -3c, FY29E -3c, and FY30E -3c as a result of stock price volatility. **Risks:** Better/worse regulatory outcome, inflationary risks, and macro-economic impacts.

3Q26 EPS Walk

The positive drivers of the quarter are +2c from new rates, +5c from natural gas distribution, +8c from natural gas transmission, +1c from demand, and +10c from infrastructure growth. The negative impacts are -7c from O&M, -6c from D&A/tax, -2c from interest expense, and -2c from dilution.

FIGURE 39. CPK 3Q26 Walk

CPK 2Q26 EPS Walk	Note	$/sh
3Q25 EPS		$0.82
Weather		$0.03
Adjusted Starting Point		**$0.85**
Rate	1mn incremental Full incremetnal	$0.02
Weather		$0.00
Storms		$0.00
Nat gas Distribution		$0.05
Nat Transmission	32 for full year 8.2 - 8.3	$0.08
Infrastructure Growth	Infrastructure: $3.3mn, $4.7mn, $2.5mn, $2.7mn	$0.10
Unregulated Margin	Marrlin not the same growth no impact	$0.00
O&M		($0.07)
D&A + Tax		($0.06)
Depreciation Study		$0.01
Interest Expense		($0.02)
Other		$0.00
Parent		$0.00
Dilution		($0.02)
CPK 3Q26 EPS		**$0.93**
FY26 EPS (Consensus)		**$0.96**
FY26 EPS (Barclays)		**$6.34**
FY26 EPS (Consensus)		**$6.46**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 40. CPK Fundamental Dashboard

CPK Dashboard	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$5.39**	**$6.01**	**$6.34**	**$7.31**	**$7.74**	**$8.43**	**$9.09**
Prior EPS	**$5.39**	**$6.01**	**$6.36**	**$7.34**	**$7.78**	**$8.47**	**$9.14**
Consensus EPS	**$5.40**	**$6.07**	**$6.46**	**$7.35**	**$7.89**	**$8.45**	**$9.50**
Delta (%)	*-0.05%*	*-1.03%*	*-1.87%*	*-0.55%*	*-1.84%*		
Shares Outstanding	23	23	24	25	25	25	26
Guidance							
DPS	$2.41	$2.58	$2.94	$3.13	$3.39	$3.68	$3.99
DPS Growth (%)	10.8%	7.4%	13.8%	6.4%	8.5%	8.5%	8.5%
DPS Payout (%)	45%	43%	46%	43%	44%	44%	44%
Guidance: 45-50%							
Valuation Metrics							
P/E	23.7x	21.3x	20.2x	17.5x	16.5x	15.2x	14.1x
EV/RAB	2.1x	2.3x	2.0x	1.9x	1.7x	1.6x	1.5x
EBITDA	294	348	361	414	450	496	541
FFO	239	273	306	345	371	403	436
Net Debt	1,476	1,618	1,649	1,751	1,835	1,896	1,933
FFO/Debt	16.2%	16.9%	18.6%	19.7%	20.2%	21.3%	22.6%
Net Debt/EBITDA	5.0x	4.7x	4.6x	4.2x	4.1x	3.8x	3.6x
Holdco Debt/Total Debt (%)	33.4%	35.2%	38.7%	40.3%	41.6%	42.7%	43.7%
Consolidated Equity Layer (%)	48.5%	49.7%	53.4%	54.1%	54.9%	56.1%	57.6%
Consolidated Equity Layer (%) - Exclude ST	52.6%	54.7%	57.0%	57.4%	58.1%	59.2%	60.5%
Target Equity Capitalization: 50-60%, exclude ST, in the low end							
EPS Estimates by Sub							
Regulated Energy	$5.57	$6.14	$5.68	$6.57	$6.91	$7.50	$8.04
Unregulated Energy	$1.41	$1.43	$1.31	$1.48	$1.66	$1.85	$2.05
Parent	($1.58)	($1.33)	($0.65)	($0.74)	($0.83)	($0.92)	($1.00)
Consolidated EPS	**$5.39**	**$6.24**	**$6.34**	**$7.31**	**$7.74**	**$8.43**	**$9.09**
Barclays EPS CAGR (%)	**7.6%**	**8.7%**	**7.8%**	**8.6%**	**8.4%**	**9.3%**	**10.1%**
Guidance Range: 8.4-8.7% 10-yr CAGR off 2018 EPS $3.47							
High	**5.45**	**6.35**	**6.79**	**7.38**	**8.00**	**8.00**	**8.00**
Midpoint	**5.39**	**6.25**	**6.78**	**7.35**	**7.88**	**7.88**	**7.88**
Low	**5.33**	**6.15**	**6.78**	**7.32**	**7.75**	**7.75**	**7.75**
Guidance EPS CAGR off 2018	**7.6%**	**8.8%**	**8.7%**	**8.7%**	**8.5%**	**8.5%**	**8.5%**
Guidance EPS CAGR off 2025	**n.a.**	**n.a.**	**8.6%**	**8.5%**	**8.0%**	**8.0%**	**8.0%**

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 41. CPK Valuation

P/E Valuation				Low	Base	High
SMID Electric Group Multiple				12.8x	**15.1x**	16.6x
Gas Group Multiple				13.0x	**15.3x**	16.8x
Business Segments	**EPS ('28E)**	**Prem/Disc.**	**Base Case Implied Multiple**			
Regulated Energy	$6.92	**15.0%**	17.5x	$103	$121	$133
Unregulated Energy	$1.66	**0.0%**	15.2x	$21	$25	$28
Parent	($0.83)	**0.0%**	15.2x	($11)	($13)	($14)
			Implied Premium / Discount (P/E)	21.6%	21.5%	21.2%
Valuation				**$114**	**$134**	**$147**
Market Price					**$132.2**	
Upside / Downside (%)				-14%	1%	11%
Yield ('26)					2.2%	
Potential Total Return				**-12%**	**4%**	**13%**

Source: Barclays Research, Company Reports, Bloomberg

Dominion Energy (D): 3Q26 Preview

3Q26 Earnings Preview: We view Dominion (D) into 3Q as fairly quiet with primary focus on the merger. Key updates should include the progressing on the merger with NEE, a possible narrowing of the FY26 EPS guidance, offshore wind updates, an updated IRP in VA, and Millstone updates. The merger arbitrage spread is ~2.5% below implied deal value. Merger notwithstanding, we note a 4.2% dividend yield and a break fee of $4.6bn, enough to offset ~3 years of equity needs and we think the stock is even attractive on the base plan, which our $65 PT (10%+ total return upside) is predicated on. For the quarter we model $1.23/sh vs $1.18/sh consensus, with biennial review approval and regulated investment being the primary positive drivers for the quarter. Capacity expense and RNG headwinds are drags.

Focus Items & Catalyst Calendar:

- **Merger is progressing despite the noise:** The merger is on track and D remains confident in Commission decision. This comes amid ongoing opposition and political posturing against the deal, including most recently from the VA Lt. Governor. Mgmt indicates this is mostly noise as the Lt. Governor is not a party to the case and does not have authority in the proceeding. Intervenor testimony is due in VA on October 19 and in SC on October 28. Hearings in VA and SC will occur in mid November and mid December, respectively. **Robo memorandum:** A recent discovery ruling cited the Robo Memorandum, which was a memo received by then-CEO James Robo regarding illicit political activities by the company, including election interference and influence efforts in FL. D downplayed the impact as this was simply a discovery hearing to allow certain parties access to the confidential memo. It remains up to the Commission whether the information will be admissible in the proceeding.

- **Coastal Virginia Offshore Wind:** As of the 2Q earnings call, all 176 monopiles were installed and 31 turbines were installed (the 32nd was in progress), and they were averaging a turbine installation every two days. With, at that time, 519 days until end of 2027 (estimated COD) and 144 turbines remaining they should be able to comfortably meet their COD deadline (that time table gave them 3.6 days/turbine which is comfortably above D's two day run rate). We expect ~45 turbines installed over the course of 3Q, netting to ~99 turbines remaining. On 2Q earnings, D stepped up their cost estimate from $11.4bn to $11.65bn due to tariffs (+$228mn), various cost component overruns (+$234mn), and two quarters of schedule delays (+ $288mn). Those increases netted against -$502mn in cost savings from PJM network upgrades to get the +250mn. Worth noting is that in mid October, the DOJ asked a federal court to remand the Interior Department's approval of a construction and operations plan for Revolution Wind off the coast of Rhode Island, which could be viewed as a negative read through to CVOW. However, D indicated this decision by the DOJ isn't changing its plans for CVOW and they viewed it to be constructive that the government did not seek to vacate existing approvals or halt construction. The next CVOW CFACT case is due November 2.

- **Narrowing of full year guidance with top half bias:** FY2026 EPS guidance at the start of the year was $3.40-$3.60/sh. We expect mgmt to provide a narrowing of the range to $3.50-$3.60/sh (our FY2026 EPS estimate is $3.56/sh). 3Q is when they typically provide guidance refinements.

- **Millstone PPA extension:** Discussions with CT are ongoing. Recently, CT came out with an information update that they expect a final decision later this year. They are currently behind on their own schedule as final award was originally expected by 2Q26. The existing Millstone PPA runs through 2029. Once an agreement is filed with PURA, there will be a 180 day review period.

- **Other miscellaneous updates we expect:** An updated IRP is expected by October 15 where we expect to hear about additional need for solar, storage and fossil fuel resources. The tone

in VA on data centers is still constructive despite recent noise and D notes that much of the discussion is around cost shifting rather than bans or moratoriums.

Valuation, EPS & Risks: We lower our PT from $69/sh to $65/sh due to lower mark-to-market group multiples, with our valuation still predicated on the standalone plan given the NEE-D transaction is still ~one year out from close. Our EPS estimates are -3c, -3c, and -4c lower in '27/'28/'29, respectively. Our premium/discount approach on the SOTP for each of D's businesses is unchanged. Risks: Negative regulatory outcomes, project execution, and refinancing risk.

3Q26 EPS Walk

We project 3Q26 EPS of $1.23/sh vs. $1.06/sh in 3Q25, and $1.18 consensus. This positive drivers for the quarter include +5c for weather, +10c for regulated investment, +13c for biennial review approval, +4c for SC rate case, +5c for sales growth, +1c for Charbydis. Negative drivers include -2c for D&A/O&M, -7c for capacity expense, -5c for RNG, -8c for interest expense, -2c due to nuclear PTC, and -3c from dilution.

FIGURE 42. D 3Q26 EPS Walk

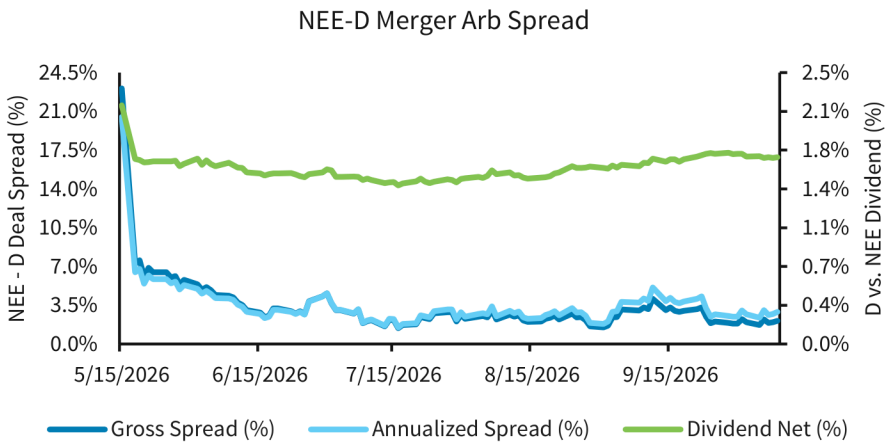
D 3Q26 EPS Walk	Note	$/sh
3Q25 EPS		$1.06
Weather		$0.06
Adjusted Starting Point		**$1.12**
Weather	Benefit from a low base last year where cooling days were down	$0.05
Investment		$0.10
Volumes		$0.00
Biennial review approval		$0.13
SC rate case		$0.04
Sales growth		$0.05
Charbydis		$0.01
Lapping ship drag		$0.00
D&A, O&M and Other		($0.02)
Millstone Margins		$0.00
Capacity Expense		($0.07)
RNG & 45z	Business is ramping; 45z credit less profitable; ITC amortization	($0.05)
Interest Expense		($0.08)
Lapping Outages		$0.00
Nuclear PTCs		($0.02)
Parent		$0.00
Dilution		($0.03)
D 3Q26 EPS		**$1.23**
3Q26 Consensus		**$1.18**
FY26 EPS (Barclays)		**$3.56**
FY26 EPS (Consensus)		**$3.59**
FY26 EPS Guidance		**$3.50**

Source: Barclays Research, Company Reports, Bloomberg

Current NE - D Merger Arb Spread Remains Quite Tight

The spread comfortably settled into the mid~2% range beginning in early July where it has largely remained apart from a brief widening to 4% in mid September. September saw an uptick in noise surrounding the deal, including the original Motion to Compel by Clean Virginia in the discovery proceeding (regarding the Robo Memo), concerns around review delays, and an enhanced consumer benefits package (which could have been construed as stiffening opposition by regulators).

FIGURE 43. **NEE - D Merger Arb Spread**



Source: Barclays Research, Bloomberg

Fundamental Dashboard

FIGURE 44. **Fundamental Dashboard**

Dominion (D) Dashboard	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$2.85**	**$3.42**	**$3.56**	**$3.79**	**$4.07**	**$4.26**	**$4.64**
Prior EPS	**$2.85**	**$3.42**	**$3.57**	**$3.82**	**$4.10**	**$4.30**	**$4.70**
Consensus EPS	**$2.77**	**$3.41**	**$3.59**	**$3.81**	**$4.08**	**$4.37**	**$4.68**
Delta (%)	*2.8%*	*0.3%*	*-0.7%*	*-0.5%*	*-0.4%*	*-2.5%*	*-1.0%*
D Pro Forma EPS on Deal Break ($4.6bn break fee)	**$2.85**	**$3.42**	**$3.57**	**$3.84**	**$4.23**	**$4.56**	**$5.08**
Shares Outstanding	839	855	888	915	941	968	999
DPS	$2.67	$2.66	$2.67	$2.67	$2.66	$2.66	$2.65
DPS Growth (%)	-0.1%	-0.1%	0.2%	-0.1%	-0.1%	-0.1%	-0.1%
DPS Payout (%)	94%	78%	75%	70%	65%	62%	57%
Valuation Metrics						$0.04	
P/E	21.9x	18.2x	17.5x	16.5x	15.4x	14.7x	13.5x
EV/RAB	1.5x	1.6x	1.6x	1.5x	1.5x	1.4x	1.3x
EBITDA	5,592	6,801	7,709	8,648	9,674	10,714	12,098
FFO	4,494	6,732	7,032	8,105	8,877	9,721	10,732
Net Debt - $7bn hybrid through 2030	38,940	44,609	49,170	54,650	60,823	68,371	74,561
FFO/Debt	11.5%	15.1%	14.3%	14.8%	14.6%	14.2%	14.4%
Net Debt/EBITDA	7.0x	6.6x	6.4x	6.3x	6.3x	6.4x	6.2x
Holdco Debt/Total Debt (%)	32.3%	39.6%	38.5%	37.9%	37.4%	37.5%	37.1%
Consolidated Equity Layer (%)	43.5%	41.8%	40.7%	39.6%	38.9%	38.7%	38.5%
Target FFO/Debt: ~15% over time; Downside at agencies at 13/14%							
EPS Estimates by Sub							
VEPCO	$2.28	$2.46	$3.10	$3.27	$3.53	$3.98	$4.34
Guidance			3.01-3.12				
LDCs	($0.00)	$0.00	$0.00	$0.00	$0.00	$0.00	$0.00
Guidance			0.00				
DESC	$0.47	$0.63	$0.57	$0.61	$0.65	$0.72	$0.73
Guidance			0.56-0.59				
Contracted Assets	$0.43	$0.51	$0.31	$0.51	$0.55	$0.30	$0.38
Guidance			0.27-0.30				
Parent	($0.33)	($0.17)	($0.41)	($0.59)	($0.66)	($0.75)	($0.80)
Guidance			(0.44-0.41)				
Consolidated EPS	**$2.85**	**$3.42**	**$3.56**	**$3.79**	**$4.07**	**$4.26**	**$4.64**
Barclays EPS CAGR (%) off 2025			**4.1%**	**5.3%**	**5.9%**	**7.5%**	**10.7%**

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 45. Valuation

D SOTP Valuation				Low	Base	High
Electric Group Multiple				13.4x	15.7x	17.3x
			Implied Base			
Regulated Utilities	**Net Income '28**	**Prem / Discount**	**Case Multiple**			
VEPCO	3,320	0%	15.7x	44,404	52,240	57,464
DESC	615	10%	17.3x	9,042	10,638	11,702
Total Regulated Utility Equity Value ($Mn)	3,934		16.0x	**53,447**	**62,879**	**69,166**
		Multiple				
Contracted Generation	**EBITDA '28E**	**(EV / EBITDA)**				
Millstone	601	13.0x		6,911	7,813	8,714
Solar	0	9.0x	Assumes Sale	0	0	0
RNG	15	8.0x	Excludes 45V	98	120	143
Vessel	71	6.0x		321	428	535
Net Debt (Remaining Post Debt Paydown)				0	0	0
Contracted Gen Equity Value				**7,330**	**8,361**	**9,392**
Parent	**Net Income '28**					
Parent	(623)			**(8,459)**	**(9,951)**	**(11,444)**
Equity Value ($Mn)				**52,318**	**61,288**	**67,114**
Implied P/E Multiple				13.7x	16.0x	17.5x
Implied Consolidated Prem / Disc				-13%	2%	12%
Shares Outstanding ('28E)				940	940	940
Valuation				**$56**	**$65**	**$71**
Market Price					$62.9	
Upside / Downside				-10.9%	3.4%	12.9%
Yield ('27)					4.2%	
Potential Total Return				**-7%**	**8%**	**17%**

Source: Barclays Research, Company Reports, Bloomberg

Emera Inc. (EMA): 3Q26 Preview

What we expect on the 3Q26 call: Emera has said it will roll forward / update its capital program and financing plan through 2031. The company has indicated that two new gas turbines (new net generation of 700-750 MW) will enter the capex program, which we estimate at ~$USD 1.5 billion of incremental spend. Emera has not identified any other specific incremental capex opportunities yet that could enter the program. As a reminder, while EMA typically updates its capital and financing plans on its 3Q call, it typically rolls forward / updates its long-term EPS growth rate on its 4Q call. The company does not provide current-year EPS guidance. In terms of financing, we anticipate the company will guide to modestly higher than 10% equity financing of its capex, similar to the 10% in the current base plan but modestly higher because the asset sale program is now complete.We expect the primary focus on the earnings call to be the announced CU acquisition, the data center opportunity at Tampa Electric, Nova Scotia securitization, balance sheet progress, and Peoples Gas customer growth. Our 3Q26 EPS estimate is $CAD 0.88, below current consensus of $CAD 0.97. In terms of positive year-over-year drivers, we primarily anticipate benefits from new rates in Nova Scotia and Peoples Gas, and FX tailwinds. In terms of negative year-over-year drivers, we primarily expect higher interest expense, the impact of a Tampa fuel writeoff, increased D&A, regulatory lag at Tampa Electric, lower New Mexico Gas earnings from the divestiture, lost earnings from the Grand Bahama asset sale, LTIP drag, and modestly unfavorable weather.

Focus Items & Catalyst Calendar:

- **Announced acquisition of CU (see our note)**: On our estimates, Emera's acquisition of Canadian Utilities is modestly accretive but not . Specifically, we estimate the transaction will add roughly 1.8% to 2028 EPS, with accretion fading to 0.5% in 2029 and 0.2% in 2030. The deal is viewed primarily as a growth and diversification transaction rather than a synergy story, with management emphasizing scale, financial flexibility, and broader investment opportunities rather than cost savings.

  Strategically, the merger creates a larger regulated utility with approximately C$72 billion of enterprise value, C$45 billion of rate base, 12 utilities, and 6 million customers. The combined company will be heavily weighted toward Florida and Alberta, which together represent about 80% of earnings and rate base. While Emera's exposure to constructive Florida regulation becomes somewhat smaller, Canadian Utilities contributes a strong Alberta utility business that has historically earned attractive returns under a formula-based regulatory framework.

  The combined company will maintain a C$32 billion capital plan through 2030 and target 5-7% annual EPS growth supported by 7-8% rate base growth. Management expects the all-share structure to preserve balance sheet flexibility, maintain investment-grade credit ratings, and improve holdco leverage. The transaction is expected to close in late 2027, subject to shareholder, regulatory, court, and competition approvals in multiple jurisdictions. The primary benefits are greater scale, diversification, and capital capacity, while risks center on regulatory approvals, integration execution, and the lack of meaningful synergies.

- **EPS profile:** Strong performance in 2025 and expected outperformance in 2026 are expected to transition to a flatter growth profile in 2027, preceding the next major Tampa Electric rate case.

- **New Mexico Gas sale closure:** The New Mexico Gas sale closed in August. The sale resulted in after-tax proceeds between CAD $650-$700 million, which will be reflected in third-quarter results. The proceeds will be used primarily to reduce holding company debt, improve financial flexibility, and support investment across regulated utilities. Management

highlighted the transaction as a key step in its strategy to focus on higher-growth regulated utility opportunities while strengthening the balance sheet.

- **Balance sheet update:** Emera expects to achieve Moody's 12% CFO-to-debt target in 2026 and stated the New Mexico Gas sale should provide approximately 50 basis points of sustained improvement to that metric. Moody's revised Emera's outlook to Stable during the quarter. Management indicated that maintaining at least a 50 basis point cushion above the 12% threshold is desirable and would like to move toward the higher 12% range over time. Emera completed a significant refinancing program ahead of its June debt maturity and hybrid redemption, including upsizing its hybrid issuance by CAD $300 million, supporting future growth while preserving credit benefits. Management has emphasized that the New Mexico Gas proceeds would reduce holding company debt and further strengthen financial flexibility.

- **Tampa Electric data center update:** Emera has said it continued to see encouraging data center activity within Tampa Electric's service territory, with projects advancing through planning and evaluation stages. The company did not provide much of an update for the quarter but has been highlighting a 1.3 GW of potential load in advanced discussions across multiple counterparties. EMA's Tampa Electric system can accommodate ~300–500 MW near-term within existing capacity, with incremental generation likely required for full build-out depending on ramp rates.

- **Tampa Electric large load tariff**: Tampa Electric recently filed its large load tariff. A decision is expected in early 2027. The tariff is designed to ensure large load customers pay the full cost of serving their facilities, prevent cost shifts to existing customers, and address issues such as water use and infrastructure requirements. Management indicated the legislation provides useful clarity for data center development and believes any future large load growth should help reduce, rather than increase, cost pressure on existing customers.

- **Tampa Electric rate case**: Tampa Electric anticipates filing its next rate case notice in early 2027 (for 2028 effective rates). Executing a data center agreement beforehand would allow EMA to capture initial earnings in 2027 and significantly de-risk customer affordability in the 2028+ period.

- **Nova Scotia securitization update:** The Nova Scotia province recently approved securitization regulations and EMA filed a financing order with the Energy Board, who has 60 days to review that filing (decision by early December 2026). EMA intends to issue the securitization bonds befor year-end 2026.

EPS estimates, valuation and risks: We are lowering our 2026 EPS estimate by $CAD 0.07 to $CAD 3.65 to reflect a weaker than we previously expected 3Q. We are maintaining our 2027-2030 EPS estimates. We are lowering our price target for EMA.TO to $CAD 67 from $CAD 71 and for EMA to $USD 50 from $USD 53 primarily to reflect a mark to market to a lower peer utilities trading multiples since our last Emera update. We continue to value the Florida Electric Utilities segment (i.e. Tampa Electric) at a 10% premium to our large cap peer utility 2028 P/E trading multiple given its above-average ROE and equity ratio, and forward test years. We also apply a 10% premium to the Gas Utilities & Infrastructure business given Peoples Gas' above-average ROE and equity ratio, and forward test years. We do not assign any premium to the Canadian Electric Utilities (made up mostly of Nova Scotia Power) due to the harsh Nova Scotia political environment and regulatory lag in the jurisdiction. We do not think Nova Scotia Power warrants the premium we think typical Canadian utilities deserve. Lastly, we model a 5% discount to the small "Other Electric Utilities" (Caribbean) segment. We see the primary risks to Emera being regulatory outcomes in Nova Scotia.

3Q26 Walk

FIGURE 46. Emera 3Q26 EPS Walk ($ CAD)

EMA 3Q26 EPS Walk	Note	$/sh
3Q25 EPS		$0.88
Non-recurring		$0.00
Weather		$0.02
Adjusted Starting Point		**$0.90**
Florida Electric	Regulatory lag, weather headwind, fuel write-off more than offsetting benefits of revised Bayside depreciation rates and new rates	($0.02)
New Mexico Gas	Asset sold August 12th and also saw higher depreciation	($0.02)
Canadian Electric	Rate base growth offset by higher O&M	$0.00
Gas Infrastructure	Peoples Gas new rates plus off system sales, partially offset by higher interest expense	$0.03
Other Electric	Grand Bahama sold	($0.02)
Parent	New debt issuance and LTIP impact offset by some benefit at Emera Energy	($0.01)
FX	FX tailwinds: $1.38 to $1.40	$0.04
Dilution		($0.03)
EMA 3Q26 EPS		**$0.88**
3Q26 Consensus		**$0.97**
FY26 EPS (Barclays)		**$3.65**
FY26 EPS (Consensus)		**$3.71**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 47. EMA Fundamental Dashboard (1/2), $ CAD

Emera Dashboard	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$2.96**	**$2.94**	**$3.49**	**$3.65**	**$3.66**	**$3.95**	**$4.26**	**$4.54**
Prior EPS	**$2.96**	**$2.94**	**$3.49**	**$3.72**	**$3.66**	**$3.95**	**$4.26**	**$4.54**
Consensus EPS	**$3.06**	**$2.88**	**$3.52**	**$3.71**	**$3.65**	**$3.95**	**$4.34**	**$4.64**
Delta (%)	*-3.03%*	*1.97%*	*-0.64%*	*-1.57%*	*0.38%*	*0.02%*	*-1.73%*	*-2.05%*
Shares Outstanding	274	289	300	309	317	323	329	335
DPS	$2.79	$2.88	$2.92	$2.95	$3.00	$3.04	$3.09	$3.13
DPS Growth (%)	4.1%	3.2%	1.5%	1.1%	1.5%	1.5%	1.5%	1.5%
DPS Payout (%)	94%	98%	84%	81%	82%	77%	72%	69%
Valuation Metrics								
P/E	22.6x	22.8x	19.2x	18.4x	18.3x	17.0x	15.7x	14.8x
EV/RAB	1.3x	1.5x	1.4x	1.4x	1.3x	1.3x	1.2x	1.1x
EBITDA	2,843	2,242	3,269	3,567	3,801	4,136	4,481	4,824
FFO	2,336	2,194	2,559	2,552	2,710	2,967	3,235	3,499
Net Debt	15,510	19,594	21,096	21,768	22,331	23,136	23,448	23,738
FFO/Debt	15.1%	11.2%	12.1%	11.7%	12.1%	12.8%	13.8%	14.7%
Net Debt/EBITDA	5.5x	8.7x	6.5x	6.1x	5.9x	5.6x	5.2x	4.9x
Holdco Debt/Total Debt (%)	40.1%	40.5%	41.7%	38.1%	35.8%	33.8%	32.0%	30.3%
Consolidated Equity Layer (%)	37.9%	40.2%	38.4%	39.5%	40.5%	41.4%	42.6%	43.7%
EPS Estimates by Sub								
Florida Electric	$2.29	$2.22	$2.82	$2.79	$2.85	$3.02	$3.21	$3.39
Canadian Electric	$0.90	$0.80	$0.61	$0.67	$0.69	$0.71	$0.74	$0.75
Gas Infrastructure	$0.78	$0.90	$0.92	$1.02	$1.09	$1.17	$1.24	$1.31
Other Electric Utilities	$0.14	$0.17	$0.14	$0.14	$0.15	$0.15	$0.15	$0.14
Parent	**($1.15)**	**($1.15)**	**($1.00)**	**($0.97)**	**($1.12)**	**($1.10)**	**($1.08)**	**($1.06)**
Guidance								
Consolidated	**$2.95**	**$2.94**	**$3.48**	**$3.65**	**$3.66**	**$3.95**	**$4.26**	**$4.54**
Guidance Range:								
High								
Midpoint								
Low								
EPS CAGR off 2023 midpoint (%)								

Source: Barclays Research, Company Reports, Bloomberg

FIGURE 48. EMA Fundamental Dashboard (2/2), $ CAD

Rate Base Metrics	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Florida Electric	13,682	15,389	17,036	17,858	19,296	20,784	22,417	24,062
Canadian Electric	7,450	6,725	6,675	7,341	7,761	8,172	8,585	8,949
Gas Infrastructure	3,200	3,456	3,822	4,338	4,746	5,180	5,606	5,997
Other Electric Utilities	959	972	1,064	1,076	1,146	1,186	1,196	1,204
Total Rate Base	**25,290**	**26,542**	**28,597**	**30,612**	**32,949**	**35,321**	**37,804**	**40,212**
Guidance:								
Earned ROE Metric (Avg RAB)	**2023A**	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Florida Electric	8.49%	7.71%	9.19%	8.95%	8.67%	8.70%	8.73%	8.75%
Canadian Electric	8.29%	8.62%	6.82%	7.05%	7.05%	7.05%	7.05%	7.05%
Gas Infrastructure	12.23%	13.70%	13.20%	13.30%	13.34%	13.30%	13.34%	13.34%
Other Electric Utilities	8.58%	10.97%	8.98%	8.98%	8.98%	8.98%	8.98%	8.98%
Capital Structure - Regulatory								
Florida Electric	54.0%	54.0%	54.0%	54.0%	54.0%	54.0%	54.0%	54.0%
Canadian Electric	40.0%	40.0%	40.0%	40.0%	40.0%	40.0%	40.0%	40.0%
Gas Infrastructure	54.7%	54.7%	54.7%	54.7%	54.7%	54.7%	54.7%	54.7%
Other Electric Utilities	45.0%	45.0%	45.0%	45.0%	45.0%	45.0%	45.0%	45.0%
Capital Structure - GAAP/LT Debt vs. Equity								
Florida Electric	73.2%	76.5%	74.6%	68.8%	64.8%	61.3%	58.0%	55.0%
Canadian Electric	55.0%	55.8%	57.0%	56.8%	56.6%	56.4%	56.3%	56.1%
Gas Infrastructure	82.8%	82.8%	82.8%	82.8%	82.8%	82.8%	82.8%	82.8%
Other Electric Utilities	67.8%	71.2%	70.4%	70.2%	70.2%	70.2%	70.3%	70.6%
Cash Flow Metric								
CFO	2,241	2,646	1,802	2,552	2,710	2,967	3,235	3,499
Guidance	**N/a**							
Capital Expenditure	2,937	3,151	3,532	4,020	3,730	4,140	4,180	4,330
Guidance	**N/a**							
Financing								
ST Debt Issuance, Net	(604)	56	520	0	0	0	0	0
LT Debt Issuance, Net	1,781	275	1,815	2,000	1,500	1,500	1,500	1,500
Guidance/Projected								
Equity Issuance	424	284	47	600	400	400	400	400
Guidance								

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 49. EMA Valuation ($ CAD)

EMA SOTP Valuation				Low	Base	High
Electric Group Multiple				13.2x	**15.5x**	17.1x
Gas Group Multiple				13.0x	**15.3x**	16.8x
			Base Case			
Business Segments	**EPS ('28E)**	**Prem/Disc.**	**Implied Multiple**			
Florida Electric	$3.02	**10%**	17.0x	$44	$51	$56
Canadian Electric	$0.71	**0%**	15.5x	$9	$11	$12
Gas Infrastructure	$1.17	**10%**	17.0x	$17	$20	$22
Other Electric	$0.15	**-5%**	14.4x	$2	$2	$2
Parent	($1.10)	**0%**	15.4x	($14)	($17)	($19)
Consolidated EPS ('28E)	**$3.95**			**$57**	**$67**	**$74**
			Implied 2028 P/E Multiple ==>	14.5x	17.1x	18.8x
Valuation				**$57**	**$67**	**$74**
Market Price					**$67**	
Upside / Downside				-15.0%	-0.1%	10.4%
Yield ('26)					4.4%	
Potential Total Return				**-10.6%**	**4.3%**	**14.8%**

Source: Barclays Research, Company Reports, Bloomberg

Entergy Corporation (ETR): 3Q26 Preview

What We Are Expecting On The 3Q Call: We expect ETR to reaffirm FY26 EPS guidance of $4.25-$4.45/sh, LT EPS CAGR through 2030 of greater than 8%, total retail CAGR of ~9%, industrial CAGR of ~16%, capex plan and a potential data center opportunity set of ~7-12GW. We are expecting updates on capex, and we do not expect ETR to roll forward the plan. On the call, we anticipate ETR will discuss the data center backlog, generation needs, and regulatory updates. With ETR shares trading at a 13.7% premium to our 2028 electric group multiple, we maintain our OW rating, and our PT is $115/sh.

3Q Quarterly Results: We estimate ETR quarterly results will be $1.62/sh, missing consensus estimates of $1.67/sh.

Focus Items & catalyst Calendar:

- **ETR-NO City Council FRP:** On 10/1, the New Orleans City Council approved the four-year extension of the electric FRP. The filing included an allowed ROE of 8.85%-9.85%, with a midpoint of 9.35% and an equity ratio of 55%. These are the same terms as the previous FRP and extend rates through 2030. We expect the NO FRP to be a key discussion point on the 3Q26 call.

- **Cotton Wood Plant:** We expect the company to provide an update on the Cotton Wood Natural Gas Plant acquisition. As you may recall, the procedural schedule was halted by ETR in August so the company could provide more detail to staff and intervenors. On August 26th, ETR LA filed an unopposed motion to adopt a procedural schedule that was agreed upon by staff and LEUG. The key date in the filing that we will be focused on is the February 23-25th hearing.

- **ETR-Hyperion Settlement:** ETR reached a settlement with intervenors on the Hyperion Phase 2 filing. The parties settled on the key fact that the generation needs of seven turbines and three separate battery storage units are deemed to be in the public interest and should be treated as system resources for all ETR-LA customers. The approval of the generation does not constitute approval of the ESA. Additionally, the proposed transmission projects (El Dorado 500kV and West Fork Creek substation and nine new auxiliary 230kV facilities) are deemed to be in the best interest of the public and therefore prudent. We expect ETR to provide a detailed update on the filing, and we will be looking for additional updates.

Valuation, EPS & Risks: We are reducing our PT to $115 (from $128) and maintaining our Overweight rating. We are applying an electric group multiple of15.3x (from 17.0x). We are maintaining a 35% premium for E-LA, 15% premium for E-AR, 15% premium for E-MS, 15% premium for E-NO, 15% premium for E-TX, 10% premium for SERI, and 15% premium for the parent. Our EPS estimates for +2c for FY26E, +3c for FY27E, +4c for FY28E, +4c for FY29E, and +4c for FY30E.

3Q26 Walk

The positive quarterly drives of the quarter are +7c from weather, +11c of volume sales, +3c from ETR-TX, +3c ETR-MS, +1c ETR-NO, +5c from ETR-LA, +4c of income tax benefit and +8c from ETR-AR. The negative impacts of the quarter are -8c of utility O&M -9c of D&A, -4c of Other/ P&O, and -6c of dilution.

FIGURE 50. ETR 3Q26 Walk

ETR 3Q26 EPS Walk	Notes	$/sh
3Q25 EPS		$1.53
LDC Sale	Rev before sale	$0.00
ETR TX	Summer PRA	$0.00
Weather Prior Qtr	3Q25	($0.06)
Adjusted Starting Point		**$1.47**
Weather Curr Qtr		$0.07
Volumes		$0.11
E-TX DCRF		$0.03
E-MS		$0.03
E-NO FRP		$0.01
E-LA		$0.05
E-AR FRP		$0.08
Utility Other O&M	(.05) to (-.1)	($0.08)
D&A &Op Expenses		($0.09)
Other Income and Interest Expense		$0.04
Income Taxes		$0.00
Taxes (excl. income taxes)		$0.00
Parent		$0.00
Other / P&O		($0.04)
Dilution		($0.06)
3Q26 Barclays EPS		**$1.62**
3Q26 Consensus EPS		**$1.68**
FY26 EPS (Barclays)		**$4.47**
FY26 EPS (Consensus)		**$4.41**
SO 2026		**470**
SO 2025		**450**

Source: Barclays Research, Company Reports and Bloomberg

Fundamental Dashboard

FIGURE 51. ETR Fundamental Dashboard

ETR Dashboard Nicholas Campanella +1 (212) 526-6123	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$3.65**	**$3.91**	**$4.47**	**$5.22**	**$5.94**	**$6.72**	**$7.26**
Prior EPS	**$3.65**	**$3.91**	**$4.45**	**$5.19**	**$5.90**	**$6.68**	**$7.22**
Consensus EPS	**$3.63**	**$3.94**	**$4.41**	**$5.11**	**$5.78**	**$6.45**	**$7.15**
Delta (%)	0.55%	-0.84%	1.38%	2.10%	2.73%	4.23%	1.58%
Shares Outstanding	432	450	470	491	508	516	521
DPS	$2.27	$2.39	$2.60	$2.79	$2.98	$3.19	$3.41
DPS Growth (%)	5.2%	4.9%	9.2%	7.0%	7.0%	7.0%	7.0%
DPS Payout (%) - 60-65% Target	62%	61%	58%	53%	50%	47%	47%
Valuation Metrics							
P/E	29.4x	27.5x	24.1x	20.6x	18.1x	16.0x	14.8x
EV/RAB	1.8x	1.8x	1.6x	1.5x	1.4x	1.3x	1.3x
EBITDA	4,659	5,686	6,678	8,119	9,555	10,691	11,546
FFO	4,120	5,033	4,933	6,472	7,350	8,130	8,704
Net Debt	27,459	28,406	35,762	45,353	53,566	57,383	58,756
FFO/Debt	15.0%	17.7%	13.8%	14.3%	13.7%	14.2%	14.8%
Net Debt/EBITDA	5.9x	5.0x	5.4x	5.6x	5.6x	5.4x	5.1x
Holdco Debt/Total Debt (%)	21.9%	21.0%	18.0%	19.2%	19.3%	19.3%	21.0%
Consolidated Equity Layer (%)	34.8%	35.8%	35.3%	34.2%	32.2%	32.9%	33.4%
2026 Investor Day: Target FFO/Debt: ~13% by YE28 then greater (Moodys); 15% then greater by 2029							
Target FFO/Debt: 14% or greater by YE23; Improving Credit to 15% by 2027							
EPS Estimates by Sub							
Arkansas	$0.75	$0.98	$1.23	$1.33	$1.42	$1.48	$1.50
Louisiana	$2.06	$2.47	$2.57	$3.08	$3.70	$4.35	$4.93
Mississippi	$0.59	$0.69	$0.71	$0.88	$0.88	$0.90	$0.94
New Orleans	$0.04	$0.11	$0.14	$0.14	$0.14	$0.15	$0.16
Texas	$0.68	$0.74	$0.86	$0.97	$1.11	$1.27	$1.30
System Energy	$0.24	$0.20	$0.19	$0.18	$0.17	$0.17	$0.17
Parent	($0.70)	($1.28)	($1.22)	($1.35)	($1.50)	($1.59)	($1.74)
Consolidated	**$3.65**	**$3.91**	**$4.47**	**$5.22**	**$5.94**	**$6.72**	**$7.25**
Barclays EPS CAGR (%)	**6.8%**	**6.8%**	**8.7%**	**10.2%**	**13.1%**	**16.0%**	**17.8%**
Guidance Midpoint			**$4.35**	**$5.05**	**$5.70**	**$6.40**	**$7.21**
2026 Investor Day Guidance: 8%+ after 2030							
Guidance Range: 8%+ through '28	**3.58-3.68**	**3.85-3.95**	**4.25 - 4.45**	**4.90-5.20**	**5.55-5.85**	**6.25-6.55**	**7.07-7.35**
8% Growth Rate	**3.65**	**3.94**	**4.26**	**4.60**	**4.97**	**5.36**	**5.79**

Source: Barclays Research, Company Reports and Bloomberg

Valuation

FIGURE 52. ETR Valuation

ETR SOTP Valuation				Low	Base	High
Electric Group Multiple				13.0x	15.3x	16.8x
Business Segments	**EPS ('28E)**	**Prem/Disc.**	**Base Case Implied Multiple**			
Arkansas	$1.42	15%	17.6x	$21	$25	$27
Louisiana	$3.70	35%	20.6x	$65	$76	$84
Mississippi	$0.88	15%	17.6x	$13	$15	$17
New Orleans	$0.14	15%	17.6x	$2	$2	$3
Texas	$1.11	15%	17.6x	$17	$20	$22
System Energy	$0.17	10%	16.8x	$2	$3	$3
Parent	($1.50)	15%	17.6x	($22)	($26)	($29)
Consolidated EPS ('28E)	**$5.94**		**Total Equity Value**	**$98**	**$115**	**$127**
Shares Outstanding				508	508	508
Implied Multiple				16.5x	19.4x	21.4x
Valuation				**$98**	**$115**	**$127**
Market Price					$107.6	
Upside / Downside				-8.9%	6.9%	18.0%
Yield ('26)					2.4%	
Potential Total Return				**-6.5%**	**9.3%**	**20.5%**

Source: Barclays Research, Company Reports and Bloomberg

Evergy Inc. (EVRG): 3Q26 Preview

What we expect on the 3Q26 call: We expect EVRG to reaffirm guidance of $4.14-$4.34/sh, LT EPS CAGR of 6-8%+, and 8%+ in 2028 through 2030, LT capital plan of $21.6bn through 2030, and LT rate base CAGR of 11.5% through the plan. Quarterly Results: We see results of $2.36/sh beating consensus estimates of $2.19/sh. The quarterly beat was primarily driven by hot weather in July, August, and a record hot September. It's possible EVRG could point to the high end or narrow the range in FY26, which we think is important given some concerns still on year-to-year execution. The strong weather quarter should also allow mgmt to be better positioned in 2027 as they pull forward some spending. On the call, we expect management to discuss the large load data center pipeline, MO Metro settlement, MO West rate case, and election.

Focus Items & Catalyst Calendar:

- **EVRG: Data Center ESA:** We expect EVRG to discuss the robust data center backlog. The tier-one opportunities represent expansion opportunities on existing ESA projects. These opportunities represent 2-2.5 GW, and we see this as low-hanging fruit, which requires amendments to load ramps or new ESAs. EVRG projects the upside will be before and after 2030, which gives EVRG the opportunity to lengthen its LT EPS CAGR of 6-8%+ into the next decade and potentially further expand the LT EPS CAGR. EVRG expects to announce data center deals over several quarters, and the company expects to announce up to a few data center deals per quarter that would be 200-300 MW in size. Additionally, EVRG is also working with Digital Realty, which is 1.4 GW and will take time to materialize into an ESA.

- **Settlement MO Metro:** On 10/2, EVRG MO Metro reached a partial settlement. The partial settlement includes Staff's recommended ROE of 9.73% compared to the 10.5% requested ROE and an equity ratio of 52%, which is the same equity ratio as the previous rate case. The settled revenue requirement included a $46 million increase to Staff's recommendation of $71.7 million, yielding a total consideration of $117 million. The partial settlement is currently pending a Commission order. We view the partial settlement with Staff as a positive data point for EVRG.

- **MO West Rate Case:** EVRG filed a 60-day notice with the Commission ahead of the rate filing in November. Additionally, EVRG has filed several CCNs for generation and expects clarity on those over the next 12 months.

- **Election:** In Kansas, the leading gubernatorial candidate is Republican Ty Masterson. Based on RealClear polling as of 10/4, Masterson is up by 5.7% , but we note that anything can happen on election day. Masterson's position is pro-data center, and he sees the economic benefits for Kansas. On the other hand, Democratic candidate Cindy Holscher is more combative toward data centers in the state.

Valuation, EPS, & Risks: We decrease our PT to $86 from $92 due to the electric group multiple decreasing to 15.9x (from 17.0x) and maintain our Overweight rating. We increased our multiple premium from 8% to 10% based on increasing large load opportunities in MO. We change our estimates for FY26E -6c, FY27E -5c, FY28E -13c, FY29 -14c, and FY30E -15c as a result of share price volatility. **Risks:** Ability to contract and convert large load backlog, construction EPC risk, and worse-than-expected regulatory outcomes.

3Q26 Walk

The positive drivers of the quarter are primarily driven by +26c from weather, +11c of new rates, +8c volume sales, +2c from transmission, and +2c from COLI. The negative impacts in the quarter are -2c from O&M, -5c of D&A, -4c of other expenses, and -3c from dilution.

FIGURE 53. **EVRG 3Q26 Walk**

EVRG 3Q26 EPS Walk		
3Q25 EPS		$2.03
Venture Investment Clean Tech		($0.05)
Weather		$0.04
Adjusted Starting Point		**$2.02**
Weather		$0.26
Recovered investment	final three months	$0.11
Volumes / Demand		$0.08
Transmission Margin Growth		$0.02
Tranmission investment		$0.00
Recovery of Reg Investments		$0.00
COLI		$0.02
O&M		($0.02)
D&A		($0.05)
Other Expenses		($0.04)
Dilution		($0.04)
EVRG 3Q26 EPS		**$2.36**
3Q26 Consensus		**$2.22**
FY26 EPS (Barclays)		**$4.22**
FY26 EPS (Consensus)		**$4.27**
SO 2026		**239**
SO 2025		**234**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 54. EVRG Fundamental Dashboard

EVRG Dashboard	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$3.81**	**$3.83**	**$4.22**	**$4.52**	**$4.91**	**$5.34**	**$5.79**
Prior EPS	**$3.81**	**$3.83**	**$4.28**	**$4.57**	**$5.04**	**$5.48**	**$5.94**
Consensus EPS	**$3.83**	**$3.96**	**$4.27**	**$4.55**	**$4.95**	**$5.46**	**$5.88**
Delta (%)	*-0.5%*	*-3.3%*	*-1.0%*	*-0.8%*	*-0.9%*	*-2.2%*	*-1.6%*
Shares Outstanding	231	234	239	249	264	276	282
DPS	$2.59	$2.62	$2.81	$2.96	$3.10	$3.26	$3.42
DPS Growth (%)	4.7%	1.4%	7.2%	5.0%	5.0%	5.0%	5.0%
DPS Payout (%)	68%	69%	67%	65%	63%	61%	59%
Valuation Metrics							
P/E	21.9x	21.8x	19.7x	18.4x	17.0x	15.6x	14.4x
EV/RAB	1.7x	1.7x	1.5x	1.5x	1.4x	1.3x	1.3x
EBITDA	2,582	2,696	3,013	3,356	3,751	4,156	4,527
FFO	2,046	2,049	2,245	2,474	2,759	3,063	3,329
Net Debt	13,647	14,780	16,034	18,016	19,475	21,518	23,139
FFO/Debt	15.0%	13.9%	14.0%	13.7%	14.2%	14.2%	14.4%
Net Debt/EBITDA	5.3x	5.5x	5.3x	5.4x	5.2x	5.2x	5.1x
Holdco Debt/Total Debt (%)	22.0%	22.0%	21.9%	20.9%	20.7%	19.8%	19.4%
Consolidated Equity Layer (%)	42.2%	41.0%	41.3%	40.6%	40.7%	41.1%	40.3%
Moody's DG Threshold of 14%							
EPS Estimates by Sub							
KS Central	$2.40	$2.36	$2.53	$2.61	$2.79	$2.90	$3.03
EVRG Metro	$1.41	$1.37	$1.66	$1.66	$1.71	$1.82	$1.98
MO West	$0.38	$0.58	$0.76	$0.98	$1.18	$1.38	$1.56
Parent	($0.38)	($0.48)	($0.72)	($0.74)	($0.76)	($0.76)	($0.79)
Consolidated EPS	**$3.81**	**$3.83**	**$4.22**	**$4.52**	**$4.91**	**$5.34**	**$5.79**
Barclays EPS CAGR (%)	**1.3%**	**1.1%**	**3.3%**	**4.0%**	**5.8%**	**7.6%**	**9.3%**
Guidance	**3.73-3.93**	**3.92-4.12**	**4.14-4.34**				**5.87**
LT Guidance Range: 6-8%+ off 2026 Mdpt							
High				**$4.58**	**$4.95**	**$5.34**	**$5.77**
Midpoint			**$4.24**	**$4.54**	**$4.85**	**$5.20**	**$5.56**
Low				**$4.49**	**$4.76**	**$5.05**	**$5.35**

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 55. EVRG Valuation

EVRG P/E Valuation	Low	Base	High
Electric Group Multiple		15.9x	
Premium / Discount	0%	10%	18%
Adjusted P/E Multiple	15.9x	17.5x	18.7x
Consolidated EPS '28E	**$4.91**	**$4.91**	**$5.00**
	17.3x	**19.0x**	**20.8x**
Valuation	**$78**	**$86**	**$94**
Market Price		$83.3	
Upside / Downside	-6.4%	3.2%	12.8%
Yield ('26)		3.4%	
Potential Total Return	**-3%**	**7%**	**16%**

Source: Barclays Research, Company Reports, Bloomberg

Exelon Corporation (EXC) 3Q26 Preview

We expect EXC to reaffirm 2026 EPS guidance of $2.81-$2.91/sh, LT EPS CAGR of 5-7%, capex plan through 2029 of $41.7bn, rate base CAGR of 7.9% through the plan, finance plan through 2029 to support the capex plan, and FFO to Debt of 14% through the plan. We expect the call to be fairly quiet and we anticipate EXC will discuss storage opportunities in NJ, DE, and MD, PECO rate filing, regulatory PA and political Environment. On the quarter we estimate EXC results will be $0.80/sh, missing consensus estimates of $0.81/sh.

Focus Items And Catalyst Calendar:

- **Storage Utility Ownership:** EXC only has the opportunity to own storage in NJ, DE, and MD. EXC has an active proposal for a 500 MW battery project that would add $1 billion to capex and is not included in the plan. The proposal is currently filed with the BPU, and EXC has requested a 9.6% ROE for the project. Maryland and Delaware started a procurement process, but all of the proposals fell short of the request. EXC expects to lean more on MD, DE, and NJ to add battery storage for resiliency. We see the battery storage opportunity for EXC as a means to add capex and grow rate base.

- **PECO When Filed:** EXC has not decided when it will definitively file a rate case. The company is working with key stakeholders in the state to optimize its rate case strategy. We see this process as a means for PECO to reduce political pushback from state officials and achieve a constructive rate process. Even though the initial rate filing by PECO was withdrawn, EXC decided to reallocate capex dollars and put a pause on certain projects. Governor Shapiro was still open to certain needed projects for the state because economic development is critical to his political agenda.

- **PA Political Environment:** The PA political environment has been a significant topic of discussion in terms of rate case strategy, capital structure, and ROEs. The working group on ROE will provide utilities with more clarity on ROE and capital structure in rate cases. The working group is currently taking feedback from key stakeholders in the state as well as the investment community.

- **Regulatory Update:** In MD, EXC has received the final report on lessons learned, and further information will come from the report as the Maryland Commission is working on the Forward Test Year study. We expect more data points from that study. EXC also has an active rate case for BGE, and evidentiary hearings will begin on November 6 and conclude on November 13. In Illinois, the multi-year grid plan is progressing constructively, and the next step in the process is the ALJ recommendation. A final order is expected in December. Additionally, in Illinois, the reconciliation proceeding includes a $233 million adjustment, including the 2025 performance adjustment, and a final order is expected by December 20, 2026.

Valuation, EPS & Risks: We are decreasing our PT to $44 from $49 and maintaining an Equal Weight rating. We apply a large cap utility group multiple based on a proportional weight of EXC segmented rate base. Our equity multiple is based on a large cap electric utility multiple of 15.3x, gas multiple of 14.7x and transmission multiple of 16.3x (17.0x, 16.2x, 18.0x prior) and we added a 1x premium for the transmission multiple. EXC proportional rate base is (62.6%, 23.2%,14.2%) which is weighted towards electric/transmission/gas respectively. We are maintaining a discount to ComEd of -10%, PECO -15%, PEPCO -10%, BGE -15%, and the remaining co at -7.5%. Our EPS estimates change for FY26E -2c, FY27E -2c, FY28E-3c, FY29E-3c, FY30E -5c. **Risks** Better/worse than expected regulatory outcomes, inflationary pressure, and macro-economic impacts.

3Q26 EPS Walk

The positive drivers in the quarter are +2c from weather, +5c ComEd rate recovery, +1c from ACE, +1c from BGE, and +2c DPL electric/gas. The negative drivers of the quarter are -2c from storm related costs, -4c from interest expense, -5c of O&M, -4c from D&A, and -1c from dilution.

FIGURE 56. EXC EPS Walk

EXC 3Q26 EPS Walk	Note	$/sh
3Q25 EPS		$0.86
Weather		$0.00
Adjusted Starting Point		**$0.86**
Weather		$0.02
ComEd Rate Recovery		$0.05
ACE	$54mn	$0.01
BGE Rate Recovery		$0.01
PEPCO DC	50.9mn md in the middle of the quarter	$0.00
DPL Electric	Interim rates 45.4mn July 9	$0.01
DPL Gas		$0.01
Storm related	a lot more 37 more storms than the five year average	($0.02)
Transmission		$0.00
Interest Expense		($0.04)
O&M		($0.05)
Other		$0.00
D&A		($0.04)
Timing of Taxes		$0.00
Parent		$0.00
Dilution		($0.01)
EXC 3Q26 EPS		**$0.80**
3Q26 Consensus		**$0.81**
FY26 EPS (Barclays)		**$2.83**
FY26 EPS (Consensus)		**$2.86**
FY26 EPS (Guidance)		**$2.86**
SO 2026		**1,025**
SO 2025		**1,014**

Source: Barclays Research, Company reports, Bloomberg

Fundamental Dashboard

FIGURE 57. EXC Fundamental Dashboard

EXC Dashboard	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$2.45**	**$2.77**	**$2.83**	**$2.98**	**$3.22**	**$3.42**	**$3.58**
Prior EPS	**$2.45**	**$2.77**	**$2.85**	**$3.00**	**$3.25**	**$3.45**	**$3.63**
Consensus EPS	**$2.45**	**$2.70**	**$2.86**	**$3.05**	**$3.26**	**$3.44**	**$3.66**
Delta (%)	*0.0%*	*2.3%*	*-0.9%*	*-2.3%*	*-1.0%*	*-0.6%*	
Shares Outstanding	1,004	1,014	1,025	1,043	1,056	1,073	1,093
DPS	$1.52	$1.59	$1.68	$1.76	$1.85	$1.94	$2.04
DPS Growth (%)	5.4%	5.1%	5.3%	5.0%	5.0%	5.0%	5.0%
DPS Payout (%)	62%	58%	59%	59%	57%	57%	57%
Guidance: ~60%; growing at 5-7%							
Valuation Metrics							
P/E	17.0x	15.1x	14.7x	14.0x	13.0x	12.2x	11.7x
EV/RAB	1.5x	1.4x	1.4x	1.3x	1.3x	1.2x	1.2x
EBITDA	7,913	8,788	9,381	10,022	10,783	11,506	12,210
FFO	6,764	7,596	6,782	7,248	7,827	8,369	8,893
Net Debt	45,751	48,929	52,418	56,575	60,868	64,459	67,671
FFO/Debt - Unadjusted	14.8%	15.5%	12.9%	12.8%	12.9%	13.0%	13.1%
FFO/Debt - Adjusted for Moody's	**11.1%**	**14.0%**	**13.8%**	**13.7%**	**13.9%**	**13.9%**	**14.0%**
Net Debt/EBITDA	5.8x	5.6x	5.6x	5.6x	5.6x	5.6x	5.5x
Holdco Debt/Total Debt (%)	30.1%	30.7%	29.7%	28.9%	28.2%	27.5%	26.9%
Consolidated Equity Layer (%)	36.6%	36.5%	36.1%	35.9%	35.9%	36.2%	36.5%
Target FFO/Debt: ~14% through plan							
EPS Estimates by Sub							
ACE	$0.15	$0.19	$0.19	$0.20	$0.20	$0.21	$0.22
PEPCO	$0.39	$0.40	$0.43	$0.45	$0.47	$0.48	$0.49
COMED	$1.06	$1.16	$1.23	$1.31	$1.40	$1.48	$1.55
DPL	$0.21	$0.22	$0.23	$0.24	$0.26	$0.27	$0.29
PECO	$0.52	$0.80	$0.77	$0.80	$0.90	$0.97	$1.03
BGE	$0.52	$0.57	$0.61	$0.64	$0.68	$0.71	$0.73
Parent	($0.41)	($0.57)	($0.63)	($0.66)	($0.69)	($0.70)	($0.72)
Consolidated EPS	**$2.45**	**$2.77**	**$2.83**	**$2.98**	**$3.22**	**$3.42**	**$3.58**
Barclays EPS CAGR (%)	**4.0%**	**6.9%**	**6.4%**	**5.6%**	**-8.7%**	**6.9%**	**5.3%**
Latest Guidance	**2.40-2.50**	**2.64-2.74**	**2.81-2.91**				
Y/Y Guidance		**$2.69**	**$2.86**	**$3.05**	**$3.24**	**$3.45**	**$3.68**
5-7% off 2025 Adj EPS 2.64-2.74							
High			**$2.88**	**$3.08**	**$3.30**	**$3.53**	**$3.77**
Midpoint		**$2.69**	**$2.85**	**$3.02**	**$3.20**	**$3.40**	**$3.60**
Low			**$2.82**	**$2.97**	**$3.11**	**$3.27**	**$3.43**

Source: Barclays Research, Company reports, Bloomberg

Valuation

FIGURE 58. EXC Valuation

EXC SOTP Valuation					Low	Base	High
Electric Group Multiple					13.7x	15.3x	16.8x
Transmission Multiple (1x Premium)					13.8x	16.3x	17.9x
Gas Group Multiple					13.2x	14.7x	16.2x
	Proportion ('28)						
EXC Electric Distribution Rate Base	50,200	62.6%			8.6x	9.6x	10.5x
EXC Transmission Rate Base	18,600	23.2%			3.2x	3.8x	4.1x
EXC Gas Rate Base	11,400	14.2%			1.9x	2.1x	2.3x
	80,200	100.0%			13.7x	15.4x	17.0x
				Base Case			
EXC UP&O Net Income	Net Income ('28E)		Prem/Disc.	Implied Multiple			
RemainCo Net Income	1,054		-7.5%	14.3x	13,348	15,036	16,539
ComEd Distribution Net Income	1,005		-10%	13.9x	12,433	13,814	15,196
PECO	608		-15%	13.1x	7,100	7,888	8,677
PEPCO	362		-10%	13.9x	4,482	4,980	5,478
BGE	373		-15%	13.1x	4,359	4,843	5,328
Equity Value ($Mn)							
Implied P/E Multiple					12.3x	13.7x	15.0x
Shares Outstanding ('28E)					1,056	1,056	1,056
Valuation					$40	$44	$49
Market Price						$41.8	
Upside / Downside					-4.2%	5.4%	17.3%
Yield ('26)						3.8%	
Potential Total Return					-0.4%	9.2%	21.2%

H20 America (HTO): 3Q26 Preview

What We Expect On The Quarter From HTO: We expect HTO to reaffirm FY26 guidance of $3.08-$3.18, LT EPS CAGR of 6-8%, capex plan of $2.7bn over 5yrs, LT rate base CAGR of 13%, and financing plan. Quarterly Results: We see results of $1.06/sh missing quarterly consensus estimates of $1.19/sh. On the call, we expect management to discuss the Quadvest acquisition approval as well as Cibolo Valley approval, regulatory update in CT/ME and the pending Texas rate filing in the early part of 2027. We discuss the key investment considerations for HTO in the NDR that was published.

Valuation, EPS & Risks: We decrease our PT to $65 from $66 due to the water group multiple decreasing to 15.6x (from $15.7x). We maintain our Overweight rating and premium to 2029 base multiple group of 5%. Our estimates change for FY29E -1c, FY30E-4c, and FY31E -3c.
Risks: Better/worse-than-expected regulatory outcomes, better/worse-than-expected execution of Quadvest, inflationary pressures.

3Q26 EPS Walk

The positive drivers in the quarter are +3c of CT WICA, and +12c of CA GRC and AMI. The negative drivers of the quarter are -5c of O&M, -6c from D&A, -2c from the parent, and -23c of dilution.

FIGURE 59. **HTO 3Q26 EPS Walk**

HTO 3Q26 EPS Walk		$/sh
3Q25 EPS		$1.27
Weather		$0.00
Adjusted Starting Point		**$1.27**
Weather		$0.00
Quadvest Rate Base		$0.00
Quadvest D&A Lag		$0.00
ME Rates		$0.00
TX Rates		$0.00
CT Rates		$0.03
CA Rates	17mn and 6.8mn	$0.12
O&M		($0.05)
D&A		($0.06)
Parent		($0.02)
Other		$0.00
Dilution		($0.23)
HTO 3Q26 EPS		**$1.06**
3Q26 Consensus		**$1.19**
SO 2026		**43**
SO 2025		**35**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 60. HTO Fundamental Dashboard

HTO Dashboard	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Consolidated EPS (Non-GAAP)	**$2.69**	**$2.87**	**$2.99**	**$2.79**	**$2.82**	**$3.53**	**$3.97**	**$4.17**	**$4.42**
Prior EPS	2.69	2.87	2.99	2.79	2.82	3.53	3.98	4.21	4.45
Consensus EPS	**$2.68**	**$2.75**	**$2.96**	**$2.80**	**$2.76**	**$3.55**	**$3.92**	**$4.25**	**$4.45**
Delta (%)	0.52%	4.54%	1.03%	-0.10%	2.38%	-0.35%	1.29%	-1.84%	-0.75%
Shares Outstanding	32	33	35	43	49	51	52	54	55
DPS	$1.52	$1.61	$1.68	$1.76	$1.85	$1.94	$2.04	$2.14	$2.25
DPS Growth (%)	6.1%	6.1%	4.2%	5.0%	5.0%	5.0%	5.0%	5.0%	5.0%
DPS Payout (%)	56%	56%	56%	63%	66%	55%	51%	51%	51%
Valuation Metrics									
P/E	23.2x	21.8x	20.9x	22.4x	22.1x	17.7x	15.8x	15.0x	14.1x
EV/RAB	1.7x	1.6x	1.6x	1.5x	1.4x	1.4x	1.3x	1.3x	1.3x
EBITDA	255	283	293	345	388	458	513	557	601
FFO	187	223	228	252	287	344	389	424	460
Net Debt	1,566	1,699	1,870	2,191	2,357	2,624	2,760	2,975	3,192
FFO/Debt	12.0%	13.1%	12.2%	11.5%	12.2%	13.1%	14.1%	14.3%	14.4%
Net Debt/EBITDA	6.1x	6.0x	6.4x	6.4x	6.1x	5.7x	5.4x	5.3x	5.3x
Debt to Cap	55.6%	55.2%	55.1%	51.2%	51.1%	52.2%	51.6%	51.4%	51.2%
Consolidated Equity Layer (%)	44.4%	44.8%	44.9%	48.8%	48.9%	47.8%	48.4%	48.6%	48.8%
EPS Estimates by Sub									
Consolidated	$2.69	$2.87	$2.99	$2.79	$2.82	$3.53	$3.97	$4.17	$4.42
Consolidated	**$2.69**	**$2.87**	**$2.99**	**$2.79**	**$2.82**	**$3.53**	**$3.97**	**$4.17**	**$4.42**
Barclays EPS CAGR (%)	**8.6%**	**7.6%**	**6.5%**	**3.0%**	**2.6%**	**7.3%**	**9.8%**	**11.0%**	**12.2%**
Guidance	**$2.68**	**2.68-2.78**	**2.95-3.00**	**3.08-3.18**					
Guidance Range: At or above the high-end of 6-8%	**2.20 - 2.35**		$2.95						
High				**3.23**	**3.49**	**3.77**	**4.07**	**4.39**	**4.74**
Midpoint			**2.99**	**3.20**	**3.42**	**3.66**	**3.92**	**4.20**	**4.49**
Low				**3.17**	**3.36**	**3.56**	**3.77**	**4.00**	**4.24**

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 61. HTO Valuation

HTO P/E Valuation				Low	Base	High
Water Group Multiple				13.2x	**15.6x**	17.9x
Business Segments	**EPS ('29E)**	**Prem/Disc.**	**Base Case Implied Multiple**			
Consolidated EPS ('29E)	$3.97	**5%**	16.4x	$55	$65	$75
Consolidated EPS ('29E)	**$3.97**		**Total Equity Value**	**$55**	**$65**	**$75**
Valuation				**$55**	**$65**	**$75**
Market Price					**$62.5**	
Upside / Downside (%)				-12%	4%	20%
Yield ('27)					3.0%	
Potential Total Return				**-9%**	**7.0%**	**23%**

Source: Barclays Research, Company Reports, Bloomberg

NextEra Energy (NEE): 3Q26 Preview

What to expect on the 3Q26 call: We expect NextEra to reaffirm its short- and long-term EPS growth forecast and its financing plan. We primarily anticipate the company will discuss the planned merger with Dominion. As per typical, the company will provide an update on renewable origination and its development program where we expect 3-4 GW originated. We also anticipate NEE will discuss large load at FPL and NEER. Our 3Q26 EPS estimate is $1.23, roughly in line with consensus of $1.21. In terms of positive year-over-year drivers, we see FPL growth from regulatory capital employed and utilitization of the depreciation reserve surplus, new NEER investment, and better wind resource after a weak period last year. In terms of negative year-over-year drivers, we estimate increased interest expense and share dilution.

Focus Items & Catalyst Calendar:

- **Dominion merger procedural schedule:** Procedural schedules in Virginia and South Carolina are pointing towards final decisions around January 2027 and North Carolina in mid-to-late 2Q27.

- **Merger noise / opposition:** Merger scrutiny appears most pronounced in Virginia, where the transaction has drawn gubernatorial intervention, legislative pressure, advocacy litigation, protests. South Carolina's opposition is primarily more grassroots/advocacy-based with less visible political involvement, while North Carolina has been relatively quiet.

- **New proposed merger Virginia benefits package:** Under the new enhanced benefits package, the residential bill credit portion increases to ~$1.5 billion over four years (versus $575 million for two), funded by reallocating the $490 million from data centers plus an incremental $85–90 million in shareholder-funded costs. These are round numbers, but in our view equate to an extension of the $10/month rate credit for four years (from two) for residential ratepayers. Amazon already filed for support in the cost allocation, which de-risks this process with large-load customers. There is also a new $100 million economic development/workforce fund and a $100 million increase (10-year, $10 million/year) to low-income assistance through 2038. We caught up with NEE and D managements following the announcement of the package (see our note).

- **Proforma NEE-D financial forecast:** The combined company target remains 9%+ adjusted EPS CAGR through 2032 (off $3.71 2025 EPS) and 9%+ through 2035, with operating cash flow growth at or above EPS. The transaction is guided to be immediately accretive to EPS at close. Dividend policy would be unchanged, with D shareholders receiving a $360mm one-time payment. Business mix would improve to ~90–95% regulated/contracted and >80% regulated. The company would target ~11% regulatory capital employed growth on the back of ~$59B average annual capex (2027–2032).

- **Florida election:** Recent polling (link) indicates a closer than usual gubernatorial election in Florida. NEE has historically benefited from Republican governors who have appointed constructive Florida PSC commissioners. So, a Democrat win could potentially raise the risk of a less favorable regulatory environment and also create a further headwind for NEE's data center strategy in the state.

- **Japan and Korea Partnerships:** NextEra has entered into partnerships with the US government / Korea and US government / Japan, which collectively account for 16 GWs of federal infrastructure hub opportunities. Under these agreements, including the 10 GW opportunity funding by a Japanese investment group and recently announced 6.5 GW Project Star collaboration with Korea, NEE incurs zero capital or equity risk, as the projects are fully owned by and funded by the federal government and foreign partner nations. Roughly $3.3 billion has already been received for the Japanese deal and $2.4 billion for North Star.

Economically, NextEra captures a fee income stream consisting of development fees, milestone payments, and ongoing fixed and variable operational fees that deliver roughly 50% of the EPS profile it would have earned had it constructed the gas generation plants using its own balance sheet and capital. In addition, NEE benefits from the cash flow stream by not adding debt or having capex burdens on its balance sheet. Lastly, the 16 GW of federal hubs grant NEE exclusive build rights for an additional 6-11 GWs of storage capacity. These storage opportunities are not currently embedded in NextEra's baseline financial forecast, representing upside to growth.

- **FPL large load**: NextEra has 21 GW of large load interest, with 12 GW in advanced discussions, a portion of which the company could begin serving as soon as 2028. FPL's large load expectations are 8 GW by 2032. The utility is advancing negotiations with large load customers and expects to announce at least one large load transaction under FPL's tariff by year-end 2026.

- **NEER renewable origination and backlog**: Renewable origination totaled 3.6 GW in the second quarter 2026, including 2.0 GW of storage, 0.9 GW of solar, and 0.7 GW of wind. NEER's total renewable backlog now stands at 35.1 GW and its development expectations are 76.6-107.6 GW for 2026-2032.

- **Tariff mitigations:** NEE secured its panel inventory through 2029 by shifting equipment procurement to require on-site warehouse delivery prior to spending capital, passing tariff risks through MFPs, and inserting trade-adjustment clauses into PPAs.

- **Point Beach:** NEE has clarified that while the new PPA is lower than the tail-end $122/MWh figure cited by WEC, the inflation-weighted structure generates higher average earnings aligned with the WPI contract**.**

- **Duane Arnold**: Duane Arnold is still on track to come online no later than 1Q29. NEER closed on the acquisition of the final 30% of minority interest of Duane Arnold. NextEra also recently secured a $1.9 billion DOE loan commitment to support and help finance the restart of the Duane Arnold nuclear plant. NEE framed this development as part of their strategy to expand nuclear to meet growing large load demand through structured, risk-mitigated federal (and commercial) partnerships.

- **Brookfield / DOE partnership**: NextEra highlighted its 4.5 GW partnership with Brookfield and the US DOE in Kentucky as a model for off-grid AI infrastructure. Under the $100 billion project, Brookfield will build and operate a 1.8 GW data center campus, while NEE builds, owns and operates 4.6 GW of generation (2 GW gas, 2.6 GW storage) to power it. Management emphasized that the data center counterparty agreement fully covers its infrastructure and generation costs, shielding ratepayers from price hikes.

- **CPK gas transmission transaction:** On September 1st, it was announced that NEE purchased a 49% stake in the FEP gas transmission project from CPK. The project is expected to total $1.2 billion investment needed to expand South Florida's capacity. The permitting process is expected to begin in 3Q26/4Q26, and construction of the project is expected to start in 2028, with a targeted in-service date of 2030.

- **Interest rate hedges:** NEE actively manages volatility by locking in returns via $44 billion of hedges for interest rates,

Valuation, EPS & Risks: We are reaffirming our 2026-2032 EPS estimates as detailed in Figure 2. We are lowering our price target from $91 to $84 as we mark to market to a lower large cap peer trading multiple since our last NEE update. We value NEE based on a sum-of-the-parts valuation

methodology, where we continue to apply a 20% premium at FP&L, and value NEER's businesses on the following multiples of 2027 EBITDA: Contracted Renewables excluding tax credits (14.0x), Contracted Nuclear (14.0x), Other Generation (10.0x), Gas Infrastructure & Pipelines (10.0x), and Customer Supply & Trading (8.0x). Risks: Better / worse than expected outcomes in regulatory proceedings, better / worse than expected execution of investments to offset renewable tax credit fall-off, operational risk associated with nuclear facilities.

3Q26 Walk

FIGURE 62. NextEra 3Q26 EPS Walk

NEE 3Q26 Walk		$/Sh
3Q25 EPS		$1.13
Weather		$0.00
Adjusted Starting Point		**$1.13**
FPL	Regulatory capital employed 9%+. Depreciation reserve surplus of $1.3 billion.	$0.09
O&M		$0.00
Wind resource	Wind resources 90% last year	$0.04
NEER New Investment		$0.10
Parent / Other	$15.3 billion of incremental debt	($0.12)
Dilution		($0.01)
NEE 3Q26 EPS		**$1.23**
3Q26 Consensus		**$1.21**
FY26 EPS (Barclays Model)		**$4.07**
FY26 EPS (Consensus)		**$4.05**
Current FY26 Guidance		**$3.97**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 63. NEE Fundamental Dashboard (1/2)

NEE Dashboard Nicholas Campanella +1 (212) 526-6123	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Consolidated EPS (Non-GAAP)	**$3.43**	**$3.71**	**$4.07**	**$4.37**	**$4.81**	**$5.15**	**$5.49**	**$5.98**	**$6.08**
Prior EPS Estimates	**$3.43**	**$3.71**	**$4.07**	**$4.37**	**$4.81**	**$5.15**	**$5.49**	**$5.98**	**$6.08**
Consensus EPS	**$3.42**	**$3.69**	**$4.05**	**$4.39**	**$4.76**	**$5.22**	**$5.65**	**$5.99**	**$6.31**
Delta (%)	0.30%	0.48%	0.61%	-0.48%	1.04%	-1.26%	-2.81%	-0.24%	-3.69%
Shares Outstanding	2,059	2,071	2,088	2,116	2,139	2,154	2,170	2,186	2,203
DPS	$2.06	$2.26	$2.49	$2.64	$2.80	$2.97	$3.15	$3.34	$3.54
DPS Growth (%)	10.5%	9.9%	10.3%	6.0%	6.0%	6.0%	6.0%	6.0%	6.0%
DPS Payout (%)	60%	61%	61%	60%	58%	58%	57%	56%	58%
Valuation Metrics									
P/E	22.8x	21.1x	19.2x	17.9x	16.3x	15.2x	14.2x	13.1x	12.9x
EV/RAB	1.4x	1.3x	1.3x	1.3x	1.3x	1.3x	1.3x	1.3x	1.3x
EBITDA	12,941	17,762	23,322	26,671	30,642	35,399	39,022	42,866	45,303
EV/EBITDA	18.0x	13.5x	10.7x	9.7x	8.8x	7.9x	7.6x	7.1x	7.0x
EV/EBITDA - Ex Tax Credits	18.0x	16.0x	12.9x	12.0x	11.0x	10.2x	9.7x	9.1x	8.9x
FFO	13,824	13,356	15,387	16,464	18,671	20,620	22,646	24,998	26,490
Net Debt	72,385	78,262	86,154	93,706	100,868	112,735	124,875	135,126	144,378
Net Debt excl. NEER	57,079	60,131	66,523	72,575	78,237	89,604	101,244	110,995	119,747
Securitization		950	950	950	950	950	950	950	950
FFO/Debt	19.1%	17.1%	17.9%	17.6%	18.5%	18.3%	18.1%	18.5%	18.3%
Net Debt/EBITDA	5.6x	4.4x	3.7x	3.5x	3.3x	3.2x	3.2x	3.2x	3.2x
Holdco Debt/Total Debt (%)	47.2%	46.5%	45.1%	45.7%	46.3%	48.0%	49.4%	50.6%	51.7%
Consolidated Equity Layer (%)	42.5%	41.9%	44.7%	45.5%	46.8%	46.2%	46.2%	46.2%	46.2%
Guidance: Targets 2025YE of 18% at S&P and 17% and Moody's									
EPS Estimates by Sub									
FPL	$2.21	$2.42	$2.60	$2.79	$3.00	$3.26	$3.45	$3.68	$3.86
NEER	$1.51	$1.70	$2.01	$2.28	$2.68	$3.01	$3.29	$3.69	$3.74
Parent	($0.45)	($0.52)	($0.54)	($0.70)	($0.87)	($1.11)	($1.25)	($1.39)	($1.53)
Consolidated EPS	**$3.27**	**$3.60**	**$4.07**	**$4.37**	**$4.81**	**$5.15**	**$5.49**	**$5.98**	**$6.08**
Guidance Outlook 8%+		**$3.66**	**$3.97**	**$4.36**	**$4.73**	**$5.13**	**$5.56**	**$6.04**	**$6.55**
NEE EPS Pro Forma D: 9%+ through 2035 off 3.71			**$4.06**	**$4.45**	**$4.87**	**$5.33**	**$5.84**	**$6.40**	**$7.00**
Percentage Regulated Earnings (%)	67.4%	67.2%	64.0%	63.8%	62.4%	63.2%	62.9%	61.5%	63.6%
Tax Credits in EPS ($/Sh)		$1.03	$1.47	$1.87	$2.32	$2.85	$3.13	$3.33	$3.44
Tax Credits in EPS (%)		28.6%	36.1%	42.9%	48.3%	55.2%	56.9%	55.6%	56.6%
Guidance Range: 8%+ off 2025 revised range of $3.62-3.70 through 2035; 2025/2026 expect to be top end									
High		**3.70**	**4.02**	**4.36**	**4.73**	**5.13**	**5.56**	**6.04**	**6.55**
Midpoint		**3.66**	**3.97**	**4.27**	**4.61**	**4.98**	**5.38**	**5.81**	**6.27**
Low		**3.62**	**3.92**	**4.22**	**4.56**	**4.93**	**5.33**	**5.76**	**6.22**
YoY Growth			**8.5%**	**7.5%**	**8.0%**	**8.0%**	**8.0%**	**8.0%**	**8.0%**
High end vs. Prior Midpoint			**9.8%**	**9.7%**	**10.7%**	**11.2%**	**11.7%**	**12.2%**	**12.8%**

Source: Barclays Research, Company Reports, Bloomberg

FIGURE 64. NEE Fundamental Dashboard (2/2)

Earnings by Sub	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E
FPL	4,543	5,012	5,436	5,898	6,422	7,014	7,494	8,037	8,509
NEER	3,118	3,523	4,198	4,832	5,737	6,484	7,145	8,076	8,243
Parent	(925)	(1,072)	(1,138)	(1,484)	(1,870)	(2,399)	(2,719)	(3,041)	(3,366)
Consolidated	**6,736**	**7,463**	**8,496**	**9,246**	**10,290**	**11,098**	**11,920**	**13,073**	**13,385**
Guidance									
EBITDA by Sub									
FPL	9,318	10,598	11,946	12,931	14,041	15,229	16,279	17,401	18,433
NEER - Exlcudes Tax Credits	3,842	4,515	7,536	8,755	10,341	12,456	14,230	16,372	17,442
NEER Tax Credits (Part of EBITDA)	0	2,737	3,935	5,087	6,369	7,861	8,701	9,325	9,709
NEER Total EBITDA	**3,842**	**7,252**	**11,471**	**13,842**	**16,710**	**20,316**	**22,931**	**25,697**	**27,152**
Guidance (70/20/10) between Regualted/LT Contracted/Other		11,100-11,300	12,000-13,000						23,500-26,500
Parent	(219)	(88)	(95)	(102)	(109)	(147)	(187)	(232)	(282)
Total	**12,941**	**17,762**	**23,322**	**26,671**	**30,642**	**35,399**	**39,022**	**42,866**	**45,303**
		38%							36%
Rate Base Metrics	**2024A**	**2025E**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**	**2031E**	**2032E**
FPL	69,000	75,000	82,922	88,436	96,552	104,266	111,593	118,531	125,089
Guidance (excld deferred taxes)		**73,000-74,000**							**130,000-140,000**
Transmission (NEER)	3,950	5,242	5,858	6,473	9,815	12,172	14,735	17,196	19,558
Guidance		**5,000**							**18,000 - 22,000**
Consolidated Rate Base	**72,950**	**80,242**	**88,780**	**94,910**	**106,367**	**116,438**	**126,329**	**135,726**	**144,647**
		78,000-79,000							
Earned ROE (Avg RAB)									
FPL	11.6%	11.6%	11.6%	11.6%	11.7%	11.7%	11.7%	11.7%	11.7%
Transmission (NEER)	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%	11.2%
Capital Structure - Regulatory									
FPL	59.6%	59.6%	59.6%	59.6%	59.6%	59.6%	59.6%	59.6%	59.6%
Transmission (NEER)	52.0%	52.0%	52.0%	52.0%	52.0%	52.0%	52.0%	52.0%	52.0%
Cash Flow Metric									
CFO	13,260	12,485	14,800	15,876	18,084	20,033	22,059	24,410	25,902
Guidance: $140-160bn from 2025-2032									
Capital Expenditure	24,207	24,051	36,000	34,500	37,500	41,000	44,000	44,000	44,000
Guidance									
Financing									
ST Debt Issuance, Net	(3,018)	676	0	0	0	0	0	0	0
LT Debt Issuance, Net	14,656	13,047	6,500	9,500	9,500	10,500	10,500	10,500	10,500
Guidance: $130-150bn debt issuance vs. -$80-100bn maturities, net new issuance of midpoint of $50bn (2025-2032)									
Equity (Unit) Issuance	(47)	2,038	1,970	2,600	2,000	2,000	2,500	2,501	2,502
Guidance: $12-17bn from 2025-2032									
DMI / Tax Equity Contributions	(356)	1,898	8,813	8,813	9,244	4,622	3,506	3,506	3,506
Asset Sales	2,659	1,115	4,088	1,250	1,000	1,000	1,000	1,000	1,000
Guidance: Asset recycling of $7-12bn									
Project Debt Financing		895	5,875	6,000	6,000	6,875	7,625	7,625	7,625
Guidance: Tax Equity + Project Finance: $115-145Bn Asset Level Finan		2,793	14,688	14,813	15,244	11,497	11,131	11,131	11,131

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 65. NEE Valuation

NEE SOTP Valuation				Low	Base	High
Electric Group Multiple				13.2x	15.5x	16.3x
Business Segments			**Base Case**			
Regulated Utilities	**EPS ('28E)**	**Prem/Disc.**	**Implied Multiple**			
FP&L	$3.00	20%	18.6x	$47	$56	$59
Total Regulated Utilities				**$47**	**$56**	**$59**
NEER - 2027 Valuation		**EBITDA ' 27**	**Base Multiple**			
Renewable EBITDA (Exlc Tax Credits)		5,134	14.0x	$66,737	$71,871	$74,438
Tax Credits		5,087	0.0x	$0	$0	$17,804
Contracted Nuclear		907	14.0x	$11,793	$12,700	$13,154
Other Generation		53	10.0x	$477	$530	$557
Gas Infrastructure & Natural Gas Pipelines		700	10.0x	$6,300	$7,000	$7,350
Power & Gas Trading / Customer Supply		1,088	8.0x	$7,613	$8,700	$9,244
Total (NEER EBTIDA less Transmission)		**12,968**		**$92,920**	**$100,801**	**$122,546**
NEE Net Debt				$104,751	$104,751	$104,751
Less: FP&L Net Debt				($41,155)	($41,155)	($41,155)
Less: Transmission Related Debt				($2,959)	($2,959)	($2,959)
NEER / NECH Debt '27	<--- This is Netted Against NEER Equity Value			$60,637	$60,637	$60,637
Transmission Business (Net Income)		359	17.8x	$6,041	$6,400	$6,579
NEER Equity Value $mn				**$38,324**	**$46,565**	**$68,489**
NEER Equity Value $/sh				**$18**	**$22**	**$32**
Shares Outstanding (2027)				2,116	2,116	2,116
XIFR Stake		**XIFR Owned Shares**	**XIFR Price**			
		101	$9.8	**$0**	**$0**	**$0**
NEE 2030 Growth Drivers		**EPS Addition**	**Discount Multiple for 2030**			
		$0.41	14.4x	**$0**	**$6**	**$7**
Shares Outstanding (2028)				2,139	2,139	2,139
Implied P/E				15.1x	19.2x	22.4x
Valuation				**$66**	**$84**	**$98**
Market Price					$78.2	
Upside / Downside				-15.6%	7.4%	25.3%
Yield ('26)					3.2%	
Potential Total Return				**-12.4%**	**10.6%**	**28.5%**

Prices as of close October 14, 2026
Source: Barclays Research, Company Reports, Bloomberg

NiSource Inc. (NI): 3Q26 Preview

What to expect on the 3Q call: We expect NiSource to reaffirm 2026 EPS guidance and initiate 2027 EPS forecast. Our 2027 EPS estimate is $2.26, matching consensus of $2.26. We anticipate the company will roll forward / update its five-year capital program, financing plan, and EPS growth forecast, likely through 2033. We anticipate a continuation of base plan 6-8% EPS CAGR with a showcase of the GenCo free cash flow, which should mitigate financing needs. As it relates to the consolidated 9-10% EPS CAGR through 2033, we expect NiSource to show accretion of the newly-announced Microsoft deal (we estimate $0.08 EPS accretion at full ramp in 2030). We anticipate the primary focuses on the earnings call will be on the full financial plan update, the agreement with Microsoft, the broader large load pipeline, the upcoming IRP filing, Pennsylvania affordability,and Indiana affordability / storms proceedings. Our 3Q26 EPS estimate is $0.25, above consensus of $0.22. In terms of positive year-over-year drivers, we expect new rates in NIPSCO and Pennsylvania, and higher "other income.: In terms of negative year-over-year drivers, we anticipate higher O&M, increased D&A, and higher interest expense.

Focus Items & Catalyst Calendar:

- **Microsoft agreement:** On October 16th, NiSource announced a 20-year energy agreement with Microsoft to serve its northwest Indiana data center campus beginning in 2028, while protecting existing NIPSCO customers from incremental costs. Microsoft will fully fund the generation and transmission infrastructure needed to serve its load, including an approximately 1,100 MW expansion of GenCo's resource portfolio. The agreement increases expected NIPSCO customer savings from $1.4 billion to roughly $1.75 billion over the life of data center contracts, or as much as $140 annually per customer. As part of the agreement, GenCo contracted 600 MW of battery storage through a long-term tolling agreement with an AGP Group affiliate. The resource type for the remaining 500 MW of capacity has not yet been disclosed. We estimate this update will be $0.08 EPS accretive by 2030, with the ramp starting with $0.02 in 2028.

- **Amazon and Alphabet update:** Management views the successful approval of both Amazon and Alphabet agreements as important validation of its GenCo framework. The original Amazon contract, associated generation resources, and power purchase agreements were approved by the IURC in June, while a subsequent amendment adds another 400 MW of contracted demand and is expected to receive a final order by November 2026. The Alphabet agreement has also received approval, with customer load expected to begin ramping this year and continue through 2030. Management views these transactions as establishing a regulatory precedent that should support future large load agreements.

- **Incremental capital and IRP**: NiSource has identified $2 billion of upside capital investment opportunities across generation, AMI deployment, PHMSA compliance projects, economic development initiatives, and electric T&D investments. Management indicated these opportunities remain recoverable through existing regulatory mechanisms and sees no change to its long-term investment outlook. The company expects its upcoming IRP to support additional investment needs rather than fewer and remains highly optimistic about the outcome.

- **Indiana affordability:** The IURC issued two related notices for affordability proceeding dockets 46428 and 46429. It scheduled back-to-back attorneys conferences on October 1st for these dockets. Docket 46428 will address how a multi-year rate plan (MYRP) changes risk, covering authorized-return standards, ROE risk adjustments tied to vertical integration and capital structure, expense and sales volatility exposure, proxy group selection, performance incentive mechanisms, and exogenous event risk. Docket 46429 addresses cost recovery mechanisms within an MYRP, covering fuel adjustment clause earnings test, tracking-mechanism cadence, and the case for adding expense and capital tracking mechanisms -

including reasonableness review processes, volatility and affordability thresholds, handling emergent issues, criteria for new tracking proposals, and avoiding double recovery. Both proceedings will set their procedural schedules at these conferences to cover these issues.

- **NIPSCO Storm Hearing:** On 9/29, we listened to the Indiana General Assembly hearing on NIPSCO's response to the August storms that left parts of northern IN without power for upwards of two weeks. The most meaningful takeaways were the two recommendations unanimously approved by Interim Study Committee on Energy, Utilities and ns in the hearings: 1) That IURC should require utilities to establish and maintain emergency response procedures to prepare for and quickly restore service disruptions, and 2) The IURC should conduct field audits of each utility every two years ensuring cooperation. Witness testimony was primarily focused on the company's lack of communication through the restoration process and questioning the logic behind customers paying a fixed service fee in a month where they spent around two weeks without power. We see it as a positive for NI that discussion around penalty ROEs and major financial penalties was not a significant focus in this hearing, and also see some of the noise around communication as expected. Instead, some of what local officials and community leaders called for was consumer-focused relief in the form of waiving late fees, pausing disconnections, or providing bill credits for periods without power. As far as next steps go related to the NIPSCO storms, NiSource is targeting completing an internal review by Thanksgiving. An Independent third party review is expected to come out in February. Evidentiary hearings will be held on July 7, 2027.

- **Pennsylvania affordability:** On 9/10, the PA PUC unanimously voted to approve two motions with implications for utility rate structuring and data center development. One motion directs the creation of a ratemaking working group (RWG) to explore potential changes to the state's ratemaking process. The other motion directs PUC staff to draft proposed updates to PA's emergency load control regulations. These developments are relevant for all companies in our coverage operating in PA - EXC, NI, PPL, FE, AWK, WTRG - and are obviously negative, but we remain comfortable with limited rate case risk for NI, PPL and FE at the moment, while we expect EXC to eventually file its GRC some time within its current 4yr plan.

  The RWG will be formally established after publication of the Commission's order in the Pennsylvania Bulletin. The group will consist of representatives from utilities, consumer/ small business advocates, state govt./general assembly, industrial consumers, and other stakeholders including equity analysts. After the order is published, stakeholders will have 30 days to submit nominations and the RWG will be formally announced in the following 15 days. The main issues for the group's initial review are: 1) ROE: whether ROE should be determined through periodic, sector-specific cost of capital proceedings rather than the current rate case process, and whether utility performance metrics should be considered (reliability, safety, quality). 2) Rate case transparency: providing public clarity on decisions around ROE, equity capitalization, and settlements reached. 3) DSIC methodology: introduces the possibility of a formula-based approach to DSIC, citing improved transparency in rate case outcomes. We note the 45-day clock for forming the group will begin once the commission publishes the order in the PA bulletin. (Docket No.: M-2026-3064953)

  The other motion directs PUC staff to develop updated text on managing emergency load conditions. The tentative order will include clarity on emergency/pre-emergency classifications and the circumstances under which customers may be curtailed. The PUC's Law Bureau and Bureau of Technical Utility Services are tasked with drafting the order to be considered at the 10/1/26 public meeting. If the initial proposal is approved, it will be released for public comment and considered for a final order at the 1/28/27 public meeting.

This motion also directs the PUC to convene a technical conference this fall focused on large-load cost allocation. The goal of this conference is to allow all stakeholders an opportunity to discuss the impacts of large load costs. (Docket No.: M-2026-3064961)

EPS estimates, valuation and risks: We are maintaining our 2026-2027 EPS estimates. We are increasing our 2028 EPS forecast by $0.02 to $2.54, our 2029 EPS estimate by $0.05 to $2.75, and our 2030 EPS forecast by $0.08 to $3.00. We are lowering our price target to $44 from $45 as we roll forward our valuation year to 2029 and we mark-to-market to the peer trading multiple. We value NI using P/E on an SOTP basis, applying a 10% premium to Indiana Electric & Gas, an inline multiple to PA gas, a 40% premium to GenCo and a 10% premium to RemainCo. Primary risks include unfavorable regulatory outcomes, cost management, and execution at the GenCo.

3Q26 Walk

FIGURE 66. NiSource 3Q26 EPS Walk

NI 3Q26 EPS Walk	Note	$/sh
3Q25 EPS		$0.19
Weather		$0.00
Adjusted Starting Point		**$0.19**
Rate relief	New rates in NIPSCO and PA	$0.18
O&M		($0.04)
Depreciation		($0.06)
Interest Expense		($0.06)
Other Income		$0.04
NCI		$0.00
Preferred Equity		$0.00
Tax Item		$0.00
Parent		$0.00
Dilution		($0.00)
NI 3Q26 EPS		**$0.25**
3Q26 Consensus		**$0.22**
FY26 EPS (Barclays)		**$2.06**
FY26 EPS (Consensus)		**$2.05**
FY26 EPS (Guidance Midpoint)		**$2.03**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 67. NI Fundamental Dashboard (1/2)

NI Dashboard	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$1.60**	**$1.75**	**$1.90**	**$2.06**	**$2.26**	**$2.54**	**$2.75**	**$3.01**
Prior EPS	**$1.60**	**$1.75**	**$1.90**	**$2.06**	**$2.26**	**$2.52**	**$2.70**	**$2.92**
Consensus EPS	**$1.59**	**$1.74**	**$1.89**	**$2.05**	**$2.25**	**$2.47**	**$2.73**	**$2.96**
Delta (%)	0.3%	0.8%	1.0%	0.4%	0.4%	2.6%	0.8%	1.7%
Shares Outstanding	448	456	475	484	498	510	522	533
DPS	$0.92	$1.05	$1.12	$1.20	$1.27	$1.35	$1.43	$1.51
DPS Growth (%)	7.1%	14.3%	6.0%	7.4%	6.0%	6.0%	6.0%	6.0%
DPS Payout (%)	58%	60%	59%	58%	56%	53%	52%	50%
Guidance: 60-70%								
Valuation Metrics								
P/E	26.3x	24.0x	22.1x	20.4x	18.6x	16.6x	15.3x	14.0x
EV/RAB	1.6x	1.6x	1.4x	1.4x	1.4x	1.3x	1.3x	1.3x
EBITDA	2,204	2,499	3,003	3,323	3,653	3,986	4,282	4,597
FFO	1,735	1,977	2,419	2,863	3,109	3,364	3,594	3,833
Net Debt	11,847	13,762	16,078	17,449	19,036	20,007	22,226	23,509
FFO/Debt - Raw	14.6%	14.4%	15.0%	16.4%	16.3%	16.8%	16.2%	16.3%
FFO/Debt - Adjusted for NCI	20.7%	16.9%	25.0%	17.8%	17.5%	17.8%	18.1%	17.5%
FFODebt - Adjusted for NCI/GenCo	20.7%	16.9%	25.0%	17.1%	16.1%	15.6%	15.8%	15.3%
Net Debt/EBITDA	5.4x	5.5x	5.4x	5.3x	5.2x	5.0x	5.2x	5.1x
Holdco Debt/Total Debt (%)	51.1%	48.8%	54.5%	53.5%	51.0%	48.8%	46.9%	45.2%
Consolidated Equity Layer (%)	41.8%	43.3%	41.8%	40.4%	40.4%	40.6%	40.7%	40.9%
FFO/Debt target of 14-16% through 2030								
EPS Estimates by Sub								
Columbia Gas	$1.13	$0.89	$1.03	$1.12	$1.17	$1.27	$1.35	$1.41
NIPSCO	$0.43	$0.99	$1.24	$1.09	$1.20	$1.27	$1.28	$1.34
Parent	$0.04	($0.12)	($0.37)	($0.17)	($0.17)	($0.16)	($0.16)	($0.16)
Base Earning	**$1.60**	**$1.75**	**$1.90**	**$2.03**	**$2.20**	**$2.38**	**$2.47**	**$2.60**
Base Earning Guidance: 6-8% annual growth through 2030								
High	**$1.60**	**$1.74**	**$1.89**	**$2.05**	**$2.19**	**$2.37**	**$2.56**	**$2.76**
Midpoint (6-8% annual growth off '26 original midpoint)	**$1.57**	**$1.72**	**$1.87**	**$2.03**	**$2.17**	**$2.35**	**$2.53**	**$2.74**
Low	**$1.54**	**$1.70**	**$1.85**	**$2.01**	**$2.15**	**$2.32**	**$2.51**	**$2.71**
GenCo				$0.03	$0.06	$0.16	$0.28	$0.41
Consolidated Earning				**$2.06**	**$2.26**	**$2.54**	**$2.75**	**$3.01**
Consolidated Earning: 9-10% CAGR from 2026 through 2033								
High				**$2.07**	**$2.25**	**$2.47**	**$2.72**	**$2.99**
Midpoint				**$2.05**	**$2.24**	**$2.45**	**$2.69**	**$2.94**
Low				**$2.02**	**$2.23**	**$2.43**	**$2.65**	**$2.89**
EPS Accretion				**$0.03**				**$0.41**
Guidance Range				**0.01-0.02**				**0.25-0.35**

Source: Barclays Research, Company Reports, Bloomberg

FIGURE 68. NI Fundamental Dashboard (2/2)

Rate Base Metrics (YE RAB)	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Columbia Gas	12,370	10,452	11,423	12,305	13,627	14,875	16,150	17,549
NIPSCO	6,400	10,700	13,600	14,511	15,645	16,317	18,010	18,834
Total Rate Base	**18,770**	**21,152**	**25,023**	**26,816**	**29,272**	**31,193**	**34,159**	**36,382**
Guidance (YE)	**18,770**	**21,152**						
Guidance (8-10% Growth from 2026-2030): Assume 9%			**23,056**	**25,131**	**27,392**	**29,858**	**32,545**	**35,474**
Barclays CAGR (%) off 2024			**18.3%**	**12.6%**	**11.4%**	**10.2%**	**10.1%**	**9.5%**
Barclays YoY Growth (%)	**12.4%**	**12.7%**	**18.3%**	**7.2%**	**9.2%**	**6.6%**	**9.5%**	**6.5%**
ROE Metric (Avg RAB)								
Columbia Gas	8.2%	6.8%	8.6%	8.7%	8.6%	8.7%	8.7%	8.6%
NIPSCO	6.6%	10.4%	9.6%	9.2%	9.8%	10.0%	9.6%	9.6%
Capital Structure - Regulatory								
Columbia Gas	52.2%	52.2%	52.2%	52.2%	52.2%	52.2%	52.2%	52.2%
NIPSCO	49.7%	50.7%	50.5%	50.5%	50.5%	50.5%	50.5%	50.5%
Capital Structure - GAAP/LT Debt vs. Equity								
Columbia Gas	67.3%	58.8%	60.9%	62.6%	64.2%	65.6%	66.9%	68.2%
NIPSCO	73.3%	83.9%	83.2%	78.5%	74.5%	71.0%	67.9%	65.1%
Cash Flow Metrics								
Columbia Gas	1,935	1,782	2,362	2,863	3,109	3,364	3,594	3,833
NIPSCO	2,646	2,614	2,782	4,000	3,800	3,800	5,000	4,400
Financing								
LT Debt Issuance, Net	1,456	2,204	2,070	1,403	1,403	1,403	1,403	1,403
ST Debt Issuance, Net	1,286	(2,444)	131	0	0	0	0	0
Equity Issuance	13	613	312	400	500	500	500	500
Guidance				**400-600**	**400-600**	**400-600**	**400-600**	**400-600**

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 69. NI Valuation

Sum of the Parts Valuation				Low	Base	High
Electric Group Multiple ('29)				11.7x	**14.6x**	16.1x
Gas Group Multiple ('29)				11.2x	**14.0x**	15.4x
	2029 RAB	**EPS**	**Prem /Disc**			
PA Gas	4,948	$0.53	**0.0%**	$6	$7	$8
Indiana Electric (Adj. for Bx Stake)	10,289	$0.97	**10.0%**	$13	$16	$17
Indiana Gas (Adj. for Bx Stake)	4,137	$0.39	**10.0%**	$5	$6	$7
GenCo		$0.28	**40.0%**	$5	$6	$6
RemainCo - MD VA OH KY States + Parent		$0.58	**10.0%**	$7	$9	$10
Consoldiated EPS '29E		**$2.75**		**$35**	**$44**	**$49**
			Implied '29 P/E ==>	12.7x	16.0x	17.8x
Valuation				**$35**	**$44**	**$49**
Market Price					**$42.1**	
Upside / Downside				-16.8%	4.6%	16.5%
Yield ('26)					2.9%	
Total Return				**-14.0%**	**7.4%**	**19.3%**

Source: Barclays Research, Company Reports, Bloomberg

OGE Energy Corp. (OGE): 3Q26 Preview & Downgrade to EW

Starting to Price In Constructive Outcomes on Oklahoma Load Acceleration: Downgrade to EW: We downgrade OGE to Equal Weight (from Overweight) as we believe most of the LL pipeline, and expected revisions on EPS / RAB into the 1.8GW RFP, are adequately priced in. In our model, we've included an additional ~$3Bn of capex above the current plan, representing the 2025 SPP ITP approval and a 50% win rate on the 1.8 GW RFP ramping in 2029-'31. This brings us to an 11% rate base CAGR which would require 2-3% equity dilution per year by our estimates assuming 40% equity financing. We see an EPS CAGR closer to 8% through the plan on this outlook, 1% below consensus and acknowledge this is closer to sector average. We also see it as unlikely that the company raises the EPS CAGR before its rate case outcome in mid-2027. We value the stock at a 12.5% premium to the small cap peer group on FY29 P/E to arrive at a $48 PT, 2% above the current price. We believe our assumptions are reflective of positive outcomes, yet the stock continues to skew expensive as we note its +10% re-rate vs XLU in the past year, properly valuing shares now at a well-deserved premium. We think the current multiple reflects near best case-scenario outcomes throughout the catalyst path, introducing downside risk on execution of the RFP.

What we expect on the 3Q26 call: We are expecting OGE to reaffirm FY26 EPS guidance of $2.38-$2.48 and LT EPS CAGR of 5-7%. We also expect them to reaffirm the $7.285B 2026-2030 capital plan and 17% FFO/debt forecast through 2030. We anticipate the call to be focused on the large load tariff filing, the negotiation process for the 2026 RFP, the OK rate case, progress on the Google contract, and the SPP ITP project opportunity & corresponding capex. Though OGE has many near-term opportunities for capex additions, we see the 3Q call as a catalyst-light update, given the timeline for all major opportunities will fall after EEI and into late 4Q26 and beyond. **Our 3Q EPS estimate is $1.35** driven by YoY positives including weather, volume growth, and plant-in-service accounting which are partially offset by higher interest cost, higher O&M cost, parent drag, and dilution.

Focus items and catalyst calendar:

- **Large load tariff:** We expect OGE to discuss the LL tariff they filed on 6/18 for customers requesting more than 75MW which is set for an OCC hearing on Nov. 3 and a decision expected in January '27. The company has filed its rebuttal testimony and in our conversation conveyed there are no concerns regarding the process as of now. We'll be monitoring OCC's response to see if the ruling is consistent with terms of OGE's Google deal. As a reminder, the tariff proposal includes a customer affordability charge which would reduce residential rates by $25mm-$30mm per year along with 100% up-front grid connection cost payments, a 15-year term, and early termination clauses. We see this as a procedural catalyst that will improve the regulatory credibility of OGE's load growth plan once an order is made final.

- **2026 Generation RFP:** We expect commentary on the call about the ongoing negotiations and progression through bid selection for the 1.8GW RFP into 2031-'32. OGE would prefer to own these assets but based on past RFP outcomes, it could be closer to 50/50 mix between owned and contracted generation. The initial RFP schedule includes Nov. 30 2026 as the expected date to have complete agreements, which will be followed by pre-approval filings and potentially a mid-2027 target for approvals. OGE is expected to update capex in 2027 as these projects are approved by the commission. We also expect an update on the 450 MW of new CT's at Horsehoe Lake expected to come online in 4Q.

- **SPP ITP opportunity:** We anticipate both the 2025 & 2026 SPP ITP opportunities will be topical into the Nov. 17 SPP board meeting. Mgmt expects a final NTC on the 765 kV line from the 2025 ITP portfolio, and has potential for a few other smaller projects in this group, totaling $1.5Bn in estimated spend. This $1.5Bn would be incremental to the current capex

plan, though it likely will not be folded in until after SPP board approval. The initial 2026 ITP portfolio identified $909mm in NTC designated (NTC's from working groups, not the commission) and $2.77B in total proposed projects for OGE as well as a large number of "TBD" designated projects. We note that these proposals are very preliminary and will likely be shaved down, but we look for comments from mgmt on how they view this opportunity. The Nov. SPP board meeting will finalize projects from the 2025 portfolio and vote on projects to move forward in the 2026 portfolio, which still has a lengthy road ahead.

- **Progress on Google data center approval:** Mgmt remains confident that the commission will approve the April 30 deal to power three Google data centers. OGE has reached a settlement with intervenors and now awaits a final order from the OCC which has yet to be scheduled. We note that Aug. 28, Frank Mossburg on behalf of the Public Utility Division testified in support of the Google ESA's, concluding that they "feature reasonable protections for ratepayers" (link). The agreement with Google includes many of the same protections in OGE's LL tariff proposal except the customer affordability charge. The scale of these data centers is not publicly known, but the deal seems to be progressing positively and any capital would be incremental to the current plan.

- **Rate case update:** On Sept. 30, OGE filed its first OK rate case since Dec. 2023 requesting a revenue increase of $395mm (no public ROE or capital structure request), covering investments made since March 2024. The commission has not yet established a procedural schedule on the case, but mgmt anticipates a public hearing in spring 2027. OGE's last rate case saw a $332mm request reduced to $126mm in the June 2026 settlement on a case framed around recovery of reliability and grid-hardening investments.

Valuation, EPS, and risks: We downgrade to Equal Weight and adjust our PT down to $48 from $52 as we mark-to-market the small cap electric group FY29 P/E to 13.8x from 16.1x prior, and we reduce the OGE premium from 15% to 12.5% as we have wrapped in future contemplated growth in EPS. Risks to our thesis include slowing large load growth, delays/cost headwinds on power assets, unfavorable GRC outcome, and macro economic pressures. **Our 3Q26 EPS estimate is $1.35** driven by the following YoY positives: +17c from weather, +3c from volume growth, and +6c from plant-in-service accounting. These positives were partially offset by -2c higher interest cost, -1c higher O&M cost, -4c of parent drag, and -4c from dilution.

3Q26 EPS Walk

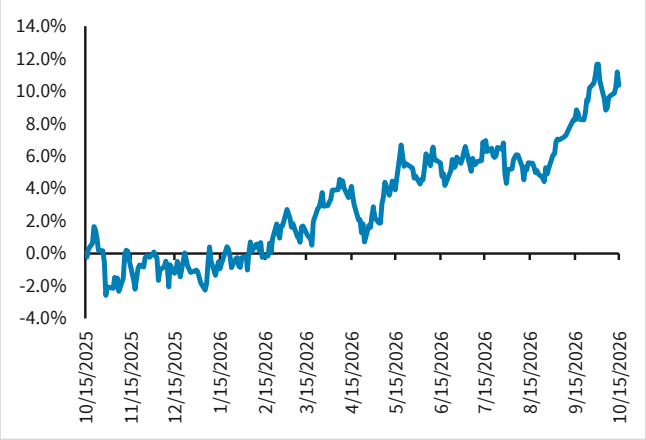
FIGURE 70. **3Q26 OGE Walk**

OGE 326 EPS Walk		
3Q25 EPS		$1.20
Weather	No weather	$0.00
Adjusted Starting Point		**$1.20**
Weather	Cooling degree days 50% above avg, 17c is conservative	$0.17
Volumes	12c for year, 3c/Q	$0.03
Rate Case		$0.00
PISA	2c/ month 24c for the year	$0.06
FRP		$0.00
Investments		$0.00
AFUDC	Flat	$0.00
D&A		($0.00)
Interest Costs	LT Debt	($0.02)
O&M	555mn for the year, back out 139mn for last two Qs	($0.01)
Parent	14c for the year	($0.04)
Other		$0.00
Dilution	6c thru 2Q, 8c guide for 2H	($0.04)
OGE 326 EPS		**$1.35**
3Q26 Consensus		**$1.23**
FY26 EPS (Barclays)		**$2.45**
FY26 EPS (Consensus)		**$2.43**
SO 2026		**209**
SO 2025		**203**

Source: Barclays Research Estimates, Company Reports, Bloomberg

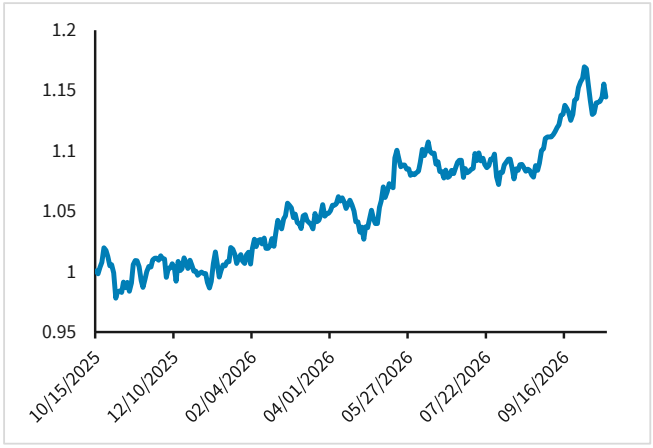
Price Performance and Relative FY2 P/E

FIGURE 71. **OGE Price Performance vs. XLU Peers (%)**



Source: Barclays Research Estimates, Bloomberg

FIGURE 72. **OGE FY2 Relative P/E vs. Peers**



Source: Barclays Research Estimates, Bloomberg

Fundamental Dashboard

FIGURE 73. OGE Fundamental Dashboard: Part 1

OGE Dashboard ($Mn except per share data)	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Consolidated EPS (Non-GAAP)	**$2.07**	**$2.19**	**$2.32**	**$2.45**	**$2.59**	**$2.84**	**$3.07**	**$3.31**	**$3.51**
Prior EPS	**$2.07**	**$2.19**	**$2.32**	**$2.42**	**$2.57**	**$2.82**	**$3.03**	**$3.21**	
Consensus EPS	**$2.05**	**$2.18**	**$2.30**	**$2.43**	**$2.61**	**$2.83**	**$3.11**	**$3.35**	**$3.58**
Delta (%)	1.21%	0.84%	1.15%	1.01%	-0.76%	0.21%	-1.28%	-1.33%	-1.70%
Shares Outstanding	201	201	203	209	216	220	227	239	250
DPS	$1.66	$1.68	$1.69	$1.71	$1.73	$1.75	$1.78	$1.80	$1.83
DPS Growth (%)	1.1%	1.4%	0.4%	1.0%	1.4%	1.4%	1.4%	1.4%	1.4%
DPS Payout (%)	80%	77%	73%	70%	67%	62%	58%	55%	52%
Valuation Metrics									
P/E	22.5x	21.2x	20.0x	19.0x	18.0x	16.4x	15.1x	14.1x	13.2x
EV/RAB	1.6x	1.6x	1.6x	1.5x	1.5x	1.4x	1.3x	1.3x	1.2x
EBITDA	1,157	1,285	1,359	1,446	1,601	1,772	1,966	2,191	2,382
FFO	829	941	1,010	1,101	1,199	1,315	1,454	1,621	1,773
Net Debt	4,840	5,490	5,661	6,184	7,104	7,879	8,766	9,685	10,288
FFO/Debt - 17% Target '24 to '27	17.1%	17.1%	17.8%	17.8%	16.9%	16.7%	16.6%	16.7%	17.2%
Net Debt/EBITDA	4.2x	4.3x	4.2x	4.3x	4.4x	4.4x	4.5x	4.4x	4.3x
Holdco Debt/Total Debt (%)	11.3%	15.4%	12.4%	12.4%	11.7%	10.3%	9.3%	0.0%	0.0%
Consolidated Equity Layer (%)	48.2%	45.8%	46.8%	46.1%	44.2%	42.9%	43.0%	43.9%	45.3%
EPS Estimates by Sub									
Oklahoma Gas & Electric	$2.12	$2.33	$2.47	$2.53	$2.67	$2.93	$3.16	$3.39	$3.59
Parent	($0.05)	($0.14)	($0.14)	($0.08)	($0.09)	($0.09)	($0.08)	($0.08)	($0.08)
Consolidated	**$2.07**	**$2.19**	**$2.32**	**$2.45**	**$2.59**	**$2.84**	**$3.07**	**$3.31**	**$3.51**
EPS CAGR (%)					**6.4%**	**8.1%**	**8.2%**	**8.0%**	**7.7%**
Guidance		**2.06-2.18**	**2.21-2.33**	**2.38-2.48**					
Guidance (5-7% off Cons. FY26 Guide Mdpt)									
High				**$2.48**	**$2.60**	**$2.78**	**$2.98**	**$3.19**	**$3.41**
Midpoint		**$2.19**	**$2.27**	**$2.43**	**$2.58**	**$2.73**	**$2.89**	**$3.07**	**$3.25**
Low				**$2.38**	**$2.55**	**$2.68**	**$2.81**	**$2.95**	**$3.10**
Earnings by Sub									
Oklahoma Gas & Electric	426	470	500	528	576	642	717	810	899
Guidance - OGE									
Parent	(11)	(28)	(29)	(16)	(19)	(19)	(19)	(19)	(19)
Guidance - Corp & Other									
Consolidated	**416**	**442**	**471**	**512**	**557**	**624**	**698**	**791**	**880**
Guidance									

Source: Barclays Research Estimates, Company Reports, Bloomberg

FIGURE 74. OGE Fundamental Dashboard: Part 2

Rate Base Metrics (YE RAB)	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E
Oklahoma Gas & Electric	8,700	9,200	9,600	10,453	11,782	13,010	14,663	16,589	18,108
Total Rate Base	**8,700**	**9,200**	**9,600**	**10,453**	**11,782**	**13,010**	**14,663**	**16,589**	**18,108**
Guidance			**9,600**	**10,464**	**11,406**	**12,432**	**13,551**	**14,771**	
CAGR off 2025A 9%				**8.9%**	**10.8%**	**10.7%**	**11.2%**	**11.6%**	**11.6%**
y/y Growth	**6.7%**	**5.7%**	**4.3%**	**8.9%**	**12.7%**	**10.4%**	**12.7%**	**13.1%**	**9.2%**
ROE Metric (Avg RAB)									
Oklahoma Gas & Electric	9.3%	9.3%	9.3%	9.9%	9.7%	9.7%	9.7%	9.7%	9.7%
Capital Structure - Regulatory									
Oklahoma Gas & Electric	53.2%	53.2%	53.2%	53.2%	53.2%	53.2%	53.2%	53.2%	53.2%
Capital Structure - GAAP/LT Debt vs. Equity									
OGE	53.7%	53.6%	53.6%	53.2%	51.9%	51.4%	51.1%	50.7%	51.5%
Cash Flow Metric									
CFO	1,232	813	1,137	1,101	1,199	1,315	1,454	1,621	1,773
Capital Expenditure	1,178	1,091	1,054	1,468	1,973	1,895	2,385	2,732	2,388
CapEx: Current Guide $7.25bn	**Barclays**	**10,452**							
Financing									
ST Debt Issuance, Net	499	(30)	(177)	0	0	0	0	0	0
LT Debt Issuance, Net	(212)	706	312	575	1,025	950	950	950	500
Equity Issuance	(2)	(6)	204	200	226	189	448	624	470
Barclays Equity Needs $Mn	1,688			*2.0%*	*2.3%*	*1.9%*	*4.6%*	*6.4%*	*4.8%*
$mn or /sh data where noted									

Source: Barclays Research Estimates, Company Reports, Bloomberg

Valuation

FIGURE 75. OGE Valuation

OGE SOTP Valuation				Low	Base	High
Small Cap Multiple				12.5x	13.8x	15.2x
Business Segments	**EPS ('29E)**	**Prem/Disc.**	**Base Case Implied Multiple**			
OGE	$3.16	13%	15.6x	$44	$49	$54
Parent	($0.08)	13%	15.6x	($1)	($1)	($1)
Consolidated EPS ('29E)	$3.07					
				15.1x	16.9x	18.7x
Valuation				**$43**	**$48**	**$53**
Market Price					$46.5	
Upside / Downside				-7.5%	3.2%	14.0%
Yield ('26)					3.7%	
Potential Total Return				**-3.9%**	**6.9%**	**17.6%**

Source: Barclays Research Estimates, Company Reports, Bloomberg

WEC Energy Group (WEC): 3Q26 Preview

What We Expect On the 3Q26 Preview: We update estimates and preview the quarter following meetings with management in late September. WEC is building solid momentum going into the end of the year with the Microsoft project ramp, progress with the Lighthouse project, the Wisconsin rate case, and the ATC CCN filing. On the third-quarter call, we expect management to discuss in detail what is next for the Point Beach PPA and how this non-carbon baseload generation could entice a large-load customer that would pay a premium for nuclear assets, de-risking customer rates while commiting to new build for future load ramp in the 2030-2035 window. We exepct MSFT to commit to 500MW a year and another large load customer (400MW total) being added to this upcoming roll-forward. We added 900MW of generation which totals $2.5bn of capex to the plan, and we also added the vantage/ATC transmission project capex worth $600mn in anticipation of WEC increasing capex guidance at its 3Q26 earnings call. The $3.1bn addition to our capex assumption puts our FY28E EPS of $6.58 ~1-4% above the consensus estimate of $6.50. We see an 8%+ outlook achievable for EPS in 2029+ but we do acknowledge management could be conservative in framing the growth rate. We maintain our Equal Weight rating with a new PT of $108.

Key Discussion Points:

- **Point Beach:** The Point Beach 20-year PPA is a pivotal component for WEC to continue to meet grid reliability and generation needs in Wisconsin as economic development in the state drives load growth. As WEC proceeds through the negotiation process with NEE, the initial PPA at the start of negotiations was too high to justify extending the agreement, but as the process continued and WEC considered alternative solutions, such as procuring additional gas generation, the price of the PPA came down considerably, which made signing the PPA a strategic necessity to diversify the energy mix and maintain reliable non-carbon baseload generation. We anticipate that the 1 GW of nuclear baseload energy will be utilized to sign another hyperscaler, as WEC remains in discussions with several large-load customers. We view the signing of the Point Beach PPA as a positive data point for WEC, as this PPA creates an opportunity for the company to provide a non-carbon power solution.

- **Oracle Opportunity Set Continues With Point Beach PPA:** Oracle announced that the company will procure some of its energy for the Vantage/Light House large load project utilizing nuclear energy from the WEC's Point Beach nuclear PPA. In our discussion as well as at the Barclays conference WEC discussed that the PPA could be used to provide nuclear power to a large load customer. The agreement with Oracle to provide power from WEC's PPA would help legacy rate payers by absorbing approximately $300mn in fuel expenses. We expect further updates on this data point when WEC files the PPA with commission.

- **Wisconsin Rate Case:** The rate case is progressing in a constructive manner, and rates are expected to be effective January 1, 2027. WEC believes staff testimony was a constructive starting point for further negotiations. WEC is open to a settlement, but as the rate case progresses through the procedural schedule, a settlement becomes less likely. With that, WEC is not opposed to a rate case outcome that is fully litigated, even though this is an election year that has had its fair share of political rhetoric from both political parties.

- **Governor's Race:** The governor's race in Wisconsin has been quite dramatic, with Democratic candidate David Crowley initially withdrawing before rejoining the race following Sara Rodriguez's exit and subsequently receiving the endorsement of incumbent Governor Evers. . After the August 11 primaries, David Crowley (D) and Tom Tiffany (R) will be on the ballot this coming November 3. David Crowley is generally viewed as a more moderate Democratic candidate and has Evers' endorsement. Tom Tiffany has received President Trump's endorsement. Based on current Marquette polling, David Crowley is leading by 3%, and if he

is elected, we expect him to provide greater continuity with Evers' approach, which we believe would be relatively positive for WEC.

- **Data Centers:** WEC's data center opportunities remain robust, as the company is still working with new large-load customers to drive load growth. The Microsoft and Oracle/Vantage projects are progressing, and WEC currently has 2.6 GW and 1.3 GW in its plan from both customers. The Microsoft project is expected to expand, as the company still has several acres available for development. The Lighthouse project is also progressing, even though ATC had to refile the transmission project with the Wisconsin PSC to receive approval. The filing could take 180 days to go through the approval process, but the commission could also extend the timeline by another 180 days. Even though the Lighthouse transmission project is still pending approval and an ESA, the project is expected to add ~$600mn in capex based on our conversations with the company, which will be paid for by Oracle.

- **Pending Data Center Opportunity:** At the Barclays Energy Conference in September, WEC stated that it was in negotiations with another large-load customer that could represent 400-500 MW of load. The negotiations with this customer are still ongoing and progressing. WEC did not provide a timeline for when it will announce another deal with a large-load customer.

Valuation, EPS & Risks: We decrease our PT to $108 from $117 as we mark to market to a 15.3x large-cap electric peer group multiple of 2028 EPS (from 17.0x). We continue to apply various premiums / discounts to the various business segments to account for historical strength / weakness in the respective regulatory jurisdictions. Our estimates change for the following years because of an increased share count. We are updating our model by adding $3.1bn in capex through 2032 for Vantage transmission project, new large load customer that is expected to be 400MW and MSFT continuing to expand there data center campus and demand more power. We adjust our estimates for FY26E +3c, FY27E +1c, FY28E +1c, FY29E +1c, FY30E -1c. **Risks:** Better/worse than expected regulatory outcomes, inflationary pressures, more equity needs than anticipated and large load project delays.

WEC 3Q Walk

We estimate WEC 3Q26 EPS at $0.97, in line with consensus estimates of $0.97/sh. The positive quarterly drivers are +2c normalized load sales, +1c from fuel, +5c from weather, +2c from WEC infrastructure, +14c from WI rate case, +3c from ATC, and +3c from PTC. The negative drivers in the quarter -3c from interest expense, -5c of D&A, -3c of O&M, and -1c from dilution.

FIGURE 76. WEC 3Q26 Walk

WEC 3Q26 EPS Walk		
3Q25 EPS		$0.83
Weather	Weather benefit in 3Q25	($0.03)
Adjusted Starting Point		**$0.80**
Normalized Load		$0.02
Fuel		$0.01
Weather		$0.05
WEC Infrastructure	Slight increase to PTC rates	$0.02
WI Rate Case		$0.14
MGU		$0.00
Illinois		$0.00
ATC	60% owner	$0.03
Interest Expense		($0.03)
D&A		($0.05)
O&M	O&M better than expected year to date	($0.03)
Other / Tax Timing	recognize the benefit of the PTC	$0.03
Dilution		($0.01)
WEC 3Q26 EPS		**$0.97**
3Q26 Consensus		**$0.97**
FY26 EPS (Barclays)		**$5.62**
FY26 EPS (Consensus)		**$5.60**
FY26 Guidance		**5.51-5.61**
SO 2026		**331**
SO 2025		**326**

Source: Barclays Research, Company Reports, Bloomberg

Fundamental Dashboard

FIGURE 77. WEC Fundamental Dashboard

WEC Dashboard ($mns except per share data)	2022A	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Consolidated EPS (Non-GAAP)	**$4.46**	**$4.63**	**$4.86**	**$5.27**	**$5.62**	**$6.03**	**$6.58**	**$7.24**	**$7.84**
Prior EPS	**$4.46**	**$4.63**	**$4.86**	**$5.27**	**$5.59**	**$5.91**	**$6.40**	**$7.01**	**$7.60**
Consensus EPS	**$4.40**	**$4.61**	**$4.86**	**$5.25**	**$5.60**	**$6.00**	**$6.50**	**$6.99**	**$7.58**
Delta (%)	*1.3%*	*0.5%*	*0.1%*	*0.5%*	*0.4%*	*0.6%*	*1.3%*	*3.5%*	*3.5%*
Shares Outstanding	316	316	318	326	331	343	353	366	380
DPS	$2.90	$3.12	$3.32	$3.53	$3.81	$4.04	$4.28	$4.54	$4.81
DPS Growth (%)	7.4%	7.3%	6.7%	6.1%	8.1%	6.0%	6.0%	6.0%	6.0%
DPS Payout (%)	65%	67%	68%	67%	68%	67%	65%	63%	61%
Valuation Metrics									
P/E	23.3x	22.4x	21.3x	19.7x	18.5x	17.2x	15.8x	14.3x	13.2x
EV/RAB	1.9x	1.8x	1.7x	1.7x	1.6x	1.5x	1.4x	1.3x	1.3x
EBITDA	3,047	3,172	3,507	3,723	4,260	4,940	5,670	6,438	7,208
FFO	2,571	2,941	3,326	3,583	3,538	3,930	4,371	4,609	5,102
Net Debt	17,266	17,491	20,014	21,915	24,032	27,435	30,827	34,180	37,211
FFO/Debt	14.9%	16.8%	16.6%	16.3%	14.7%	14.3%	14.2%	13.5%	13.7%
Net Debt/EBITDA	5.7x	5.5x	5.7x	5.9x	5.6x	5.6x	5.4x	5.3x	5.2x
Holdco Debt/Total Debt (%)	43.2%	44.8%	50.9%	51.2%	50.7%	49.6%	46.0%	43.0%	40.8%
Consolidated Equity Layer (%)	44.0%	43.8%	42.7%	43.2%	42.1%	40.1%	39.6%	39.7%	40.0%
Target FFO/Debt: Greater than or equal to 16% '26-'30									
EPS Estimates by Sub									
WE	$1.25	$1.52	$1.62	$1.93	$2.15	$2.60	$3.21	$3.73	$4.22
WG	$0.35	$0.30	$0.25	$0.33	$0.36	$0.37	$0.38	$0.43	$0.43
WPS	$0.74	$0.82	$0.79	$0.90	$0.96	$1.01	$1.07	$1.12	$1.16
PGL	$0.66	$0.38	$0.71	$0.30	$0.72	$0.74	$0.71	$0.72	$0.74
NSG	$0.06	$0.06	$0.09	$0.08	$0.08	$0.08	$0.07	$0.07	$0.07
MERC	$0.08	$0.10	$0.10	$0.10	$0.10	$0.10	$0.11	$0.09	$0.09
MGU	$0.05	$0.05	$0.07	$0.09	$0.09	$0.09	$0.09	$0.06	$0.06
ATC	$0.64	$0.80	$0.92	$0.48	$0.41	$0.47	$0.57	$0.65	$0.71
WE Power	$0.67	$0.69	$0.68	$0.66	$0.65	$0.63	$0.62	$0.60	$0.58
BlueWater	$0.05	$0.06	$0.05	$0.05	$0.04	$0.04	$0.04	$0.04	$0.04
Infra Business	$0.37	$0.50	$0.57	$0.66	$0.73	$0.69	$0.65	$0.60	$0.57
Parent	($0.47)	($0.65)	($0.98)	($0.62)	($0.67)	($0.80)	($0.91)	($0.87)	($0.82)
Consolidated EPS	**$4.46**	**$4.63**	**$4.86**	**$4.94**	**$5.62**	**$6.03**	**$6.58**	**$7.24**	**$7.84**
Barclays EPS CAGR (%)		**3.9%**	**4.5%**	**3.5%**	**6.0%**	**6.2%**	**8.1%**	**10.2%**	**12.0%**
Guidance	**4.38-4.40**	**4.58-4.62**	**4.80-4.90**	**5.17-5.27**	**5.51-5.61**				
LT Guidance Range: 6.5-7% through '27; '28 to '30 7-8%									
High			**$4.92**	**$5.27**	**$5.59**	**$5.98**	**$6.45**	**$6.97**	**$7.53**
Midpoint	**$4.31**	**$4.60**	**$4.91**	**$5.22**	**$5.57**	**$5.95**	**$6.39**	**$6.87**	**$7.39**
Low			**$4.90**	**$5.17**	**$5.56**	**$5.92**	**$6.34**	**$6.78**	**$7.25**
Guidance EPS CAGR (%)		**6.7%**	**6.7%**	**6.6%**	**6.6%**	**6.7%**	**6.8%**	**8.1%**	**9.4%**

Source: Barclays Research, Company Reports, Bloomberg

Valuation

FIGURE 78. WEC Valuation

WEC SOTP Valuation				Low	Base	High
Average Multiple				13.7x	15.3x	16.8x
Subsidiary	2028 EPS	Prem / Disc Multiple	Implied Base Case Multiple			
WE	$3.21	10.0%	16.8x	$48	$54	$59
WG	$0.38	8.5%	16.6x	$6	$6	$7
WPS	$1.07	10.0%	16.8x	$16	$18	$20
PGL	$0.71	-5.0%	14.5x	$9	$10	$11
NSG	$0.07	-5.0%	14.5x	$1	$1	$1
MERC	$0.11	0.0%	15.3x	$1	$2	$2
MGU	$0.09	0.0%	15.3x	$1	$1	$2
ATC	$0.57	15.0%	17.6x	$9	$10	$11
WE Power	$0.62	10.0%	16.8x	$9	$10	$11
BlueWater	$0.04	0.0%	15.3x	$1	$1	$1
Infra Business	$0.65	-15.0%	13.0x	$8	$8	$9
Parent	($0.91)	0.0%	15.3x	($13)	($14)	($15)
Total	**$6.58**					
Implied P/E Multiple				**14.7x**	**16.4x**	**17.9x**
Valuation				**$97**	**$108**	**$118**
Market Price					$104	
Upside / Downside				-6.5%	4.1%	13.7%
Yield ('27)					3.9%	
Potential Total Return				**-3%**	**8%**	**18%**

Source: Barclays Research, Company Reports, Bloomberg

North America Power & Utilities | POSITIVE

Ameren Corp. (AEE)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	8,799	8,983	9,623	10,341	5.5%
EBITDA (adj)	3,594	3,832	4,341	4,924	11.1%
EBIT (adj)	2,373	2,493	2,798	3,176	10.2%
Pre-tax income (adj)	1,597	1,685	1,860	2,132	10.1%
Net income (adj)	1,456	1,494	1,663	1,911	9.5%
EPS (adj) ($)	5.03	5.34	5.80	6.33	7.9%
Diluted shares (mn)	272	280	287	302	3.5%
DPS ($)	2.82	3.00	3.21	3.43	6.8%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	40.8	42.7	45.1	47.6	44.1
EBIT (adj) margin (%)	27.0	27.8	29.1	30.7	28.6
Pre-tax (adj) margin (%)	18.1	18.8	19.3	20.6	19.2
Net (adj) margin (%)	15.6	16.6	17.3	18.5	17.0
ROE (%)	10.6	10.6	10.4	10.4	10.5

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	13	76	586	899	310.5%
Total assets	48,476	52,437	58,894	64,953	10.2%
Short and long-term debt	19,830	22,330	25,930	28,980	13.5%
Total liabilities	34,946	37,653	41,768	45,352	9.1%
Shareholders' equity	13,530	14,784	17,126	19,601	13.2%
Net debt/(funds)	19,817	22,254	25,344	28,081	12.3%
Cash flow from operations	3,353	3,318	4,002	4,471	10.1%
Capital expenditure	-4,128	-5,515	-7,771	-7,771	N/A
Free cash flow	7,498	8,833	11,773	12,242	17.8%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	21.1	19.9	18.3	16.8	19.0
EV/EBITDA (adj) (x)	13.4	13.2	12.4	11.5	12.6
EV/EBIT (adj) (x)	20.3	20.3	19.2	17.8	19.4
FCF yield (%)	15.6	17.5	21.9	21.7	19.2
Dividend yield (%)	2.7	2.8	3.0	3.2	2.9
Net debt/EBITDA (adj) (x)	5.5	5.8	5.8	5.7	5.7

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	56.1	56.2	55.4	54.3	55.5
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	28,800	32,484	38,210	43,714	35,802
EV/Rate base (x)	1.7	1.6	1.4	1.3	1.5
FFO/Debt (%)	17.2	14.9	15.8	15.9	15.9
Equity Issuance ($mn)	574	600	1,600	1,600	1,094

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 106.08**
Price Target **USD 109.00**

Why EQUAL WEIGHT?

We see AEE as potentially fully valued. We apply a 10% premium to MO and ~7.0% premium to the parent based on historically constructive regulatory outcomes in Missouri. We believe the market is potentially fully valuing upside opportunities associated with increased load.

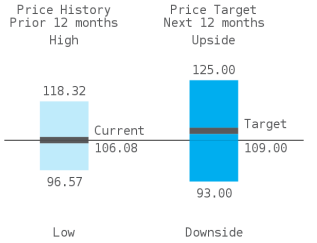
Upside case — USD 125.00

Our upside case assumes a ~24% premium to the group average large-cap multiple, which may be realized if less equity is needed than currently guided to in outer years, and AEE raises capex materially.

Downside case — USD 93.00

Our downside case assumes an ~8% discount to the group average 2028E P/E multiple, which could be realized if supply chain risk delays solar construction plans, and MISO transmission opportunities decline in the future.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

American Water Works Company, Inc. (AWK) | UNDERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	5,140	5,179	5,501	5,846	4.4%
EBITDA (adj)	2,773	2,780	3,070	3,382	6.8%
EBIT (adj)	1,879	1,789	1,976	2,186	5.2%
Pre-tax income (adj)	1,422	1,408	1,561	1,714	6.4%
Net income (adj)	1,111	1,204	1,337	1,468	9.8%
EPS (adj) ($)	5.69	6.06	6.61	7.26	8.4%
Diluted shares (mn)	195	199	202	202	1.2%
DPS ($)	3.25	3.51	3.79	4.10	8.1%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	53.9	53.7	55.8	57.9	55.3
EBIT (adj) margin (%)	36.6	34.6	35.9	37.4	36.1
Pre-tax (adj) margin (%)	27.7	27.2	28.4	29.3	28.1
Net (adj) margin (%)	21.6	23.3	24.3	25.1	23.6
ROE (%)	10.5	10.4	10.6	11.1	10.6

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	98	731	569	490	71.0%
Total assets	35,442	38,734	40,538	43,113	6.7%
Short and long-term debt	15,847	17,497	18,597	20,397	8.8%
Total liabilities	24,605	26,390	27,625	29,560	6.3%
Shareholders' equity	10,837	12,344	12,913	13,553	7.7%
Net debt/(funds)	N/A	N/A	N/A	N/A	N/A
Cash flow from operations	0	0	0	0	N/A
Capital expenditure	-3,126	-3,700	-3,950	-3,950	N/A
Free cash flow	5,368	6,080	5,825	6,849	8.5%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	23.7	22.3	20.4	18.6	21.3
EV/EBITDA (adj) (x)	15.2	15.5	14.4	13.7	14.7
EV/EBIT (adj) (x)	22.4	24.0	22.4	21.1	22.5
FCF yield (%)	12.8	14.1	13.2	14.8	13.7
Dividend yield (%)	2.4	2.6	2.8	3.0	2.7
Net debt/EBITDA (adj) (x)	5.7	6.0	5.9	5.9	5.9

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	57.0	57.9	57.4	56.4	57.2
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	20,936	23,085	25,879	28,694	24,649
EV/Rate base (x)	2.0	1.9	1.7	1.6	1.8
FFO/Debt (%)	13.7	14.2	14.8	14.6	14.3
Equity Issuance ($mn)	0	1,000	0	0	250

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 134.94**
Price Target **USD 127.00**

Why UNDERWEIGHT?

We see the risk-reward skew for AWK as somewhat negative at this time given AWK trades at a strong premium to both water and E&G peers, while the company is progressing through a major transaction with WTRG. We see the market potentially pricing in overly constructive regulatory outcomes and see the potential for downside to shares.

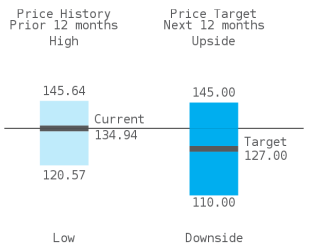
Upside case USD 145.00

Our upside case assumes an 18% premium to the water-group peer average P/E which could be realized if 1) the deal breaks; 2) LDCs are not sold; and 3) more proceeds are diverted to capex and equity financing offsets rather than debt paydown.

Downside case USD 110.00

We assume a ~9% P/E discount to the water-group peer average which could be achieved if 1) the company is unable to offset HOS earnings; 2) M&A processes result in additional concessions to close the transaction 3) the company focuses capital allocation more on debt paydown.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

CenterPoint Energy, Inc. (CNP)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	9,357	9,506	9,910	10,529	4.0%
EBITDA (adj)	3,640	4,158	4,530	5,116	12.0%
EBIT (adj)	2,110	2,443	2,626	3,019	12.7%
Pre-tax income (adj)	1,247	1,524	1,667	1,889	14.8%
Net income (adj)	1,155	1,272	1,413	1,604	11.6%
EPS (adj) ($)	1.76	1.92	2.08	2.30	9.4%
Diluted shares (mn)	656	662	680	697	2.0%
DPS ($)	0.88	0.93	0.99	1.05	6.2%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	38.9	43.7	45.7	48.6	44.2
EBIT (adj) margin (%)	22.5	25.7	26.5	28.7	25.9
Pre-tax (adj) margin (%)	13.3	16.0	16.8	17.9	16.0
Net (adj) margin (%)	12.3	13.4	14.3	15.2	13.8
ROE (%)	9.6	10.8	10.7	11.0	10.5

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	38	796	1,019	95	35.6%
Total assets	46,534	51,363	55,602	59,996	8.8%
Short and long-term debt	21,107	24,507	27,207	29,907	12.3%
Total liabilities	35,381	38,906	41,755	44,626	8.0%
Shareholders' equity	11,153	12,458	13,847	15,371	11.3%
Net debt/(funds)	19,929	23,261	25,738	29,362	13.8%
Cash flow from operations	2,486	3,065	3,569	4,022	17.4%
Capital expenditure	-4,870	-7,040	-7,215	-7,415	N/A
Free cash flow	-2,384	-3,975	-3,646	-3,393	N/A

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	23.0	21.1	19.5	17.6	20.3
EV/EBITDA (adj) (x)	12.5	11.8	11.3	10.8	11.6
EV/EBIT (adj) (x)	21.6	20.0	19.6	18.2	19.9
FCF yield (%)	-5.2	-8.1	-7.1	-6.2	-6.7
Dividend yield (%)	2.2	2.3	2.4	2.6	2.4
Net debt/EBITDA (adj) (x)	5.5	5.6	5.7	5.7	5.6

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	49.7	48.6	47.6	45.6	47.9
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	28,700	33,904	37,221	42,398	35,556
EV/Rate base (x)	1.6	1.4	1.4	1.3	1.4
FFO/Debt (%)	12.7	13.2	13.9	13.7	13.4
Equity Issuance ($mn)	0	650	650	650	488

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026)	**USD 40.55**
Price Target	**USD 41.00**

Why EQUAL WEIGHT?

We rate CNP Equal Weight, largely on accelerated rate base growth and moderated equity need, while also considering a relatively heavy valuation premium vs. peers.

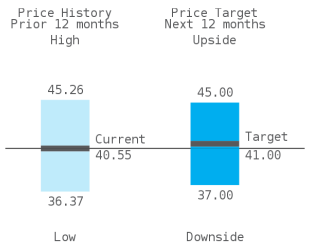
Upside case **USD 45.00**

Better-than-expected upcoming regulatory outcomes, better-than-expected capital plan refresh.

Downside case **USD 37.00**

Worse-than-expected upcoming regulatory outcomes, worse-than-expected capital plan refresh.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

Chesapeake Utilities Corp (CPK)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	930	898	968	1,022	3.2%
EBITDA (adj)	348	361	414	450	9.0%
EBIT (adj)	256	261	302	326	8.4%
Pre-tax income (adj)	193	201	235	253	9.4%
Net income (adj)	141	153	179	194	11.1%
EPS (adj) ($)	6.01	6.34	7.31	7.75	8.9%
Diluted shares (mn)	23	24	25	25	2.1%
DPS ($)	2.58	2.94	3.13	3.39	9.5%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	37.4	40.2	42.8	44.0	41.1
EBIT (adj) margin (%)	27.5	29.0	31.2	31.9	29.9
Pre-tax (adj) margin (%)	20.8	22.3	24.3	24.7	23.0
Net (adj) margin (%)	15.2	17.1	18.5	18.9	17.4
ROE (%)	9.4	8.8	9.1	9.0	9.1

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	2	81	159	254	420.8%
Total assets	3,995	4,367	4,763	5,164	8.9%
Short and long-term debt	1,620	1,730	1,910	2,090	8.9%
Total liabilities	2,396	2,478	2,703	2,928	6.9%
Shareholders' equity	1,599	1,890	2,060	2,237	11.8%
Net debt/(funds)	1,618	1,649	1,751	1,835	4.3%
Cash flow from operations	234	306	345	371	16.6%
Capital expenditure	-449	-430	-430	-430	N/A
Free cash flow	-215	-124	-85	-59	N/A

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	22.0	20.8	18.1	17.1	19.5
EV/EBITDA (adj) (x)	11.4	11.1	9.9	9.3	10.4
EV/EBIT (adj) (x)	15.5	15.4	13.6	12.9	14.3
FCF yield (%)	-5.4	-3.1	-2.1	-1.4	-3.0
Dividend yield (%)	2.0	2.2	2.4	2.6	2.3
Net debt/EBITDA (adj) (x)	4.7	4.6	4.2	4.1	4.4

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	43.0	46.4	42.8	43.8	44.0
Regulated (%)	77.1	79.3	79.7	78.5	78.7
Rate base (RAB) ($mn)	2,016	2,330	2,636	2,932	2,478
EV/Rate base (x)	2.0	1.7	1.6	1.4	1.7
FFO/Debt (%)	16.9	18.6	19.7	20.2	18.8
Equity Issuance ($mn)	20	60	60	60	50

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 132.18**
Price Target **USD 134.00**

Why EQUAL WEIGHT?

We rate CPK as Equal Weight as we see the stock as potentially fully valued. We apply a 10% premium to the regulated segment given a majority of CPK's rate base is in the FL segment, which has seen historically strong regulatory outcomes.

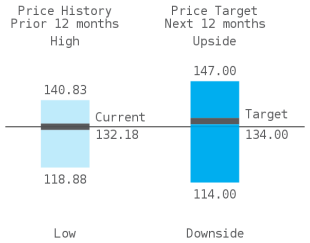
Upside case USD 147.00

Our upside case assumes a ~26% premium to the current price , which could be realized if 1) CPK is able to see sustained customer growth; 2) there is upside to the capital plan; 3) equity needs are limited in the future.

Downside case USD 114.00

Our downside case assumes a ~2% discount to the current price, which could be realized if 1) customer growth slows in the service territories; 2) the company needs incremental equity issuance; 3) unfavorable regulatory outcomes for future rate cases.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

Dominion Energy (D)

OVERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	16,506	17,571	18,689	19,771	6.2%
EBITDA (adj)	6,801	7,709	8,648	9,674	12.5%
EBIT (adj)	4,414	5,031	5,678	6,373	13.0%
Pre-tax income (adj)	3,611	3,848	4,224	4,649	8.8%
Net income (adj)	2,928	3,165	3,472	3,824	9.3%
EPS (adj) ($)	3.42	3.56	3.80	4.07	5.9%
Diluted shares (mn)	855	888	915	940	3.2%
DPS ($)	2.66	2.67	2.67	2.66	0.0%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	41.2	43.9	46.3	48.9	45.1
EBIT (adj) margin (%)	26.7	28.6	30.4	32.2	29.5
Pre-tax (adj) margin (%)	21.9	21.9	22.6	23.5	22.5
Net (adj) margin (%)	17.7	18.0	18.6	19.3	18.4
ROE (%)	10.4	10.4	10.6	10.8	10.6

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	250	864	1,485	1,413	78.1%
Total assets	115,857	125,282	134,988	145,071	7.8%
Short and long-term debt	46,484	52,359	58,459	64,559	11.6%
Total liabilities	82,440	89,372	96,619	103,955	8.0%
Shareholders' equity	33,417	35,911	38,369	41,116	7.2%
Net debt/(funds)	44,609	49,170	54,649	60,821	10.9%
Cash flow from operations	5,361	5,661	6,734	7,506	11.9%
Capital expenditure	-12,641	-11,000	-11,200	-12,600	N/A
Free cash flow	-7,608	-4,589	-4,466	-5,094	N/A

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	18.6	17.8	16.7	15.6	17.2
EV/EBITDA (adj) (x)	14.8	13.6	12.8	12.1	13.3
EV/EBIT (adj) (x)	22.8	20.9	19.5	18.3	20.4
FCF yield (%)	-7.6	-4.4	-4.0	-4.4	-5.1
Dividend yield (%)	4.2	4.2	4.2	4.2	4.2
Net debt/EBITDA (adj) (x)	6.6	6.4	6.3	6.3	6.4

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	77.8	74.9	70.2	65.4	72.1
Regulated (%)	85.0	91.4	86.6	86.6	87.4
Rate base (RAB) ($mn)	59,600	66,927	74,109	82,389	70,756
EV/Rate base (x)	1.7	1.6	1.5	1.4	1.5
FFO/Debt (%)	15.1	14.3	14.8	14.6	14.7
Equity Issuance ($mn)	1,488	1,700	1,425	1,425	1,510

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 63.56**
Price Target **USD 65.00**

Why OVERWEIGHT?

We rate D as Overweight as we see value in shares as D executes on OSW and progresses its merger with NEE. D has a 4.2% dividend yield paired with strong thematic growth tailwind for data-centers.

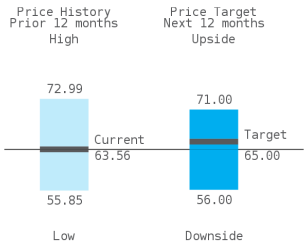
Upside case USD 71.00

Our upside case reflects an 10% consolidated P/E premium for shares, which could happen if investors begin to value VA as a premium jurisdiction and ascribe a 13.0x multiple for nuclear.

Downside case USD 56.00

Our downside case assumes a -15% consolidated P/E discount which could materialize on a dividend cut, fall through in the merger, higher equity than our base case or lower confidence in project execution for DEVs OSW project.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

Emera Inc. (EMA)

EQUAL WEIGHT

Income statement (CA$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	8,776	8,054	8,479	9,018	0.9%
EBITDA (adj)	3,269	3,567	3,801	4,136	8.2%
EBIT (adj)	1,975	2,171	2,314	2,545	8.8%
Pre-tax income (adj)	1,171	1,270	1,339	1,498	8.6%
Net income (adj)	1,045	1,128	1,161	1,278	6.9%
EPS (adj) (CA$)	3.49	3.65	3.66	3.95	4.2%
Diluted shares (mn)	300	309	317	323	2.5%
DPS (CA$)	2.92	2.95	3.00	3.04	1.4%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	37.2	44.3	44.8	45.9	43.1
EBIT (adj) margin (%)	22.5	27.0	27.3	28.2	26.2
Pre-tax (adj) margin (%)	13.3	15.8	15.8	16.6	15.4
Net (adj) margin (%)	11.9	14.0	13.7	14.2	13.4
ROE (%)	7.8	7.9	7.2	7.2	7.5

Balance sheet and cash flow (CA$mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	365	1,693	2,630	3,325	108.9%
Total assets	44,817	48,832	52,073	55,379	7.3%
Short and long-term debt	21,461	23,461	24,961	26,461	7.2%
Total liabilities	31,421	33,505	35,102	36,717	5.3%
Shareholders' equity	13,396	15,327	16,971	18,662	11.7%
Net debt/(funds)	21,096	21,768	22,331	23,136	3.1%
Cash flow from operations	1,802	2,552	2,710	2,967	18.1%
Capital expenditure	3,532	4,020	3,730	4,140	5.4%
Free cash flow	5,284	6,572	6,440	7,107	10.4%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	19.3	18.5	18.4	17.1	18.3
EV/EBITDA (adj) (x)	12.0	11.2	10.7	10.0	11.0
EV/EBIT (adj) (x)	19.9	18.4	17.6	16.3	18.1
FCF yield (%)	N/A	N/A	N/A	N/A	N/A
Dividend yield (%)	4.3	4.4	4.4	4.5	4.4
Net debt/EBITDA (adj) (x)	6.5	6.1	5.9	5.6	6.0

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	83.6	80.8	81.8	76.9	80.8
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) (CA$mn)	28,597	30,612	32,949	35,321	31,870
EV/Rate base (x)	1.4	1.3	1.2	1.2	1.3
FFO/Debt (%)	12.1	11.7	12.1	12.8	12.2
Equity Issuance (CA$mn)	1,458	600	400	400	714

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 47.72**
Price Target **USD 50.00**

Why EQUAL WEIGHT?

We think EMA's premium Florida regulation provides a fair offset to its lingering balance sheet and Nova Scotia political risk.

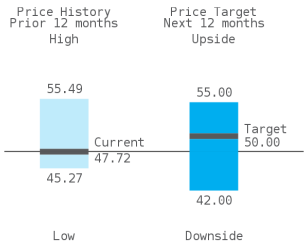
Upside case **USD 55.00**

Our upside case assumes a 10% premium 2028 P/E multiple (applied to our 2028 EPS estimate) to our base case. We assume incremental capex opportunities in Florida and an improved political environment in Nova Scotia.

Downside case **USD 42.00**

Our downside case assumes a 15% discount 2028 P/E target multiple (applied to our 2028 EPS estimate) to our base case. We assume incremental capex opportunities in Florida do not come to fruition and a harsh political environment in Nova Scotia.

Upside/Downside scenarios



North America Power & Utilities — POSITIVE

Emera Inc. (EMA.TO)

EQUAL WEIGHT

Income statement (CA$mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	8,776	8,054	8,479	9,018	0.9%
EBITDA (adj)	3,269	3,567	3,801	4,136	8.2%
EBIT (adj)	1,975	2,171	2,314	2,545	8.8%
Pre-tax income (adj)	1,171	1,270	1,339	1,498	8.6%
Net income (adj)	1,045	1,128	1,161	1,278	6.9%
EPS (adj) (CA$)	3.49	3.65	3.66	3.95	4.2%
Diluted shares (mn)	300	309	317	323	2.5%
DPS (CA$)	2.92	2.95	3.00	3.04	1.4%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	37.2	44.3	44.8	45.9	43.1
EBIT (adj) margin (%)	22.5	27.0	27.3	28.2	26.2
Pre-tax (adj) margin (%)	13.3	15.8	15.8	16.6	15.4
Net (adj) margin (%)	11.9	14.0	13.7	14.2	13.4
ROE (%)	7.8	7.9	7.2	7.2	7.5

Balance sheet and cash flow (CA$mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	365	1,693	2,630	3,325	108.9%
Total assets	44,817	48,832	52,073	55,379	7.3%
Short and long-term debt	21,461	23,461	24,961	26,461	7.2%
Total liabilities	31,421	33,505	35,102	36,717	5.3%
Shareholders' equity	13,396	15,327	16,971	18,662	11.7%
Net debt/(funds)	21,096	21,768	22,331	23,136	3.1%
Cash flow from operations	1,802	2,552	2,710	2,967	18.1%
Capital expenditure	3,532	4,020	3,730	4,140	5.4%
Free cash flow	5,284	6,572	6,440	7,107	10.4%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	19.3	18.5	18.4	17.1	18.3
EV/EBITDA (adj) (x)	12.0	11.2	10.7	10.0	11.0
EV/EBIT (adj) (x)	19.9	18.4	17.6	16.3	18.1
FCF yield (%)	N/A	N/A	N/A	N/A	N/A
Dividend yield (%)	4.3	4.4	4.4	4.5	4.4
Net debt/EBITDA (adj) (x)	6.5	6.1	5.9	5.6	6.0

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	83.6	80.8	81.8	76.9	80.8
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) (CA$mn)	28,597	30,612	32,949	35,321	31,870
EV/Rate base (x)	1.4	1.3	1.2	1.2	1.3
FFO/Debt (%)	12.1	11.7	12.1	12.8	12.2
Equity Issuance (CA$mn)	1,458	600	400	400	714

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026)	**CAD 67.48**
Price Target	**CAD 67.00**

Why EQUAL WEIGHT?

We think EMA's premium Florida regulation provides a fair offset to its lingering balance sheet and Nova Scotia political risk.

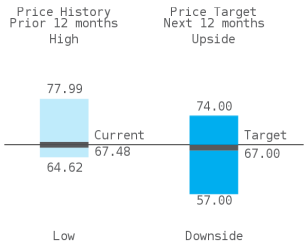
Upside case **CAD 74.00**

Our upside case assumes a 10% premium 2028 P/E multiple (applied to our 2028 EPS estimate) to our base case. We assume incremental capex opportunities in Florida and an improved political environment in Nova Scotia.

Downside case **CAD 57.00**

Our downside case assumes a 15% discount 2028 P/E target multiple (applied to our 2028 EPS estimate) to our base case. We assume incremental capex opportunities in Florida do not come to fruition and a harsh political environment in Nova Scotia.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

Entergy Corp. (ETR)

OVERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	12,947	14,253	16,061	18,945	13.5%
EBITDA (adj)	5,686	6,678	8,119	9,555	18.9%
EBIT (adj)	3,608	4,247	5,232	6,259	20.2%
Pre-tax income (adj)	2,271	2,869	3,522	4,133	22.1%
Net income (adj)	1,758	2,102	2,561	3,013	19.7%
EPS (adj) ($)	3.91	4.47	5.22	5.94	15.0%
Diluted shares (mn)	450	470	491	508	4.1%
DPS ($)	2.39	2.60	2.79	2.98	7.7%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	43.9	46.9	50.5	50.4	47.9
EBIT (adj) margin (%)	27.9	29.8	32.6	33.0	30.8
Pre-tax (adj) margin (%)	17.5	20.1	21.9	21.8	20.4
Net (adj) margin (%)	13.6	14.8	15.9	15.9	15.0
ROE (%)	10.8	11.4	11.9	12.3	11.6

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	1,929	-398	-1,897	65	-67.6%
Total assets	71,891	79,943	92,048	105,739	13.7%
Short and long-term debt	30,935	36,364	44,456	54,632	20.9%
Total liabilities	54,657	60,132	68,895	79,758	13.4%
Shareholders' equity	16,923	19,500	22,842	25,671	14.9%
Net debt/(funds)	N/A	N/A	N/A	N/A	N/A
Cash flow from operations	5,151	4,933	6,472	7,350	12.6%
Capital expenditure	-7,685	-13,165	-16,845	-15,380	N/A
Free cash flow	12,260	18,098	23,317	22,730	22.8%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	26.9	23.5	20.1	17.7	22.1
EV/EBITDA (adj) (x)	13.7	12.8	11.7	10.8	12.2
EV/EBIT (adj) (x)	21.6	20.1	18.1	16.5	19.0
FCF yield (%)	15.8	21.2	24.6	22.1	20.9
Dividend yield (%)	2.3	2.5	2.7	2.8	2.6
Net debt/EBITDA (adj) (x)	5.0	5.4	5.6	5.6	5.4

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	61.1	58.2	53.4	50.2	55.7
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	42,090	52,493	66,122	77,861	59,641
EV/Rate base (x)	1.8	1.6	1.4	1.3	1.6
FFO/Debt (%)	17.7	13.8	14.3	13.7	14.9
Equity Issuance ($mn)	1,136	1,700	2,150	1,320	1,577

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 105.11**
Price Target **USD 115.00**

Why OVERWEIGHT?

We see upside potential in the stock's multiple given limited rate risk and the META transaction, which should drive ETR's EPS growth to one of the highest across the regulated utility sector.

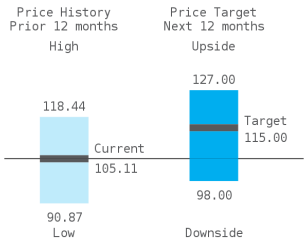
Upside case **USD 127.00**

Upside case reflects ETR trading at a ~40% premium to the blended electric and gas group multiple due to an improving regulatory outlook and positive execution on resilience and load-growth related capex.

Downside case **USD 98.00**

Our downside case applies an ~8% premium to the blended E&G group multiple, and could be realized if ETR sees another cash draw from future hurricanes or cannot fully execute on incremental capex.

Upside/Downside scenarios



North America Power & Utilities — POSITIVE

Essential Utilities, Inc. (WTRG) — UNDERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	2,475	2,569	2,722	2,878	5.2%
EBITDA (adj)	1,338	1,423	1,566	1,712	8.6%
EBIT (adj)	949	994	1,095	1,200	8.1%
Pre-tax income (adj)	620	623	680	738	6.0%
Net income (adj)	616	652	712	772	7.8%
EPS (adj) ($)	2.20	2.28	2.40	2.54	4.9%
Diluted shares (mn)	281	286	297	304	2.7%
DPS ($)	1.33	1.41	1.50	1.59	6.0%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	54.1	55.4	57.5	59.5	56.6
EBIT (adj) margin (%)	38.3	38.7	40.2	41.7	39.7
Pre-tax (adj) margin (%)	25.0	24.3	25.0	25.6	25.0
Net (adj) margin (%)	24.9	25.4	26.2	26.8	25.8
ROE (%)	9.4	8.8	8.3	7.9	8.6

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	35	480	876	1,332	237.0%
Total assets	19,465	20,976	22,502	24,046	7.3%
Short and long-term debt	8,132	8,632	9,132	9,632	5.8%
Total liabilities	12,607	13,062	13,513	13,959	3.5%
Shareholders' equity	6,857	7,999	9,161	10,344	14.7%
Net debt/(funds)	N/A	N/A	N/A	N/A	N/A
Cash flow from operations	1,010	991	1,089	1,187	5.5%
Capital expenditure	-1,430	-1,522	-1,629	-1,629	N/A
Free cash flow	-500	-531	-540	-442	N/A

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	18.6	17.9	17.0	16.1	17.4
EV/EBITDA (adj) (x)	14.4	13.6	12.4	11.4	13.0
EV/EBIT (adj) (x)	20.4	19.5	17.8	16.3	18.5
FCF yield (%)	-2.6	-2.7	-2.8	-2.3	-2.6
Dividend yield (%)	3.3	3.5	3.7	3.9	3.6
Net debt/EBITDA (adj) (x)	6.0	5.7	5.3	4.8	5.5

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	60.7	61.8	62.3	62.5	61.8
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	11,718	12,541	13,686	14,847	13,198
EV/Rate base (x)	1.6	1.5	1.4	1.3	1.5
FFO/Debt (%)	13.4	12.2	13.2	14.3	13.3
Equity Issuance ($mn)	315	315	315	315	315

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 40.83**
Price Target **USD 40.00**

Why UNDERWEIGHT?

WTRG operates in a diversified set of jurisdictions within the water, waste water and gas business in PA, IL, OH, TX, NC, NJ, IN, VA, and KY. The company operates ~75% of its rate base in a historically constructive jurisdiction in PA.

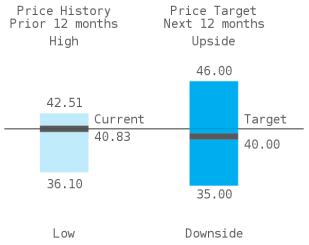
Upside case — USD 46.00

Our upside value is a ~21% premium to our base case of WTRG executing on pending rate cases in OH, VA, TX, and NC, as well as the pending rate case in PA that is expected to be filed in 2026 for WTRG water/waste water and gas business.

Downside case — USD 35.00

Our downside value is a ~6% discount to current price is based on the pending filing of the PA rate case in 2026 and the regulatory environment becoming less constructive yielding a less than favorable outcome for WTRG that will negatively impact LT EPS CAGR and credit metrics.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

Evergy Inc. (EVRG) | OVERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	5,962	6,472	6,918	7,424	7.6%
EBITDA (adj)	2,696	3,013	3,356	3,751	11.6%
EBIT (adj)	1,507	1,712	1,938	2,214	13.7%
Pre-tax income (adj)	891	1,045	1,167	1,348	14.8%
Net income (adj)	894	1,008	1,124	1,296	13.2%
EPS (adj) ($)	3.83	4.22	4.52	4.91	8.7%
Diluted shares (mn)	234	239	249	264	4.1%
DPS ($)	2.73	2.81	2.96	3.10	4.3%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	45.2	46.6	48.5	50.5	47.7
EBIT (adj) margin (%)	21.0	22.9	24.8	27.1	24.0
Pre-tax (adj) margin (%)	14.9	16.1	16.9	18.2	16.5
Net (adj) margin (%)	15.0	15.6	16.3	17.5	16.1
ROE (%)	8.8	9.3	9.4	9.7	9.3

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	20	24	291	682	225.4%
Total assets	33,949	36,520	39,977	43,545	8.7%
Short and long-term debt	13,209	14,616	16,866	18,966	12.8%
Total liabilities	23,681	25,103	27,359	29,464	7.6%
Shareholders' equity	10,221	11,371	12,572	14,035	11.1%
Net debt/(funds)	14,780	16,034	18,016	19,475	9.6%
Cash flow from operations	2,045	2,245	2,474	2,759	10.5%
Capital expenditure	-2,797	-3,806	-4,545	-4,651	N/A
Free cash flow	4,615	6,053	7,020	7,409	17.1%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	21.8	19.7	18.4	17.0	19.2
EV/EBITDA (adj) (x)	12.6	11.7	11.1	10.3	11.4
EV/EBIT (adj) (x)	22.5	20.6	19.2	17.5	19.9
FCF yield (%)	13.6	17.2	18.9	19.2	17.2
Dividend yield (%)	3.3	3.4	3.5	3.7	3.5
Net debt/EBITDA (adj) (x)	5.5	5.3	5.4	5.2	5.3

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	68.6	66.7	65.4	63.2	66.0
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	20,700	23,223	26,368	29,766	25,014
EV/Rate base (x)	1.6	1.5	1.4	1.3	1.5
FFO/Debt (%)	13.9	14.0	13.7	14.2	13.9
Equity Issuance ($mn)	0	825	825	1,000	663

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 83.30**
Price Target **USD 86.00**

Why OVERWEIGHT?

We see the risk-reward skew improving as the company moves past the unconstructive rate outcome in Kansas and see an executable path for EVRG's new 6-8%+ LT EPS growth rate provided on the 4Q call.

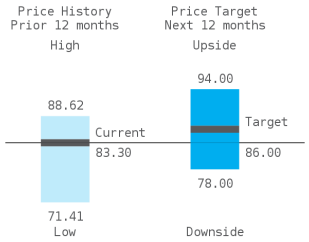
Upside case USD 94.00

Our upside case assumes a ~29% premium to the group average large-cap electric multiple which could be realized if 1) EVRG sees better-than-expected reg outcomes in KS / MO, 2) Management is able to execute on load opps, 3) EVRG is able to hit/exceed 6-8%+ EPS growth targets.

Downside case USD 78.00

Our downside case assumes a ~8% premium to the group average 2028E P/E multiple which could be realized if 1) EVRG sees unfavorable regulatory outcomes in KS and MO, 2) is unable to execute on weather offsets, 3) is unable to execute on load opportunities and associated capex

Upside/Downside scenarios



North America Power & Utilities POSITIVE

H2O AMERICA (HTO) OVERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	801	815	860	931	5.1%
EBITDA (adj)	293	345	388	458	16.0%
EBIT (adj)	188	227	257	312	18.5%
Pre-tax income (adj)	115	142	164	211	22.4%
Net income (adj)	102	120	139	179	20.5%
EPS (adj) ($)	2.99	2.79	2.82	3.53	5.7%
Diluted shares (mn)	35	43	49	51	13.0%
DPS ($)	1.68	1.76	1.85	1.94	5.0%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	36.6	42.3	45.2	49.2	43.3
EBIT (adj) margin (%)	23.4	27.8	29.9	33.6	28.7
Pre-tax (adj) margin (%)	14.4	17.4	19.1	22.7	18.4
Net (adj) margin (%)	13.1	14.7	16.2	19.2	15.8
ROE (%)	7.2	6.6	6.3	7.6	6.9

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	21	24	59	16	-8.5%
Total assets	5,150	6,054	6,467	6,813	9.8%
Short and long-term debt	1,890	2,215	2,415	2,640	11.8%
Total liabilities	3,609	3,944	4,157	4,398	6.8%
Shareholders' equity	1,541	2,110	2,310	2,415	16.2%
Net debt/(funds)	1,870	2,191	2,357	2,624	12.0%
Cash flow from operations	245	252	287	344	12.0%
Capital expenditure	-520	-483	-513	-538	N/A
Free cash flow	765	1,275	800	882	4.9%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	19.3	20.7	20.4	16.3	19.2
EV/EBITDA (adj) (x)	13.3	12.2	11.3	10.2	11.7
EV/EBIT (adj) (x)	20.8	18.6	17.1	14.9	17.8
FCF yield (%)	19.6	30.2	18.2	19.0	21.8
Dividend yield (%)	2.9	3.1	3.2	3.4	3.1
Net debt/EBITDA (adj) (x)	6.4	6.4	6.1	5.7	6.1

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	56.1	63.2	65.6	55.0	60.0
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	2,597	3,169	3,762	4,125	3,413
EV/Rate base (x)	1.5	1.3	1.2	1.1	1.3
FFO/Debt (%)	12.2	11.5	12.2	13.1	12.2
Equity Issuance ($mn)	123	525	152	25	206

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 57.69**
Price Target **USD 65.00**

Why OVERWEIGHT?

We see HTO's Quadvest transaction as to the long-term EPS growth rate (6-8%) and earnings mix, shifting the company away from less constructive jurisdictions in New England with greater exposure to Texas and California. With the shares currently at a discounted valuation, HTO is our preferred way to play the water sector.

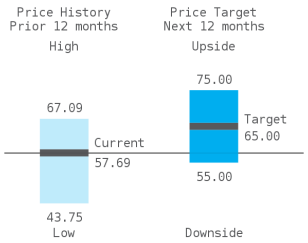
Upside case USD 75.00

Our upside case assumes a ~15% premium to the water peer group average, which could be achieved if 1) HTO needs less equity than expected, 2) Quadvest growth is quicker than anticipated, 3) the company sees strong regulatory outcomes for all rate cases.

Downside case USD 55.00

Our downside case assumes a ~15% discount to the water water peer group average of 2028E P/E, which could be realized if 1) the company sees unfavorable rate outcomes, 2) there is more depreciation / financing drag than we currently expect, 3) reduced M&A opportunity in the future.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

NextEra Energy, Inc. (NEE)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	27,412	32,245	34,655	37,566	11.1%
EBITDA (adj)	14,860	23,322	26,671	30,642	27.3%
EBIT (adj)	8,280	11,849	13,136	14,837	21.5%
Pre-tax income (adj)	4,530	7,550	7,631	9,155	26.4%
Net income (adj)	7,683	8,496	9,246	10,290	10.2%
EPS (adj) ($)	3.71	4.07	4.37	4.81	9.1%
Diluted shares (mn)	2,071	2,088	2,116	2,139	1.1%
DPS ($)	2.26	2.49	2.64	2.80	7.4%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	54.2	60.1	62.3	64.6	60.3
EBIT (adj) margin (%)	30.2	36.7	37.9	39.5	36.1
Pre-tax (adj) margin (%)	16.5	23.4	22.0	24.4	21.6
Net (adj) margin (%)	28.0	26.3	26.7	27.4	27.1
ROE (%)	12.1	11.7	11.0	10.8	11.4

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	2,812	96	2,044	4,382	15.9%
Total assets	212,721	233,831	260,798	290,418	10.9%
Short and long-term debt	92,119	97,295	106,795	116,295	8.1%
Total liabilities	146,242	155,299	171,758	188,273	8.8%
Shareholders' equity	66,479	78,532	89,040	102,145	15.4%
Net debt/(funds)	78,262	86,154	93,706	100,868	8.8%
Cash flow from operations	12,485	14,800	15,876	18,084	13.1%
Capital expenditure	-24,051	-36,000	-34,500	-37,500	N/A
Free cash flow	36,350	40,837	43,126	48,584	10.2%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	21.5	19.6	18.3	16.6	19.0
EV/EBITDA (adj) (x)	16.3	10.7	9.7	8.7	11.3
EV/EBIT (adj) (x)	29.3	21.1	19.6	17.9	22.0
FCF yield (%)	15.0	16.3	16.7	18.3	16.6
Dividend yield (%)	2.8	3.1	3.3	3.5	3.2
Net debt/EBITDA (adj) (x)	4.4	3.7	3.5	3.3	3.7

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	60.9	61.2	60.5	58.2	60.2
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	75,000	82,922	88,436	96,552	85,728
EV/Rate base (x)	3.2	3.0	2.9	2.7	3.0
FFO/Debt (%)	17.1	17.9	17.6	18.5	17.8
Equity Issuance ($mn)	2,038	1,970	2,600	2,000	2,152

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 79.80**
Price Target **USD 84.00**

Why EQUAL WEIGHT?

We see NEE as a high-quality way to invest in US renewable power trends and US utilities at a sector high DPS / EPS growth offering. It commands 20% market share in the US renewables space and operates in some of the most constructive regulatory jurisdictions (FL), but we think the stock skews are mostly fair value and are EW.

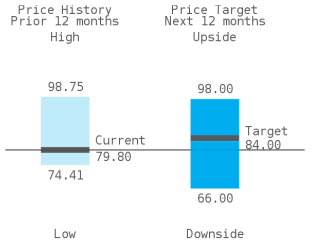
Upside case — USD 98.00

If the market starts to subscribe more meaningful development value for NEE's data-center opportunity, or provides greater premium value than our current 20% P/E premium on FP&L, then our upside case could be realized.

Downside case — USD 66.00

If the market begins to value FP&L at an average multiple due to unconstructive rate outcomes, or if investors begin to not value the tax credits as true forward EBITDA, we see it more likely our downside price could be realized.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

NiSource, Inc. (NI) | OVERWEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	6,642	7,534	8,061	8,627	9.1%
EBITDA (adj)	3,003	3,323	3,653	3,986	9.9%
EBIT (adj)	1,835	2,052	2,286	2,524	11.2%
Pre-tax income (adj)	1,216	1,347	1,520	1,697	11.7%
Net income (adj)	903	984	1,094	1,213	10.3%
EPS (adj) ($)	1.90	2.06	2.26	2.54	10.0%
Diluted shares (mn)	475	484	498	510	2.4%
DPS ($)	1.12	1.20	1.27	1.35	6.4%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	45.2	44.1	45.3	46.2	45.2
EBIT (adj) margin (%)	27.6	27.2	28.4	29.3	28.1
Pre-tax (adj) margin (%)	18.3	17.9	18.9	19.7	18.7
Net (adj) margin (%)	13.6	13.1	13.6	14.1	13.6
ROE (%)	8.1	8.2	8.5	8.7	8.4

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	136	543	734	1,165	104.8%
Total assets	35,859	39,423	42,435	45,553	8.3%
Short and long-term debt	16,214	18,367	19,770	21,173	9.3%
Total liabilities	24,199	26,960	29,012	31,104	8.7%
Shareholders' equity	9,450	10,253	11,214	12,239	9.0%
Net debt/(funds)	16,078	17,449	19,036	20,007	7.6%
Cash flow from operations	2,362	2,863	3,109	3,364	12.5%
Capital expenditure	-2,782	-4,000	-3,800	-3,800	N/A
Free cash flow	-2,162	-1,565	-1,079	-784	N/A

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	22.4	20.7	18.9	16.8	19.7
EV/EBITDA (adj) (x)	12.2	11.4	10.8	10.2	11.2
EV/EBIT (adj) (x)	20.0	18.5	17.3	16.1	18.0
FCF yield (%)	-5.9	-4.1	-2.7	-1.9	-3.7
Dividend yield (%)	2.6	2.8	3.0	3.2	2.9
Net debt/EBITDA (adj) (x)	5.4	5.3	5.2	5.0	5.2

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	58.7	58.3	56.3	53.1	56.6
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	25,023	26,816	29,272	31,193	28,076
EV/Rate base (x)	1.5	1.4	1.4	1.3	1.4
FFO/Debt (%)	25.0	17.8	17.5	17.8	19.5
Equity Issuance ($mn)	312	400	500	500	428

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 42.68**
Price Target **USD 44.00**

Why OVERWEIGHT?

We believe NI's premium asset given wide availability of capital tracker mechanisms across the company's six-state footprint, along with exposure to one of the highest growth GenCo DC offerings in the space, warrants an OW rating on shares.

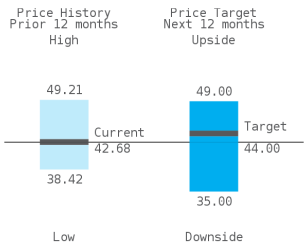
Upside case — USD 49.00

We see upside scenario could be achieved if: 1) NI realizes its capex upside outside of current capital plan; 2) NI is able to receive constructive rate case outcome for current regulatory processes.

Downside case — USD 35.00

We see down scenario if: 1) NI is not able to realize its capex upside outside of current capital plan; 2) NI is not able to receive constructive rate case outcome for current regulatory processes.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

OGE Energy Corp. (OGE)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	3,260	3,481	3,768	4,080	7.8%
EBITDA (adj)	1,359	1,446	1,601	1,772	9.2%
EBIT (adj)	895	999	1,122	1,410	16.4%
Pre-tax income (adj)	561	608	665	745	10.0%
Net income (adj)	471	512	557	624	9.8%
EPS (adj) ($)	2.32	2.45	2.59	2.84	6.9%
Diluted shares (mn)	203	209	216	220	2.7%
DPS ($)	1.72	1.71	1.73	1.75	0.6%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	41.7	41.6	42.5	43.4	42.3
EBIT (adj) margin (%)	N/A	N/A	N/A	N/A	N/A
Pre-tax (adj) margin (%)	17.2	17.5	17.7	18.3	17.6
Net (adj) margin (%)	14.4	14.7	14.8	15.3	14.8
ROE (%)	9.8	9.9	10.1	10.5	10.1

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	0	52	157	332	1083.8%
Total assets	14,371	15,320	16,777	18,178	8.2%
Short and long-term debt	5,661	6,236	7,261	8,211	13.2%
Total liabilities	9,393	9,987	11,033	12,007	8.5%
Shareholders' equity	4,977	5,333	5,744	6,171	7.4%
Net debt/(funds)	N/A	N/A	N/A	N/A	N/A
Cash flow from operations	1,137	1,101	1,199	1,315	5.0%
Capital expenditure	-1,054	-1,468	-1,973	-1,895	N/A
Free cash flow	10	-367	-774	-580	N/A

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	20.5	19.4	18.4	16.7	18.8
EV/EBITDA (adj) (x)	11.2	10.9	10.4	5.4	9.5
EV/EBIT (adj) (x)	17.0	15.7	14.8	6.8	13.6
FCF yield (%)	0.1	-2.3	-4.6	-6.1	-3.2
Dividend yield (%)	3.6	3.6	3.6	3.7	3.6
Net debt/EBITDA (adj) (x)	4.2	4.3	4.4	0.0	3.2

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	72.6	69.6	66.9	0.0	52.3
Regulated (%)	100.0	100.0	100.0	N/A	100.0
Rate base (RAB) ($mn)	9,600	10,453	11,782	13,010	11,211
EV/Rate base (x)	1.6	1.5	1.4	0.7	1.3
FFO/Debt (%)	17.8	17.8	16.9	16.7	17.3
Equity Issuance ($mn)	204	200	226	189	205

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 47.53**
Price Target **USD 48.00**

Why EQUAL WEIGHT?

We rate OGE Equal Weight as we see the companies premium plan as appropriately valued at the current 2.0x premium to peers on FY29. OGE's rate base is accelerating from large load ly, but also has higher than average equity needs to fund growth where future RFP wins also seem reflected in current consensus expectations.

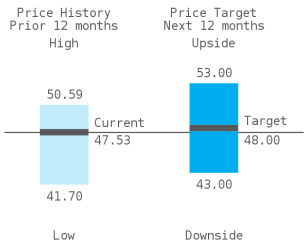
Upside case USD 53.00

Our upside case assumes a ~34% premium to the small-cap electric peer group average of 13.8x, which could be realized if 1) robust load growth trends continue, 2) large load customer agreements come through, 3) RFP and IRP are executed to the fullest extent.

Downside case USD 43.00

Our downside case assumes OGE trades at a ~9% premium to the small-cap electric peer group, which could be realized if 1) load growth moderates, 2) there are continued delays/cost headwinds for power assets, 3) the company sees an unconstructive regulatory outcome.

Upside/Downside scenarios



North America Power & Utilities | POSITIVE

WEC Energy Group, Inc. (WEC)

EQUAL WEIGHT

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	9,800	10,515	11,501	12,595	8.7%
EBITDA (adj)	3,723	4,260	4,940	5,670	15.0%
EBIT (adj)	2,569	2,998	3,537	4,143	17.3%
Pre-tax income (adj)	1,674	2,372	2,615	2,918	20.4%
Net income (adj)	1,716	1,863	2,068	2,326	10.7%
EPS (adj) ($)	5.27	5.62	6.03	6.58	7.7%
Diluted shares (mn)	326	331	343	353	2.8%
DPS ($)	3.53	3.81	4.04	4.28	6.7%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	38.0	40.5	43.0	45.0	41.6
EBIT (adj) margin (%)	26.2	28.5	30.8	32.9	29.6
Pre-tax (adj) margin (%)	17.1	22.6	22.7	23.2	21.4
Net (adj) margin (%)	17.5	17.7	18.0	18.5	17.9
ROE (%)	12.8	12.4	12.2	12.4	12.5

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	28	1,747	2,630	1,968	314.7%
Total assets	51,518	57,349	64,434	70,103	10.8%
Short and long-term debt	21,942	26,629	31,765	35,345	17.2%
Total liabilities	37,466	41,359	46,635	50,367	10.4%
Shareholders' equity	13,614	15,583	17,392	19,329	12.4%
Net debt/(funds)	N/A	N/A	N/A	N/A	N/A
Cash flow from operations	3,379	3,538	3,930	4,371	9.0%
Capital expenditure	-4,398	-5,628	-7,925	-8,225	N/A
Free cash flow	8,254	9,166	11,855	12,596	15.1%

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	20.6	19.3	18.0	16.5	18.6
EV/EBITDA (adj) (x)	15.1	13.7	12.5	N/A	13.8
EV/EBIT (adj) (x)	21.9	19.5	17.5	N/A	19.6
FCF yield (%)	14.7	15.7	19.2	N/A	16.5
Dividend yield (%)	3.2	3.5	3.7	3.9	3.6
Net debt/EBITDA (adj) (x)	5.9	5.6	5.6	N/A	5.7

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	66.9	67.8	66.9	0.0	50.4
Regulated (%)	86.6	87.0	88.6	N/A	87.4
Rate base (RAB) ($mn)	33,545	37,401	42,216	48,120	40,320
EV/Rate base (x)	1.7	1.6	1.5	N/A	1.6
FFO/Debt (%)	16.3	14.7	14.3	14.2	14.9
Equity Issuance ($mn)	761	1,100	1,125	1,125	1,028

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 108.71**
Price Target **USD 108.00**

Why EQUAL WEIGHT?

We view WEC as fairly valued. We apply our large-cap electric group multiple to the name, with various premiums and discounts to the subs to reflect the growth outlook. We see the potential for the EPS CAGR to inflect upward but see this opp largely priced in at this time.

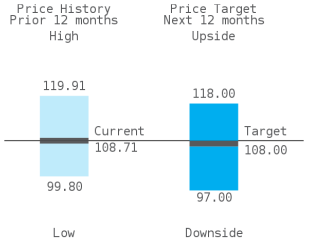
Upside case USD 118.00

Our upside case assumes a ~18% premium to the large-cap utility multiple which could be realized if 1) constructive regulatory outcomes continue, 2) incremental capex opportunity, 3) Constructive VLC tariff outcome

Downside case USD 97.00

Our downside case assumes a ~3% discount to the large-cap utility multiple which could be realized if 1) WEC sees unconstructive rate outcomes for future rate cases, 2) sales growth slows, 3) more equity than expected.

Upside/Downside scenarios



North America Power & Utilities **POSITIVE**

Exelon Corporation (EXC) **EQUAL WEIGHT**

Income statement ($mn)	2025A	2026E	2027E	2028E	CAGR
Revenue	24,258	25,152	26,078	27,153	3.8%
EBITDA (adj)	8,788	9,381	10,022	10,783	7.1%
EBIT (adj)	5,418	5,779	6,170	6,668	7.2%
Pre-tax income (adj)	3,291	3,462	3,705	4,053	7.2%
Net income (adj)	2,804	2,902	3,105	3,403	6.7%
EPS (adj) ($)	2.77	2.83	2.98	3.22	5.2%
Diluted shares (mn)	1,014	1,025	1,043	1,056	1.4%
DPS ($)	1.59	1.68	1.76	1.85	5.1%

Margin and return data	2025A	2026E	2027E	2028E	Average
EBITDA (adj) margin (%)	36.2	37.3	38.4	39.7	37.9
EBIT (adj) margin (%)	22.3	23.0	23.7	24.6	23.4
Pre-tax (adj) margin (%)	13.6	13.8	14.2	14.9	14.1
Net (adj) margin (%)	11.6	11.5	11.9	12.5	11.9
ROE (%)	10.1	9.7	9.8	10.1	9.9

Balance sheet and cash flow ($mn)	2025A	2026E	2027E	2028E	CAGR
Cash and equivalents	1,151	2,186	1,578	859	-9.3%
Total assets	116,570	123,131	128,476	134,046	4.8%
Short and long-term debt	50,080	54,604	58,153	61,727	7.2%
Total liabilities	87,772	92,303	95,873	99,485	4.3%
Shareholders' equity	28,798	30,828	32,603	34,561	6.3%
Net debt/(funds)	48,929	52,418	56,575	60,868	7.5%
Cash flow from operations	6,254	6,782	7,248	7,827	7.8%
Capital expenditure	-8,529	-9,400	-10,075	-10,675	N/A
Free cash flow	-2,271	-2,618	-2,827	-2,847	N/A

Valuation and leverage metrics	2025A	2026E	2027E	2028E	Average
P/E (adj) (x)	15.7	15.4	14.6	13.5	14.8
EV/EBITDA (adj) (x)	10.5	10.2	10.0	9.7	10.1
EV/EBIT (adj) (x)	17.0	16.6	16.2	15.6	16.4
FCF yield (%)	-2.5	-2.7	-2.8	-2.7	-2.7
Dividend yield (%)	3.7	3.9	4.1	4.3	4.0
Net debt/EBITDA (adj) (x)	5.6	5.6	5.6	5.6	5.6

Selected operating metrics	2025A	2026E	2027E	2028E	Average
Payout ratio (%)	57.7	59.3	59.3	57.5	58.4
Regulated (%)	100.0	100.0	100.0	100.0	100.0
Rate base (RAB) ($mn)	64,500	69,857	75,626	81,714	72,924
EV/Rate base (x)	1.4	1.4	1.3	1.3	1.3
FFO/Debt (%)	14.0	13.8	13.7	13.9	13.8
Equity Issuance ($mn)	691	850	510	510	640

Note: FY End Dec
Source: Company data, Bloomberg, Barclays Research

Price (16-Oct-2026) **USD 43.50**
Price Target **USD 44.00**

Why EQUAL WEIGHT?

EXC's 5-7% utility EPS growth pared with an increasing challenged reg environment in MD, PA, and IL keeps an long term over-hang on the stock, along with the balance sheet that we think will keep shares at a discount to the Utility sector P/E average.

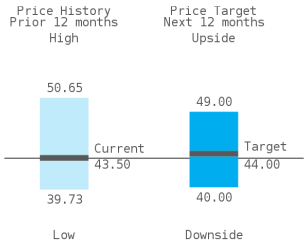
Upside case **USD 49.00**

Our upside case assumes an inline multiple P/E premium to the blended base case electric/gas group average, which could be realized on better than expected regulatory execution.

Downside case **USD 40.00**

Our downside case assumes a ~-20% P/E discount to the blended base case electric/gas group average, which could be realized on worse than expected regulatory outcomes.

Upside/Downside scenarios



Valuation Methodology and Risks

North America Power & Utilities

Ameren Corp. (AEE / AEE)

Valuation Methodology: Our PT of $109 is based on a P/E multiple approach on 2028E EPS. We apply a 10% premium to the MO and ~7.0% premium to the parent segments given historically strong regulatory outcomes in MO and robust investment opportunity in the state. Additionally, we apply a 10% premium to the FERC Tx segment.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Better/worse than expected regulatory outcomes, reduced MISO awards in tranche 2, and inflationary pressures.

American Water Works Company, Inc. (AWK / AWK)

Valuation Methodology: Our PT is $127 and is based on a P/E approach and SOTP. We apply a P/E multiple to 2028E EPS. We apply a 0% premium to AWK and 24% premium to WTRGs gas business assuming it is sold; We further incorporate the benefits of debt paydown via selling the LDCs and deploying additional proceeds to CapEx and equity needs offsets, which replaces the value of the gas asset base in our valuation.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Better/worse than expected regulatory outcomes, inflationary pressures, increased regulation, inability to offset earnings when HOS note expires.

CenterPoint Energy, Inc. (CNP / CNP)

Valuation Methodology: We value CNP at $41 on a SOTP basis, applying relative premiums/discounts to 2028E P/E multiples for regulated electric and gas peers. We apply a 15% premium across HE, Sigeco, CERC and Parent, as we expect the overall portfolio to deliver higher-than-average asset base growth, while we see limited external financing needs with the recent LDC sale and potential for valuation-accretive catalysts for the CEHE portfolio via capex growth.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Better-than-expected regulatory outcomes, specifically the Indiana rate case. Interest rates and commodity risk volatility. Asset sales above CNP's current trading multiple. Acceleration of CapEx investments above our current estimates.

Chesapeake Utilities Corp (CPK / CPK)

Valuation Methodology: Our PT of $134 is based on a sum-of-the-parts analysis. We apply a 15% premium to the regulated energy segment given a large portion of CPK's rate base is in Florida, which historically is a strong regulatory jurisdiction.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Better-/worse-than-expected regulatory outcomes, climate change, greater-than-expected equity needs.

Dominion Energy (D / D)

Valuation Methodology: We use a Sum-of-the Parts approach to derive our PT of $65. We use relative P/E multiples for our utility valuation approach while we value Millstone with an EV/EBITDA approach. We apply an inline multiple to the electric group multiple on 2028E for VEPCO and a 10% premium for DESC. At Millstone, we apply a 13.0x EV/EBITDA multiple, inline with where we see nuclear being valued in the current market.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: OSW execution, worse than expected regulatory outcomes, MtM of power prices which could be higher / lower vs. our core assumptions.

Emera Inc. (EMA / EMA)

Valuation Methodology: Our price target for EMA is $50/share USD. We value Florida Electric (Tampa Electric) at a 10% premium to our large cap peer utility 2028 P/E trading multiple (applied to our 2028 EPS estimate) given its above-average ROE and equity ratio, and forward test years. We also apply a 10% premium to the Gas Utilities & Infrastructure business given Peoples Gas' above-average ROE and equity ratio, and forward test years. We do not assign any premium to the Canadian electric utilities (mostly Nova Scotia Power) due to the harsh Nova Scotia political environment and regulatory lag. We also model a 5% discount to the small "Other Electric Utilities" (Caribbean) segment.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Primary risks to our price target include better or worse than expected regulatory outcomes, political environment, sales growth, and cost control. Significant concessions made to close the CU acquisition could pose a risk. Failure to successfully integrate the acquired company is also a risk.

Emera Inc. (EMA CN / EMA.TO)

Valuation Methodology: Our price target for EMA.TO is $67/share CAD. We value the Florida Electric Utility (Tampa Electric) at a 10% premium to our large cap peer utility 2028 P/E trading multiple (applied to our 2028 EPS estimate) given its above-average ROE and equity ratio, and forward test years. We also apply a 10% premium to the Gas Utilities & Infrastructure business given Peoples Gas' above-average ROE and equity ratio, and forward test years. We do not assign any premium to the Canadian electric utilities (mostly Nova Scotia Power) due to the harsh Nova Scotia political environment and regulatory lag. We also model a 5% discount to the small "Other Electric Utilities" (Caribbean) segment.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Primary risks to our price target include better or worse than expected regulatory outcomes, political environment, sales growth, and cost control. Significant concessions made to close the CU acquisition could pose a risk. Failure to successfully integrate the acquired company is also a risk.

Entergy Corp. (ETR / ETR)

Valuation Methodology: Our price target of $115 is based on a SOTP analysis. We value Arkansas on a 15% P/E premium given a supportive regulator and formula rates in this state. We are also applying a 35% premium to LA, a 15% premium to MS, a 15% premium in TX, and a 15% premium to New Orleans, a 10% premium to SERI, and 15% premium to the parent to account for different historical regulatory outcomes in the various jurisdictions.

Valuation Methodology and Risks

Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Better- or worse-than-expected regulatory outcomes in LA, which makes up a large portion of rate base; hurricanes where ETR's service territory has proved more susceptible to storms and damages; natural disaster risks associated with operating a nuclear facility (Grand Gulf).

Essential Utilities, Inc. (WTRG / WTRG)

Valuation Methodology: Our valuation of WTRG is based 90% on our assumption the transaction with AWK closes (0.305 share exchange) and a 10% chance that the deal does not close, in which we would then value the stock at an inline multiple on 2028 EPS of $2.53. This produces a price target of $40/sh.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: WTRG can impacted by a positive rate case outcome, and improved credit metrics at the parent .

Evergy Inc. (EVRG / EVRG)

Valuation Methodology: Our PT is $86 and based on a P/E approach. We apply a P/E multiple to 2028E EPS where we apply a 10% premium to EVRG based on load opportunity, potential for incremental capex via generation need and the newly refreshed EPS growth rate that is now largely in-line with quality peers.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Better/worse than expected regulatory outcomes in KS and MO, inflationary headwinds, unfavorable weather trends.

Exelon Corporation (EXC / EXC)

Valuation Methodology: We value EXC at $44 on a sum of the parts basis, achieved by valuing each segment on P/E. We apply a large cap utility group regulated multiple based on proportional weighting of EXC rate base. Our base electric multiple is 15.3x, gas multiple is 14.7x, and transmission multiple is 16.3x on 2028E. We ascribe a 1.0x premium to the group electric multiple for EXC's transmission business due to formula rates and tracked capital. EXC's proportional rate base is 62.6%/23.2%/14.2% weighted towards electric/transmission/gas, with in line multiples ascribed across the business (aside from ComEd's distribution biz); given EXC's formula rates, fragmented capital plan, jurisdictional diversity, and less carbon transition risk, we apply a blended multiple of 15.4x for the base case. We are applying a discount to ComEd of -10%, PECO -15%, PEPCO -10%, BGE -15%, and the remaining co at -7.5%
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Downside risks: Failure to achieve constructive rate outcomes in the upcoming rate cases across service jurisdictions; EXC's balance sheet is below peers, which leaves less financial flexibility for unforeseen CFO impacts; Inflationary pressures, which could challenge earned returns. Upside risk: Better-than-expected regulatory outcomes.

H2O America (HTO / HTO)

Valuation Methodology: Our PT is $65, which is based on a P/E multiple of 15.6x on 2029E EPS. We apply a 5% premium to HTO given the potential for upside via Quadvest paired with a somewhat high rate risk into next year from TX.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Risks include better/worse-than-expected outcomes in rate cases expected in Texas, California, Maine and Connecticut; higher interest rates which could pressure EPS accretion; new and current Government regulations, which could increase capex compliance and decrease customer bill headroom. Natural disaster risk associated with operating utility wastewater systems.

NextEra Energy, Inc. (NEE / NEE)

Valuation Methodology: Our PT is $84, which values NEE shares on a sum-of-the-parts. We value FP&L at a 20% premium to the regulated utility 2028 P/E to account for constructive recovery mechanisms. We value NEER on an EV/EBITDA approach, including 14.0x base multiple on 2027E EBITDA, and 0.0x on tax credit contribution, which is in-line with our overall approach to renewables and similar to peer AES. We value contracted nuclear at 14.0x, which is aggressive in our view already with peer IPPs at 11.0x-12.0x that own nuclear (CEG). We value natural gas pipelines / gas infrastructure at 10.0x respectively, which we believe is fair when contemplating comparatives for midstream and E&P companies. For the 2030 extension opportunities, we're valuing these in our base case now, applying a 2030 multiple to $0.41/sh of EPS which garners $6/sh of equity value.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Inflation, higher / lower interest rates which can impact our DevCo values and renewables returns, better/worse-than-expected outcomes in regulatory proceedings, better/worse-than-expected renewable backlog update on 2026-2027.

NiSource, Inc. (NI / NI)

Valuation Methodology: We value NI on a P/E approach and calculate a price target of $44. We value shares on a SOTP basis, applying a 10% premium to Indiana Electric & Gas, inline multiple to PA gas, a 40% premium to GenCo and a 10% premium to RemainCo.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Inflation increases above NI's O&M budgeting; gas is a combustible molecule, and NI has a history of two separate high-profile explosions in the past 20 years, which could negatively affect share price. Negative outcomes in IN rate case; renewable execution risk associated with supply chain, inflation, and customer bill pressures; natural disaster risk associated with operating electric and gas transportation assets.

OGE Energy Corp. (OGE / OGE)

Valuation Methodology: Our PT is $48, which is based on a relative 2029E P/E multiple approach. We apply a 12.5% premium to the small-cap peer group multiple of 13.8x on account of robust load trends in the service territory and the potential for additional agreements to be signed with one or more data center customers that further accelerate the rate base. Our Equalweight rating is based on a rich trading premium which we believe prices in continued execution.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Key downside risks to our investment view are worse-than-expected reg outcomes, decreased load growth via economic slowdown in the service territories, and higher-than-expected equity needs.

WEC Energy Group, Inc. (WEC / WEC)

Valuation Methodology and Risks

Valuation Methodology: Our $108 price target for WEC uses a SOTP approach to account for returns of its different subsidiaries, applying our 2028E P/E multiple for the large-cap electric group with various premiums and discounts to the subs to reflect their growth outlook. We apply a 10% premium to WE and WPS and an 8.5% premium to WG to account for historically strong regulatory outcomes in WI, taking into account potentially shifting investment opps on the electric side via DC demand. We apply a 5% discount to PGL and NSG on account of the pipe replacement opp and potentially improving reg environment in IL. We apply a 15% premium to the ATC segment on account of higher returns associated with transmission and a 15% discount to the infrastructure segment given many projects are unregulated.
Risks which May Impede the Achievement of the Barclays Research Valuation and Price Target: Better/worse than expected regulatory outcomes, continued inflationary pressure on renewable building materials, less load upside than anticipated.

Source: Barclays Research

Analyst(s) Certification(s):
We, Michael Lonegan and Nicholas Campanella, hereby certify (1) that the views expressed in this research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this research report and (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this research report.

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Primary Stocks (Ticker, Date, Price)
Ameren Corp. (AEE, 16-Oct-2026, USD 106.08), Equal Weight/Positive, A/CD/CE/D/FB/J/K/L/M/N

American Water Works Company, Inc. (AWK, 16-Oct-2026, USD 134.94), Underweight/Positive, CE/J

CenterPoint Energy, Inc. (CNP, 16-Oct-2026, USD 40.55), Equal Weight/Positive, A/CD/CE/D/J/L

Chesapeake Utilities Corp (CPK, 16-Oct-2026, USD 132.18), Equal Weight/Positive, CE/D/E/J/K/L/M

Dominion Energy (D, 16-Oct-2026, USD 63.56), Overweight/Positive, CD/D/J/K/L/M

Emera Inc. (EMA, 16-Oct-2026, USD 47.72), Equal Weight/Positive, CD/J

Emera Inc. (EMA.TO, 16-Oct-2026, CAD 67.48), Equal Weight/Positive, CD/J

Entergy Corp. (ETR, 16-Oct-2026, USD 105.11), Overweight/Positive, A/CD/D/FB/J/L

Essential Utilities, Inc. (WTRG, 16-Oct-2026, USD 40.83), Underweight/Positive, A/CD/CE/D/FA/J/L

Evergy Inc. (EVRG, 16-Oct-2026, USD 83.30), Overweight/Positive, A/CD/CE/D/J/K/L/M

Exelon Corporation (EXC, 16-Oct-2026, USD 43.50), Equal Weight/Positive, A/CD/CE/D/J/K/L/M

H2O America (HTO, 16-Oct-2026, USD 57.69), Overweight/Positive, CE/FA/J

NextEra Energy, Inc. (NEE, 16-Oct-2026, USD 79.80), Equal Weight/Positive, A/CE/D/J/K/L/M

NiSource, Inc. (NI, 16-Oct-2026, USD 42.68), Overweight/Positive, A/CD/CE/D/E/FB/J/L

OGE Energy Corp. (OGE, 16-Oct-2026, USD 47.53), Equal Weight/Positive, A/CD/CE/D/J/L

WEC Energy Group, Inc. (WEC, 16-Oct-2026, USD 108.71), Equal Weight/Positive, A/CD/CE/D/J/L

Materially Mentioned Stocks (Ticker, Date, Price)
AES Corp. (AES, 16-Oct-2026, USD 14.95), Equal Weight/Positive, CD/CE/D/FA/J/K/L/M/N

Algonquin Power & Utilities (AQN, 16-Oct-2026, USD 5.25), Overweight/Positive, CD/FA/J

Algonquin Power & Utilities (AQN.TO, 16-Oct-2026, CAD 7.42), Overweight/Positive, CD/FA/J

Alliant Energy Corporation (LNT, 16-Oct-2026, USD 68.32), Equal Weight/Positive, CD/CE/D/FB/J/K/L/M

American Electric Power Company, Inc. (AEP, 16-Oct-2026, USD 127.14), Equal Weight/Positive, A/CD/CE/D/FB/J/K/L/M

Avista Corp. (AVA, 16-Oct-2026, USD 36.67), Equal Weight/Positive, CD/CE/J

CMS Energy Corporation (CMS, 16-Oct-2026, USD 68.70), Overweight/Positive, A/CD/CE/D/E/J/K/L/M/N

Consolidated Edison, Inc. (ED, 16-Oct-2026, USD 112.26), Underweight/Positive, A/CE/D/J/K/L/M

Constellation Energy (CEG, 16-Oct-2026, USD 271.37), Overweight/Positive, A/CE/D/E/J/K/L/M/N

DTE Energy (DTE, 16-Oct-2026, USD 129.73), Equal Weight/Positive, A/CD/CE/D/E/FB/J/K/L/M

Duke Energy Corporation (DUK, 16-Oct-2026, USD 121.47), Overweight/Positive, A/CD/CE/D/E/J/K/L/M/N

Edison International (EIX, 16-Oct-2026, USD 55.93), Equal Weight/Positive, A/CD/CE/D/J/L

FirstEnergy Corp. (FE, 16-Oct-2026, USD 46.19), Overweight/Positive, A/CD/CE/D/E/J/K/L/M

Fortis Inc. (FTS, 16-Oct-2026, USD 55.76), Overweight/Positive, A/CD/D/J/L

Fortis Inc. (FTS.TO, 16-Oct-2026, CAD 78.81), Overweight/Positive, A/CD/D/J/L

Hawaiian Electric Inds (HE, 16-Oct-2026, USD 8.58), Equal Weight/Positive, CE/J

Hydro One Ltd. (H.TO, 16-Oct-2026, CAD 53.52), Overweight/Positive, A/D/J/L

IDACORP INC (IDA, 16-Oct-2026, USD 138.30), Overweight/Positive, CE/J

NorthWestern Corporation (NWE, 16-Oct-2026, USD 74.72), Overweight/Positive, CE/FA/J/K/N

PG&E Corporation (PCG, 16-Oct-2026, USD 13.09), Overweight/Positive, A/CD/CE/D/E/FA/J/K/L/M

PPL Corp (PPL, 16-Oct-2026, USD 35.17), Overweight/Positive, A/CE/D/E/FA/FB/J/K/L/M

Pinnacle West Capital Corporation (PNW, 16-Oct-2026, USD 103.42), Equal Weight/Positive, A/CD/CE/D/FB/J/L

Public Service Enterprise Group (PEG, 16-Oct-2026, USD 71.49), Equal Weight/Positive, A/CD/CE/D/J/K/L/M/N

Sempra (SRE, 16-Oct-2026, USD 83.41), Overweight/Positive, A/CD/CE/D/J/L

The Southern Company (SO, 16-Oct-2026, USD 91.18), Equal Weight/Positive, A/CD/CE/D/E/J/K/L/M/N

Xcel Energy Inc. (XEL, 16-Oct-2026, USD 76.31), Overweight/Positive, A/CD/CE/D/E/J/L

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American Water Works Company, Inc. (AWK)	Atmos Energy (ATO)	Avista Corp. (AVA)
CenterPoint Energy, Inc. (CNP)	Chesapeake Utilities Corp (CPK)	CMS Energy Corporation (CMS)
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DTE Energy (DTE)	Duke Energy Corporation (DUK)	Edison International (EIX)
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Exelon Corporation (EXC)	FirstEnergy Corp. (FE)	Fortis Inc. (FTS)

Fortis Inc. (FTS.TO)	H2O America (HTO)	Hawaiian Electric Inds (HE)
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